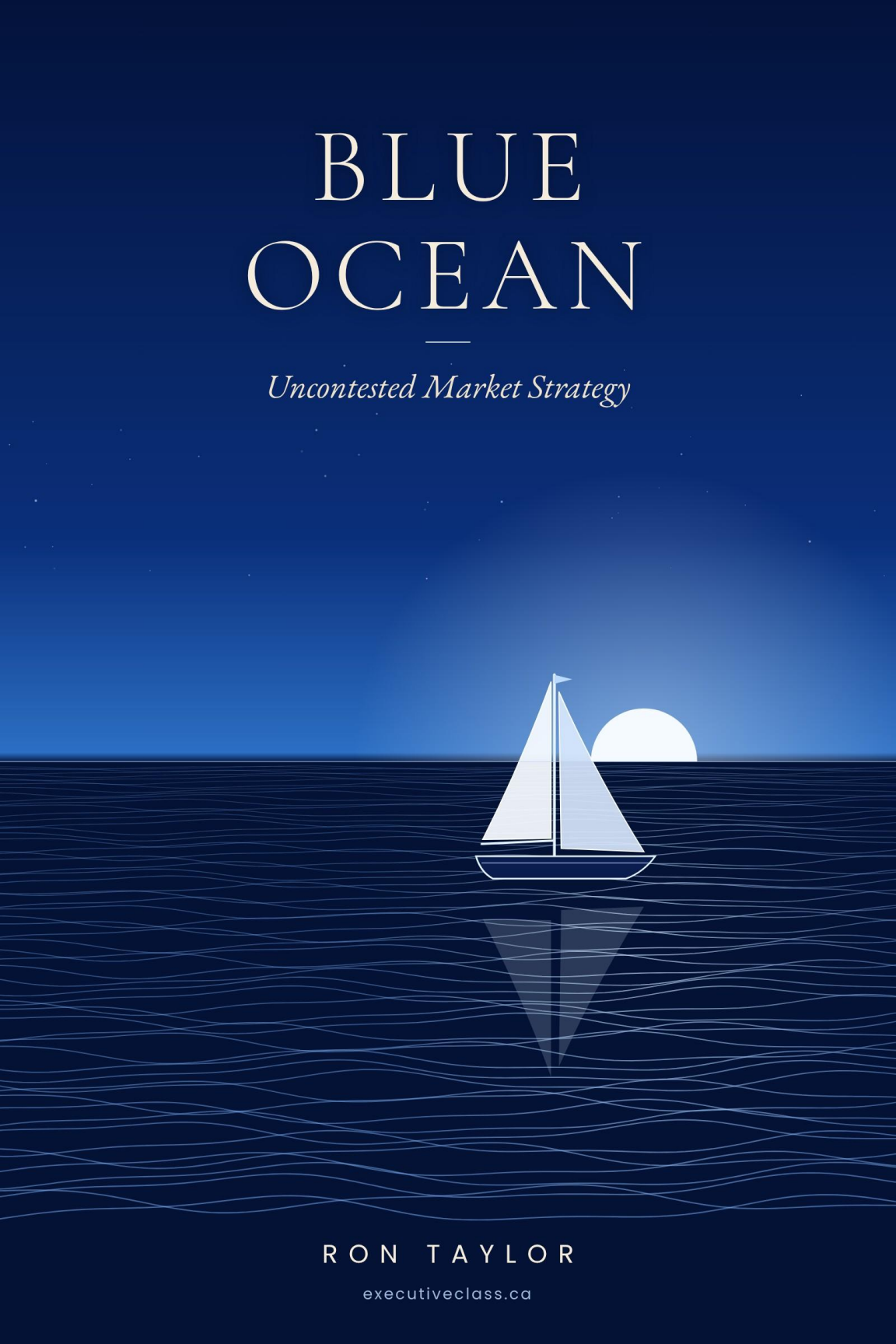
BLUE OCEAN

Uncontested Market Strategy



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Blue Ocean

52 Case Studies in Uncontested Market Strategy

STRATEGY · INNOVATION · MARKET CREATION

Blue Ocean

52 Case Studies in Uncontested Market Strategy

An Executive Class Series by Ron Taylor

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Blue Ocean

52 Case Studies in Uncontested Market Strategy

For business and life — fifty-two ventures that stopped competing for a market and created one instead.

A structured collection of fifty-two case studies built around the Blue Ocean Strategy framework: the idea that the most durable growth comes not from beating competitors in an existing ("red ocean") market, but from making them irrelevant by creating uncontested ("blue ocean") market space. Each chapter takes one company or product, names the crowded market it started in, and traces the specific shift — and the specific trade-offs, captured in the Eliminate-Reduce-Raise-Create grid — that got it out.

This book grades how directly each case traces back to primary documentation — the company's own record, or the original Blue Ocean Strategy text itself — versus how much rests on business-press retelling or later popularization. Every chapter carries a Documentation Level for exactly that reason.

Each chapter includes the case itself, the Four Actions the company took, a Business Lens question, three key takeaways, a summary, a Reality Check naming where the pattern breaks down, vocabulary with examples, two phrasal verbs, four practice tasks and a marked exercise. Sources are graded A–D, the same standard used throughout the series.

Business strategy narratives simplify with hindsight — a case that reads as an obvious insight in retrospect rarely felt that way at the time, and not every detail below comes from the company itself. Every chapter's Reality Check states plainly where the pattern is fragile, rather than overstating the fit.

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> Revised 2027. This revision restores the full Eliminate-Reduce-Raise-Create grid to every chapter; ties Documentation Levels to source grades, so Level 1 now requires a primary citation; cites Blue Ocean Strategy as a source only where the case appears in it, and as a framework note everywhere else; adds phrasal verbs and a false-friends panel for Portuguese-speaking readers, a marked exercise in every chapter with an answer key, a cumulative glossary and a closing synthesis.

How to Use This Book

Each chapter presents one company and one strategic shift.

The Case

The crowded market the company started in, and the shift that created uncontested space.

The Four Actions

What the company eliminated, reduced, raised, and created — the ERRC grid.

Business Lens

One question connecting the case to your own working life.

Key Takeaways

Three points worth remembering.

Summary

The whole case in two or three sentences.

Reality Check

Where the pattern breaks down, and how to apply it responsibly.

Vocabulary & Phrasal Verbs

Words drawn from the case, each with an example — followed by two phrasal verbs from the same story, which are the part of business English a Portuguese speaker cannot guess.

Practice

Where the analogy breaks down, a language task, a discussion prompt, a writing task.

Check Yourself

Five gapped sentences using the chapter's own vocabulary. This is the one exercise with a right answer; the key is at the back.

Sources

Graded references, so the strength of the evidence is visible.

The Six Parts

At a glance, in the order they appear.

WEEKS 1–12 · PART I

Entertainment, Consumer Products & Lifestyle

What does it take to stop competing for customers and start creating them?

WEEKS 13–23 · PART II

Tech, Platforms & Media

What happens when a platform removes the friction an entire industry had learned to live with?

WEEKS 24–31 · PART III

Services, B2B & Finance

What changes when a service stops charging for the wrong thing?

WEEKS 32–36 · PART IV

Entertainment, Hospitality & Retail

What happens when you sell the experience instead of the product?

WEEKS 37–44 · PART V

Niche, Industrial & Global Pioneers

What does uncontested space look like outside of the usual startup narrative?

WEEKS 45–52 · PART VI

Category Icons & Reinventions

What does it look like when an entire industry gets rebuilt around a single shift in assumption?

A Note on Documentation Levels

Business strategy writing simplifies with hindsight — a shift that reads as an obvious insight in retrospect rarely felt that way at the time, and the distance between a company's own record and a later retelling of it varies enormously from case to case. This book grades that distance.

LEVEL 1 Directly Documented

The case appears directly in Kim & Mauborgne's Blue Ocean Strategy or another primary strategy text, and the company's own record corroborates the account.

LEVEL 2 Self-Reported or Transferred

The case is real and reasonably well documented in business press or company history, but the Blue Ocean framing is an analysis applied after the fact rather than something the company itself claimed at the time.

LEVEL 3 Popularized / Simplified

The case is widely repeated in business media and case-study collections, but primary sourcing is thin, and some details may be simplified, or several related products or companies conflated into one story.

The rule these levels follow. A chapter can only carry Level 1 if it also carries an A-grade source — that is, if the case genuinely appears in a primary strategy

> text. Seven chapters meet that test. Where Blue Ocean Strategy is the framework being applied rather than the source of the case, it is named at the foot of the chapter as a framework note and carries no grade at all. A citation pointing at a book that does not contain the case would be worse than no citation.

A Level 2 or 3 chapter is not a weaker one. It means the case is a business-press or popularized account, not a measurement — and every chapter's Reality Check states plainly where that account is fragile.

False Friends for Portuguese Speakers

Portuguese and English share their Latin business abstractions almost word for word: premiumization is premiumização, vertical integration is integração vertical, curation is curadoria. That is a real advantage, and it is why this book can use the vocabulary it does.

The danger sits in a much smaller set of words: the ones that look like a Portuguese word and mean something else. These are worth learning once, deliberately, because a reader who substitutes the Portuguese meaning will not notice the mistake — the sentence still makes sense, it just says something different.

> **English: actually**
> **Looks Like:** atualmente
> **Which Means:** currently, at the moment
> **English Is Really:** na verdade / de fato

> **English: eventually**
> **Looks Like:** eventualmente
> **Which Means:** occasionally, now and then
> **English Is Really:** por fim / no final

> **English: realize**
> **Looks Like:** realizar
> **Which Means:** to carry out, to accomplish
> **English Is Really:** perceber / dar-se conta

> **English: pretend**
> **Looks Like:** pretender

Which Means: to intend

English Is Really: fingir

English: assist

Looks Like: assistir

Which Means: to watch

English Is Really: ajudar / auxiliar

English: support

Looks Like: suportar

Which Means: to endure, to tolerate

English Is Really: apoiar / sustentar

English: comprehensive

Looks Like: compreensivo

Which Means: understanding, sympathetic

English Is Really: abrangente / completo

English: sensible

Looks Like: sensível

Which Means: sensitive

English Is Really: sensato / razoável

English: prejudice

Looks Like: prejuízo

Which Means: financial loss

English Is Really: preconceito

English: push / pull

Looks Like: puxar

Which Means: to pull

English Is Really: empurrar / puxar

English: costume

Looks Like: costume

Which Means: habit, custom

English Is Really: fantasia / traje

English: parents

Looks Like: parentes

Which Means: relatives

English Is Really: pais

WHY THESE MATTER HERE

actually — This book uses actually often, and almost always in its most important sentence: "what an audience actually values". Read as atualmente, that sentence says something different from what it means — the whole Blue Ocean argument is about the gap between what customers value and what the industry currently supplies.

eventually — "Imitators eventually enter" means they enter in the end, not from time to time.

realize — "The team realized the cost was optional" means they understood it, not that they achieved it.

pretend — "The company pretended to be a bank" is an accusation, not a business plan.

assist — Staff assist customers; they do not watch them.

support — "The platform supports micro-merchants" means it enables them, not that it puts up with them.

comprehensive — A comprehensive strategy is a complete one, not a sympathetic one.

sensible — A sensible price is a reasonable one. A sensitive price is one that reacts sharply to change.

prejudice — This one matters in business writing: an English annual report that mentions prejudice is almost always talking about bias, not a loss.

push / pull — In English, push is empurrar. The false pair catches fluent speakers on doors and on supply-chain vocabulary alike — a push model produces to forecast, a pull model produces to order.

costume — Cirque du Soleil spends heavily on costumes — the clothes, not the habits.

parents — IKEA's in-store childcare is for parents, not for the extended family.

The second half of each chapter's vocabulary section is given over to phrasal verbs for the same reason. Portuguese has no equivalent structure, so roll out, lock in and break even have to be learned as whole items — they are the genuinely hard part of business English for a Portuguese speaker, and the part a cognate never rescues.

PART I

Entertainment, Consumer Products & Lifestyle

What does it take to stop competing for customers and start creating them?

Twelve ventures that stepped outside their industry's assumptions entirely — from Cirque du Soleil's fusion of circus and theatre to IKEA's flat-pack furniture and Red Bull's invention of a category — and made the competition irrelevant.

WEEKS 1–12

01

Cirque du Soleil: Reinventing the Circus

DOCUMENTATION LEVEL 1 — DIRECTLY DOCUMENTED

THE MECHANISM

The mechanism is repositioning cost structure around what an audience actually values. Cirque du Soleil's biggest expenses — animal acts, star salaries — were exactly what theatre-going adults did not care about, so cutting them funded the production values that mattered instead.

Traditional circuses competed fiercely for market share in a declining industry, fighting over famous star performers, costly animal acts, and multi-ring setups, while relying on traditional child-focused audiences buying cheap seats.

Cirque du Soleil asked what would happen if it combined the wonder and acrobatics of the circus with the sophistication and artistry of high theatre.

THE FOUR ACTIONS

ELIMINATE

Expensive and controversial animal acts, star performers, concession stands, and multi-ring setups.

REDUCE

Slapstick humour and physical danger tropes.

RAISE

Artistic storytelling, custom musical scores, production design, and venue sophistication.

CREATE

A brand-new genre of live entertainment targeting adults and corporate clients willing to pay Broadway-level ticket prices.

BUSINESS LENS

What does your industry assume every competitor must offer, that your own customers have never actually asked for?

KEY TAKEAWAYS

1. Value innovation means pursuing differentiation and low cost simultaneously, not trading one for the other.
2. Cutting an industry's most expensive, most assumed-necessary costs can fund an entirely new value proposition.
3. A blue ocean is created by combining elements from two different industries — here, circus and theatre — into one none of the original competitors serve.

SUMMARY

Cirque du Soleil escaped a shrinking circus industry by asking what a circus would look like if it borrowed the artistry of theatre instead of

> competing on star performers and animal acts. The result was a new category of live entertainment with no direct competitors.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that this only works when you can name, precisely, what your buyers tolerate rather than want; guess wrong and you have cut costs without creating value.

APPLY IT

Before adding a new feature or cost line, ask whether it is something customers actually value or simply something the industry has always assumed belongs there.

VOCABULARY & PHRASAL VERBS

value innovation **(n.)**

pursuing differentiation and low cost at the same time, rather than choosing between them. Cirque du Soleil's value innovation let it charge Broadway prices while running a leaner show than any traditional circus.

uncontested market space **(n.)**

a category with no direct competitors, created rather than fought over. By blending circus and theatre, the company built an uncontested market space instead of competing for a shrinking circus audience.

ERRC grid **(n.)**

the Eliminate-Reduce-Raise-Create framework used to redesign an industry's value curve. The ERRC grid forced the leadership team to name exactly what to cut before deciding what to add.

value curve **(n.)**

a visual comparison of how much an industry invests in each factor competitors compete on. Plotted against traditional circuses, Cirque du Soleil's value curve dropped to zero on star performers and spiked on production design.

industry boundary **(n.)**

the conventional line separating one business category from another. Redrawing the industry boundary between circus and theatre was the entire strategy.

PHRASAL VERBS

do away with **(phr. v.)**

to get rid of something completely Cirque du Soleil did away with animal acts entirely rather than making them cheaper.

draw on **(phr. v.)**

to use something as a source The show drew on theatre for its storytelling and on circus for its physical risk.

PRACTICE

TEST THE LIMIT

Name one cost your own industry treats as essential. Argue in writing that customers only tolerate it — then say what you would fund with the money.

USE THE LANGUAGE

Compare two competitors in your market using value innovation and value curve.

DISCUSS

Which two unrelated industries could your organization blend the way Cirque du Soleil blended circus and theatre?

WRITE

Sketch a rough value curve for your own offering against your closest competitor.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

ERRC grid · industry boundary · uncontested market space · value curve · value innovation

1. Cirque du Soleil's ____ let it charge Broadway prices while running a leaner show than any traditional circus.
2. By blending circus and theatre, the company built an ____ instead of competing for a shrinking circus audience.
3. The ____ forced the leadership team to name exactly what to cut before deciding what to add.
4. Plotted against traditional circuses, Cirque du Soleil's ____ dropped to zero on star performers and spiked on production design.
5. Redrawing the ____ between circus and theatre was the entire strategy.

SOURCES

A Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015).

B Case widely documented in business-strategy literature and Cirque du Soleil's own corporate history.



02

Southwest Airlines

DOCUMENTATION LEVEL 1 — DIRECTLY DOCUMENTED

THE MECHANISM

The mechanism is redefining the competitive set. By treating cars and buses as the real rivals rather than other airlines, Southwest could win on convenience and price for short trips instead of matching legacy carriers seat-class for seat-class.

Traditional airlines competed on hub-and-spoke networks, ticket classes, first-class seating, meals, and central hub connections.

Southwest positioned air travel as an alternative to regional cars and buses rather than rival airlines.

THE FOUR ACTIONS

ELIMINATE

Assigned seating, meal service, hub layovers, multiple aircraft types, and first- and business-class cabins.

REDUCE

Route length and network breadth, to short-haul point-to-point flying only.

RAISE

Departure frequency, turnaround speed, on-time reliability, and the friendliness of cabin staff.

CREATE

Air travel priced and scheduled like ground transport, so that cars and buses became the real competition.

BUSINESS LENS

Who is your organization actually competing against, once you stop assuming it is only the obvious rivals?

KEY TAKEAWAYS

1. Redefining your competitive set can open space that direct rivals never contest.
2. Standardizing on one aircraft type turned a complexity cost (maintenance, training, scheduling) into a structural advantage.
3. Cutting assigned seating and meals removed cost for decades without removing what short-haul travellers actually valued: price and frequency.

SUMMARY

Southwest Airlines grew by treating cars and buses, not other airlines, as its true competition, which justified stripping out meals, hub connections, and aircraft variety in favour of cheap, frequent, point-to-point flights.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a single-aircraft, point-to-point model sacrifices the long-haul connections and premium cabins that some travellers still need, which is exactly why Southwest never tried to serve every route.

APPLY IT

Ask who your customer's real alternative is — not your listed competitors, but what they would do if your category did not exist.

> **WHAT HAPPENED NEXT**
>
> In January 2026 Southwest gave up open seating for assigned seats, after adding checked-bag fees in 2025 — a reminder that even a textbook blue ocean can drift back toward industry norms.

VOCABULARY & PHRASAL VERBS

point-to-point **(adj.)**

describing a route model connecting cities directly rather than through a central hub. Point-to-point routing cut Southwest's turnaround times sharply below hub-and-spoke carriers.

hub-and-spoke **(n.)**

a network model routing traffic through a small number of central airports. Legacy carriers built their advantage around hub-and-spoke networks Southwest deliberately avoided.

competitive set **(n.)**

the group of alternatives a customer actually weighs against your offering. Redefining the competitive set to include ground transport, not just airlines, reshaped the whole strategy.

turnaround time **(n.)**

the time an aircraft or resource spends idle between uses. A single aircraft type let ground crews cut turnaround time to a fraction of the industry average.

unit economics **(n.)**

the direct revenues and costs associated with a single unit of business, e.g. one flight. Standardized aircraft and routes made Southwest's unit economics far more predictable than a mixed fleet's.

PHRASAL VERBS

turn around **(phr. v.)**

to prepare a vehicle for its next use; also, to reverse a decline Ground crews could turn a 737 around in twenty minutes.

stick to **(phr. v.)**

to keep to one thing without changing it By sticking to a single aircraft type, Southwest kept training and maintenance costs down.

PRACTICE

TEST THE LIMIT

Name the real alternative your customer would use if your category vanished tomorrow, and say what you would have to change to compete with that instead.

USE THE LANGUAGE

Argue against a decision your team has already taken, using competitive set and unit economics.

DISCUSS

What would change if you defined your competitors by what customers do instead, not by your industry label?

WRITE

List three alternatives your customer considers that fall outside your named industry.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

competitive set · hub-and-spoke · point-to-point · turnaround time · unit economics

1. ___ routing cut Southwest's turnaround times sharply below hub-and-spoke carriers.
2. Legacy carriers built their advantage around ___ networks Southwest deliberately avoided.
3. Redefining the ___ to include ground transport, not just airlines, reshaped the whole strategy.
4. A single aircraft type let ground crews cut ___ to a fraction of the industry average.
5. Standardized aircraft and routes made Southwest's ___ far more predictable than a mixed fleet's.

SOURCES

A Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015).

B Widely documented in airline-industry case studies and Southwest's own investor communications.



03

IKEA

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is shifting labour from the company to the customer in exchange for a price cut large enough that the trade feels like a bargain rather than a burden.

Furniture retailers competed on fully assembled, handcrafted pieces sold by commissioned salespeople with weeks-long delivery times.

IKEA targeted budget-conscious buyers willing to trade assembly labour for immediate pickup and high-design aesthetics.

THE FOUR ACTIONS

ELIMINATE

Pre-assembly, delivery wait times, and commissioned floor salespeople.

REDUCE

Price, and the expectation that furniture is bought once for life.

RAISE

Design quality per unit of cost, immediate availability, and showroom inspiration.

CREATE

> Flat-pack packaging, self-service warehouse collection, and in-store childcare and dining.

BUSINESS LENS

> *What task is your organization doing for customers that they might happily do themselves for a large enough discount?*

KEY TAKEAWAYS

1. Flat-pack packaging is a supply-chain decision disguised as a design decision — it cuts shipping volume and cost dramatically.
2. Shifting assembly labour to the customer only works if the price gap is large enough to feel worth the trade.
3. In-store childcare and dining removed a hidden barrier to the actual buying decision, not just a nice-to-have amenity.

SUMMARY

> IKEA rebuilt furniture retail around the customer doing the assembly and pickup themselves, funding flat-pack logistics and design-forward pricing with the labour and warehouse costs it no longer had to carry.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that self-assembly and self-service only work for buyers with the time, tools, and tolerance to do it; IKEA has never tried to serve every furniture buyer.

APPLY IT

Look at the labour your organization performs on a customer's behalf, and ask whether some of it could be handed to the customer in exchange for a price or speed advantage neither side could get otherwise.

VOCABULARY & PHRASAL VERBS

flat-pack **(adj.)**
sold unassembled in flat boxes for compact, efficient shipping. Flat-pack design let IKEA fit far more inventory into the same truck and shelf space.

self-service model **(n.)**
a business design where the customer performs steps a company would traditionally handle. The self-service model cut IKEA's labour costs while giving budget shoppers more control over price.

supply chain **(n.)**
the sequence of processes that move a product from raw material to customer. Flattening the product simplified the entire supply chain, not just the showroom experience.

value-conscious buyer **(n.)**
a customer who actively trades convenience or luxury for a lower price. IKEA built its entire model around the value-conscious buyer, not the customer who wants a salesperson's help.

friction **(n.)**

anything in a customer's path that makes a purchase harder or slower. In-store childcare removed a friction point that had nothing to do with furniture at all.

PHRASAL VERBS

put together **(phr. v.)**

to assemble something from parts Customers put the furniture together themselves in exchange for a lower price.

pick up **(phr. v.)**

to collect something Shoppers pick up flat-packed boxes from the warehouse instead of waiting weeks for delivery.

PRACTICE

TEST THE LIMIT

Pick one task you currently do for customers. Work out the discount that would make them willing to do it themselves — and say who you would lose.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using flat-pack and friction.

DISCUSS

What friction point in your customer's journey has nothing to do with your core product, the way childcare had nothing to do with furniture?

WRITE

Identify one task your company could shift to the customer, and estimate the price cut it would justify.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

flat-pack · friction · self-service model · supply chain · value-conscious buyer

1. ___ design let IKEA fit far more inventory into the same truck and shelf space.
2. The ___ cut IKEA's labour costs while giving budget shoppers more control over price.
3. Flattening the product simplified the entire ___, not just the showroom experience.
4. IKEA built its entire model around the ___, not the customer who wants a salesperson's help.
5. In-store childcare removed a ___ point that had nothing to do with furniture at all.

SOURCES

B IKEA corporate history and design-and-supply-chain case studies widely used in business education.

B IKEA / Inter IKEA Group corporate history and published supply-chain case studies.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.

04

Nespresso

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is unbundling an experience from a commodity. Nespresso separated the ritual of espresso from the raw good of coffee, then sold the ritual through hardware and a subscription rather than through the grocery aisle.

Commercial coffee companies competed in grocery aisles, selling canned ground coffee or whole beans based purely on weight and price per pound.

Nespresso shifted from selling bulk commodity coffee to delivering a premium, single-serve espresso bar experience directly inside the home.

THE FOUR ACTIONS

ELIMINATE

Grocery-aisle distribution, price-per-pound comparison, and the retailer's margin.

REDUCE

The number of decisions the drinker has to make — origin, grind, dose, technique.

RAISE

Consistency from cup to cup, perceived luxury, and machine design.

CREATE

A proprietary pod format, the direct Nespresso Club membership, and boutique retail.

BUSINESS LENS

Which part of your product's ritual or experience could be sold separately from the raw material itself?

KEY TAKEAWAYS

1. Selling the experience, not the commodity, moved coffee from a low-margin grocery staple to a high-margin lifestyle product.
2. A proprietary hardware format converts a repeat purchase into a subscription relationship.
3. Direct-to-consumer distribution let Nespresso keep the margin that would otherwise go to a grocery retailer.

SUMMARY

Nespresso turned commodity coffee into a premium in-home ritual by selling proprietary pod machines and a direct membership model, capturing margin that bulk coffee sales never could.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that the pod model depends on a closed hardware ecosystem, which invites both patent expiration and environmental criticism once competitors and regulators catch up.

APPLY IT

Ask whether your product is currently sold as a raw commodity when part of what customers actually want is the experience around it.

VOCABULARY & PHRASAL VERBS

unbundling **(n.)**

separating a combined offering into distinct, separately sold parts. Unbundling the espresso ritual from raw coffee beans let Nespresso price for experience, not weight.

closed ecosystem **(n.)**

a product system designed so only the maker's own compatible parts work with it. The closed ecosystem of pods and machines kept customers inside the Nespresso subscription.

direct-to-consumer **(adj.)**

selling directly to buyers rather than through retail intermediaries. A direct-to-consumer club model let Nespresso keep the margin a grocery retailer would otherwise take.

premiumization **(n.)**

repositioning a commodity product as a higher-value, higher-price offering. Premiumization turned a per-pound commodity into a per-cup luxury purchase.

membership model **(n.)**

a recurring relationship structure built around ongoing access rather than one-off purchase. The Nespresso Club membership model converted single sales into a recurring relationship.

PHRASAL VERBS

lock in **(phr. v.)**

to commit a customer so that leaving becomes difficult The pod format locked customers in to Nespresso's own supply.

cut out **(phr. v.)**

to remove a step or an intermediary Selling direct cut out the grocery retailer and the margin it took.

PRACTICE

TEST THE LIMIT

Nespresso's patents expired and compatible pods appeared. Write the plan you would have prepared for that in advance.

USE THE LANGUAGE

Predict what your closest competitor will do next, using unbundling and premiumization.

DISCUSS

What raw commodity in your business could be repositioned as an experience?

WRITE

Draft a one-line pitch for a subscription version of a product you currently sell as a one-off.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

closed ecosystem · direct-to-consumer · membership model · premiumization · unbundling

1. ___ the espresso ritual from raw coffee beans let Nespresso price for experience, not weight.
2. The ___ of pods and machines kept customers inside the Nespresso subscription.
3. A ___ club model let Nespresso keep the margin a grocery retailer would otherwise take.
4. ___ turned a per-pound commodity into a per-cup luxury purchase.
5. The Nespresso Club ___ converted single sales into a recurring relationship.

SOURCES

B Nespresso corporate history and consumer-goods case studies on premiumization strategy.

B Nestlé Nespresso corporate history and published annual reporting on the Nespresso Club.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.

05

Dollar Shave Club

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is bypassing the retail gatekeeper entirely. Razors were profitable partly because they were locked behind plastic security cases and retail markups, and going direct-to-consumer removed both.

Razor giants like Gillette locked consumers into an expensive feature war — adding a third, fourth, and fifth blade — kept behind plastic security cases in retail stores.

Dollar Shave Club bypassed retail distribution entirely to focus on convenience, humour, and subscription-based flat pricing.

THE FOUR ACTIONS

ELIMINATE

Retail distribution, plastic security cases, and the blade-count feature war.

REDUCE

Blade technology claims and the price of a replacement cartridge.

RAISE

Convenience of resupply and the confidence of the brand's own voice.

CREATE

A flat-rate subscription delivered to the door, launched by a video that did the work of a retail chain.

BUSINESS LENS

What intermediary in your distribution chain exists mainly to protect margin rather than serve the customer?

KEY TAKEAWAYS

1. Bypassing retail distribution removed both the markup and the security-case friction of buying razors in a store.
2. A flat subscription price replaced an escalating blade-count arms race with predictable, low-cost convenience.
3. Humour and brand voice substituted for a marketing budget the incumbents could otherwise outspend.

SUMMARY

Dollar Shave Club skipped retail distribution altogether, using a flat subscription price and a distinctive brand voice to compete against incumbents that had been racing each other on blade count instead of price or convenience.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that direct-to-consumer subscription models depend on customer acquisition costs staying low, which becomes harder once every competitor copies the same viral playbook.

APPLY IT

Identify the layer of your distribution chain that adds the least value to the customer and the most cost, and ask what it would take to remove it.

VOCABULARY & PHRASAL VERBS

gatekeeper **(n.)**
an intermediary that controls access between a company and its customers. Retail shelf space acted as a gatekeeper that direct-to-consumer razors bypassed entirely.

flat pricing **(n.)**
a single, predictable price regardless of usage tier or add-ons. Flat pricing replaced the confusing blade-count tiers of traditional razor brands.

customer acquisition cost **(n.)**
the marketing and sales cost of winning one new customer. A viral launch video kept customer acquisition cost far below traditional advertising spend.

subscription model **(n.)**
a recurring-revenue structure built around scheduled repeat delivery. The subscription model turned an occasional purchase into predictable recurring revenue.

feature war **(n.)**

a competitive pattern of adding features (or blades) mainly to outdo rivals rather than to serve customers. Gillette's feature war over blade count left an opening for a simpler, cheaper alternative.

PHRASAL VERBS

take off **(phr. v.)**

to become successful very quickly The launch video took off overnight and brought in twelve thousand orders.

run out of **(phr. v.)**

to have no more of something A subscription means the customer never runs out of blades.

PRACTICE

TEST THE LIMIT

Gillette could have launched a subscription at any point and did not. Explain in two sentences why an incumbent finds that so hard.

USE THE LANGUAGE

Explain gatekeeper and flat pricing to a colleague who has never heard either term.

DISCUSS

Which layer of your distribution chain could you remove the way Dollar Shave Club removed retail?

WRITE

Write one sentence pitching your product the way you would explain it to a friend, not a committee.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

customer acquisition cost · feature war · flat pricing · gatekeeper · subscription model

1. Retail shelf space acted as a ___ that direct-to-consumer razors bypassed entirely.
2. ___ replaced the confusing blade-count tiers of traditional razor brands.
3. A viral launch video kept ___ far below traditional advertising spend.
4. The ___ turned an occasional purchase into predictable recurring revenue.
5. Gillette's ___ over blade count left an opening for a simpler, cheaper alternative.

SOURCES

C Widely documented case study in direct-to-consumer marketing and viral video advertising.

C Dollar Shave Club company statements and contemporaneous coverage of the 2012 launch and 2016 Unilever acquisition.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



06

Swatch

DOCUMENTATION LEVEL 1 — DIRECTLY DOCUMENTED

THE MECHANISM

The mechanism is repositioning a durable good as a disposable-feeling fashion item. Cutting the component count made watches cheap enough to buy several, which changed the purchase logic from 'once in a lifetime' to 'one per outfit.'

Swiss watchmakers competed strictly on precision mechanics, precious metals, and lifelong heirloom value, making watches expensive and serious.

Swatch redefined the wristwatch from a serious, lifelong investment into a fun, casual fashion accessory.

THE FOUR ACTIONS

ELIMINATE

Precious metals, jeweller distribution, and the watch as an heirloom investment.

REDUCE

Component count from roughly 91 parts to 51, and repairability, by sealing the case.

RAISE

Design turnover, colour, and the pace of seasonal collections.

CREATE

The watch as a fashion accessory owned in multiples, Swiss-made at a mass-market price.

BUSINESS LENS

What product in your line is priced like an investment when it could be repositioned as a collectible?

KEY TAKEAWAYS

1. Cutting component count was a manufacturing decision that enabled a completely different price point and purchase pattern.
2. Making a category playful and collectible can multiply purchase frequency even as it lowers price per unit.
3. Swatch did not try to out-engineer Swiss watchmaking; it changed what the product was for.

SUMMARY

Swatch simplified watch manufacturing to hit a price point where a watch became a fashion accessory people bought several of, rather than a lifelong investment purchased once.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that this only works if the category's original prestige buyers are not your target — Swatch never tried to win over collectors who wanted mechanical heirlooms.

APPLY IT

Consider whether your product is priced and positioned for a single, careful purchase when a cheaper, more playful version could unlock repeat buying instead.

VOCABULARY & PHRASAL VERBS

purchase frequency **(n.)**

how often a customer buys a given product category. Lower prices and playful design pushed purchase frequency up even as unit price fell.

category repositioning **(n.)**

changing what customers understand a product to be for. Category repositioning turned the watch from an heirloom into a fashion accessory.

component count **(n.)**

the number of individual parts required to manufacture a product. Cutting component count nearly in half was the manufacturing key to Swatch's price point.

collectability **(n.)**

a product quality that encourages owning multiple variants rather than one. Vibrant, limited designs built collectability into a category that had never had it before.

mass-market pricing **(n.)**

pricing set low enough to reach a broad consumer base rather than a niche. Mass-market pricing was only possible once manufacturing complexity was stripped out.

PHRASAL VERBS

take on **(phr. v.)**

to compete against someone Swatch took on cheap quartz imports on price and beat them on design.

come up with **(phr. v.)**

to invent or produce an idea The engineers came up with a sealed case that cut the part count almost in half.

PRACTICE

TEST THE LIMIT

Swatch halved its part count to cut cost. Name one thing in your own product whose part count or step count could halve, and say what would break if it did.

USE THE LANGUAGE

Describe a decision in your own organization using category repositioning and purchase frequency.

DISCUSS

Could any product in your portfolio be repositioned from a one-time investment into a collectible?

WRITE

Sketch what a lower-cost, higher-frequency version of your flagship product might look like.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

category repositioning · collectability · component count · mass-market pricing · purchase frequency

1. Lower prices and playful design pushed ___ up even as unit price fell.
2. ___ turned the watch from an heirloom into a fashion accessory.
3. Cutting ___ nearly in half was the manufacturing key to Swatch's price point.
4. Vibrant, limited designs built ___ into a category that had never had it before.
5. ___ was only possible once manufacturing complexity was stripped out.

SOURCES

A Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015).

B Swatch Group corporate history and design-manufacturing case studies.



07

Five Guys

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is inverting the fast-food cost structure. Removing freezers, timers, and drive-thrus cut the operational complexity that funded low prices, freeing budget to raise the one thing customers actually noticed — the food itself.

Five Guys is an American burger chain of roughly 2,000 outlets, built on a menu of about five items.

Fast-food burger joints competed on complex menus, value-meal pricing, drive-thrus, and low production costs.

Five Guys stripped away all fast-food extras to focus entirely on fresh, high-quality simplicity in a casual environment.

THE FOUR ACTIONS

ELIMINATE

Freezers, timers, drive-thrus, kids' meals, and menu breadth.

REDUCE

Decor spend and the number of choices a customer has to weigh.

RAISE

Portion size, beef freshness, ingredient quality, and topping generosity.

CREATE

Unlimited free toppings and a visible open kitchen, so that preparation itself is the experience.

BUSINESS LENS

What operational efficiency is your organization optimizing that customers do not actually notice or reward?

KEY TAKEAWAYS

1. Removing speed-focused infrastructure like drive-thrus and timers freed budget for ingredient quality instead.
2. A radically simplified menu reduced complexity cost while raising perceived quality.
3. Unlimited free toppings turned a minor cost into a signature point of differentiation.

SUMMARY

Five Guys dropped the speed-and-efficiency infrastructure that defines fast food — drive-thrus, freezers, timers — and redirected that budget toward fresh ingredients and generous portions, competing on taste rather than throughput.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that abandoning drive-thrus and speed metrics caps how much volume a single location can serve, which is precisely the trade-off Five Guys accepted on purpose.

APPLY IT

Ask which operational metrics your industry optimizes by habit, and whether abandoning one of them would free resources to raise something customers actually taste, see, or feel.

VOCABULARY & PHRASAL VERBS

operational complexity **(n.)**

the number of interdependent systems and processes a business must run. Cutting drive-thrus and timers reduced operational complexity most competitors treat as mandatory.

throughput **(n.)**

the volume of transactions a system can process in a given time. Five Guys accepted lower throughput per location in exchange for a simpler, higher-quality menu.

perceived quality **(n.)**

how good a product seems to the customer, independent of its actual cost to produce. Fresh, un-frozen beef raised perceived quality far more than any advertising campaign could.

differentiator **(n.)**

a specific feature that distinguishes a product from close competitors. Unlimited free toppings became a low-cost differentiator that competitors struggled to copy cheaply.

menu simplification **(n.)**
deliberately narrowing product options to reduce complexity and raise focus. Menu simplification let kitchens focus labour and attention on fewer, better items.

PHRASAL VERBS

cut back on **(phr. v.)**
to reduce the amount of something Five Guys cut back on menu size and spent the saving on better beef.

pile on **(phr. v.)**
to add a large quantity of something Customers can pile on as many free toppings as they like.

PRACTICE

TEST THE LIMIT

Five Guys built its model without drive-thrus. Name one growth option your business should refuse, and say what refusing it protects.

USE THE LANGUAGE

Compare two competitors in your market using operational complexity and throughput.

DISCUSS

What would your team gain by deliberately becoming slower in exchange for higher perceived quality?

WRITE

List one operational metric you could deprioritize and one quality signal you would raise instead.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

differentiator · menu simplification · operational complexity · perceived quality · throughput

1. Cutting drive-thrus and timers reduced ___ most competitors treat as mandatory.
2. Five Guys accepted lower ___ per location in exchange for a simpler, higher-quality menu.
3. Fresh, un-frozen beef raised ___ far more than any advertising campaign could.
4. Unlimited free toppings became a low-cost ___ that competitors struggled to copy cheaply.
5. ___ let kitchens focus labour and attention on fewer, better items.

SOURCES

C Restaurant-industry case studies on fast-casual positioning and Five Guys' own public history.

C Five Guys company statements and restaurant-industry trade coverage.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



08

Beyond Meat / Impossible Foods

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is retargeting a product at the customer who was never buying it. Plant-based meat had existed for decades, but engineering it to satisfy meat-eaters — not vegetarians — opened a market orders of magnitude larger.

Veggie burgers were traditionally bland, bean-based patties targeted exclusively at vegetarians and sold in small health-food aisles.

Beyond Meat and Impossible Foods engineered plant-based meat specifically for meat-eaters, placing products directly in the mainstream meat aisle.

THE FOUR ACTIONS

ELIMINATE

The vegetarian-aisle placement and the vegetarian identity that came with it.

REDUCE

Reliance on bean-and-grain texture, and on health-first messaging.

RAISE

Sensory fidelity — texture, sizzle, and the appearance of bleeding.

CREATE

> A meat-aisle product for flexitarians who were never trying to give up meat.

BUSINESS LENS

Is your product built for the customer who first adopted it, or for the much larger customer it could actually serve?

KEY TAKEAWAYS

1. Engineering for a mainstream audience, not the existing niche, multiplied the addressable market.
2. Matching the specific sensory cues of the incumbent product — texture, sizzle, bleed — mattered more than nutritional messaging.
3. Placement in the mainstream meat aisle, not a health-food section, was itself a strategic decision.

SUMMARY

Beyond Meat and Impossible Foods redesigned plant-based protein to satisfy meat-eaters rather than vegetarians, using food science to replicate meat's sensory experience and placing the product where mainstream shoppers would actually find it.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that replicating meat's texture and "bleed" through processing raises its own scrutiny around ingredient lists and how "natural" the product actually is.

APPLY IT

Ask whether your product's current audience is simply whoever adopted it first, rather than the largest group who would actually want it if it were built for them.

VOCABULARY & PHRASAL VERBS

addressable market **(n.)**

the total group of customers a product could realistically reach. Targeting meat-eaters instead of vegetarians expanded the addressable market by an order of magnitude.

flexitarian **(n.)**

a consumer who eats a mainly plant-based diet but still eats meat occasionally. The flexitarian shopper, not the committed vegetarian, was the real target customer.

sensory replication **(n.)**

engineering a product to match the taste, texture, or appearance of another. Sensory replication of meat's texture and "bleed" was the core research problem.

category placement **(n.)**

the physical or digital location where a product is shelved or displayed. Category placement in the meat aisle, not the health-food section, signalled who the product was for.

mainstreaming **(n.)**

adapting a niche product so a broad, non-niche audience will adopt it. Mainstreaming plant-based meat meant dropping the vegetarian-only framing entirely.

PHRASAL VERBS

win over **(phr. v.)**

to persuade someone to support you The product had to win over meat eaters, not vegetarians.

stand in for **(phr. v.)**

to take the place of something else Pea protein stands in for beef without asking the shopper to change aisle.

PRACTICE

TEST THE LIMIT

Sales fell once the novelty passed. Write the question the company should have asked its repeat buyers in year one.

USE THE LANGUAGE

Argue against a decision your team has already taken, using addressable market and mainstreaming.

DISCUSS

Who is the much larger customer your product could serve if it dropped its current niche framing?

WRITE

Identify one sensory or functional cue your product would need to match to win over a mainstream buyer.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

addressable market · category placement · flexitarian · mainstreaming · sensory replication

1. Targeting meat-eaters instead of vegetarians expanded the ___ by an order of magnitude.
2. The ___ shopper, not the committed vegetarian, was the real target customer.
3. ___ of meat's texture and "bleed" was the core research problem.
4. ___ in the meat aisle, not the health-food section, signalled who the product was for.
5. ___ plant-based meat meant dropping the vegetarian-only framing entirely.

SOURCES

C Widely reported in food-industry and consumer-trend business press.

C Beyond Meat and Impossible Foods investor filings and product-science reporting.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



09

Trader Joe's

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is trading assortment for curation. Cutting SKUs from tens of thousands to a tightly chosen few let Trader Joe's negotiate direct-from-vendor pricing and build private-label trust instead of competing on brand-name breadth.

Trader Joe's is a US grocery chain of around 600 stores that sells mostly its own brand — roughly 4,000 products against the 30,000 a normal supermarket carries.

Standard supermarkets fought over massive floor plans, carrying 30,000-plus brand-name SKUs and competing aggressively on manufacturer coupons.

Trader Joe's built an intimate, neighbourhood market centred on curated, high-quality private-label goods.

THE FOUR ACTIONS

ELIMINATE

Brand-name clutter, slotting fees, coupons, loyalty cards, and weekly sales.

REDUCE

SKU count to roughly a tenth of a standard supermarket, and store footprint with it.

RAISE

Private-label quality, staff friendliness, and the pleasure of discovery.

CREATE

A curated, globally-inspired own-brand range bought direct from vendors.

BUSINESS LENS

What would your organization gain by offering dramatically fewer choices, chosen more carefully?

KEY TAKEAWAYS

1. Cutting SKUs from tens of thousands to a curated few enabled direct-from-vendor pricing and simpler operations.
2. Private-label trust replaced brand-name breadth as the reason to shop there.
3. Eliminating coupons and slotting fees removed cost structures that had nothing to do with product quality.

SUMMARY

Trader Joe's shrank its product assortment down to a small, curated set of private-label goods, trading the brand-name breadth of a standard

> supermarket for lower prices, simpler operations, and a distinct shopping identity.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a curated, low-SKU model cannot serve shoppers who need a specific, standard brand-name item every time.

APPLY IT

Ask whether your organization is trying to offer everything to everyone, when a smaller, carefully chosen selection might build more loyalty and better economics.

VOCABULARY & PHRASAL VERBS

SKU **(n.)**

stock-keeping unit; a single distinct product tracked in inventory. Cutting the SKU count let Trader Joe's negotiate better terms on every remaining item.

private label **(n.)**

a retailer's own branded product line, made by or for it exclusively. Private-label goods let the store control quality and price without competing on manufacturer brand names.

curation **(n.)**

deliberately selecting a small set of options rather than offering everything available. Curation, not assortment, became the store's entire value proposition.

slotting fee **(n.)**

a payment a manufacturer makes a retailer for shelf placement. Eliminating slotting fees let smaller vendors compete for shelf space on product quality alone.

direct-from-vendor pricing **(n.)**

pricing negotiated straight with suppliers, bypassing standard distributor markups. Direct-from-vendor pricing was only possible once assortment was cut enough to negotiate seriously with each supplier.

PHRASAL VERBS

stock up on **(phr. v.)**

to buy a large quantity of something Shoppers stock up on own-brand goods they cannot buy anywhere else.

phase out **(phr. v.)**

to remove something gradually The chain phased out coupons and loyalty cards entirely.

PRACTICE

TEST THE LIMIT

The model needs shoppers who accept no choice of brand. Describe the customer this deliberately loses, and estimate what that costs.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using curation and SKU.

DISCUSS

What would you cut from your offering if you had to shrink it to a tenth of its current size?

WRITE

Name three products or services you would keep if forced to curate your offering down dramatically.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

curation · direct-from-vendor pricing · SKU · slotting fee · stock up on

1. Cutting the ___ count let Trader Joe's negotiate better terms on every remaining item.
2. ___, not assortment, became the store's entire value proposition.
3. Eliminating ___s let smaller vendors compete for shelf space on product quality alone.
4. ___ was only possible once assortment was cut enough to negotiate seriously with each supplier.
5. Shoppers ___ own-brand goods they cannot buy anywhere else.

SOURCES

C Retail-industry case studies on private-label grocery strategy.

C Trader Joe's company statements and grocery-industry trade analysis of private-label strategy.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.

10

Warby Parker

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is removing a monopoly's pricing power by going direct. Eyewear had extraordinary markups because a small number of licensors controlled both brands and distribution, and selling online at a flat rate broke that chain.

The eyewear market was dominated by a few vertically integrated conglomerates, forcing consumers to pay $400-plus for prescription frames at optical shops.

Warby Parker brought prescription eyewear online with a flat-rate, fashion-forward model.

THE FOUR ACTIONS

ELIMINATE

Licensing fees paid to eyewear conglomerates and the optical chain's retail markup.

REDUCE

The purchase risk of buying frames unseen, and the need to visit a store at all.

RAISE

Frame design quality per unit of cost, and the brand's cultural voice.

CREATE

The free five-frame Home Try-On kit, and a buy-a-pair-give-a-pair model built into the price.

BUSINESS LENS

What industry-standard markup in your business exists mainly because no one has challenged the intermediary charging it?

KEY TAKEAWAYS

1. Vertical integration — owning design, manufacturing, and sales — let Warby Parker cut out licensing fees and retail markups.
2. The "Home Try-On" kit solved the exact objection that kept eyewear tied to physical stores.
3. A flat, transparent price point built trust in a category known for opaque, inflated pricing.

SUMMARY

Warby Parker challenged a consolidated eyewear industry by selling direct online at a flat, transparent price, solving the fit problem with a free home try-on kit instead of relying on in-store fitting.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that online eyewear still depends on solving the fit and prescription problem physical stores solve automatically, which is exactly why the "Home Try-On" kit existed.

APPLY IT

Ask whether an assumed-necessary intermediary in your industry exists because it adds value, or because it has simply never been challenged.

VOCABULARY & PHRASAL VERBS

vertical integration **(n.)**

controlling multiple stages of production and distribution within one company. Vertical integration let Warby Parker set prices without paying separate licensing and retail margins.

price transparency **(n.)**

clear, consistent pricing that customers can understand without negotiation. Price transparency became a selling point in a category known for opaque markups.

consolidated market **(n.)**

an industry dominated by a small number of firms controlling most supply. A consolidated eyewear market had kept prices high for decades before new entrants challenged it.

trial-before-purchase **(n.)**

letting customers test a product risk-free before committing to buy. The trial-before-purchase model solved the fit problem that kept eyewear shopping tied to physical stores.

markup **(n.)**

the amount added to a product's cost to determine its selling price. Removing licensing fees and retail markup was the entire basis of the lower price point.

PHRASAL VERBS

try on **(phr. v.)**

to put clothing on to see whether it suits you The kit lets customers try on five frames at home for nothing.

send back **(phr. v.)**

to return something to where it came from Anything that does not suit can be sent back free of charge.

PRACTICE

TEST THE LIMIT

Warby Parker later opened physical stores. Explain what that says about the limits of removing a channel entirely.

USE THE LANGUAGE

Predict what your closest competitor will do next, using vertical integration and markup.

DISCUSS

What physical-world objection would your product need to solve to move fully online?

WRITE

Design a low-cost way to let customers 'try before they buy' your product or service.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

markup · price transparency · trial-before-purchase · try on · vertical integration

1. ___ let Warby Parker set prices without paying separate licensing and retail margins.
2. ___ became a selling point in a category known for opaque markups.
3. The ___ model solved the fit problem that kept eyewear shopping tied to physical stores.
4. Removing licensing fees and retail ___ was the entire basis of the lower price point.
5. The kit lets customers ___ five frames at home for nothing.

SOURCES

C Widely reported in retail and e-commerce business press; company communications.

C Warby Parker S-1 filing and direct-to-consumer retail case studies.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



11

Dyson: The Bagless Vacuum Cleaner

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is treating a commodity appliance category as an engineering problem. Bagless suction technology solved a frustration — suction loss — that customers had simply accepted as normal, then priced the solution as premium hardware.

Vacuum makers competed on bag size, motor horsepower, and cheap plastic builds, selling commoditized appliances.

Dyson applied high-tech engineering and premium industrial design to solve fundamental user frustrations.

THE FOUR ACTIONS

ELIMINATE

Disposable vacuum bags — and with them the replacement-bag revenue every rival depended on.

REDUCE

Loss of suction over the life of the machine.

RAISE

Engineering visibility, industrial design, and price.

CREATE

> Household appliances positioned, marketed and priced as premium technology hardware.

BUSINESS LENS

What frustration have your customers stopped complaining about because they assume no one will fix it?

KEY TAKEAWAYS

1. Solving an accepted frustration — suction loss — created differentiation a commoditized category had lost entirely.
2. Premium industrial design let Dyson charge multiples of the category's typical price.
3. Treating household appliances as engineering problems, not commodities, changed how the category was marketed.

SUMMARY

Dyson applied serious engineering to a commodity category everyone else was racing to the bottom on price, solving an accepted frustration — suction loss — and repositioning household appliances as premium technology.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that premium engineering pricing only holds up as long as the performance gap over cheaper competitors remains real and visible to the customer.

APPLY IT

Ask what frustration your customers have quietly accepted as "just how it works," and whether solving it could justify a premium price rather than a cost cut.

VOCABULARY & PHRASAL VERBS

commoditization **(n.)**

a process where products become interchangeable and compete mainly on price. Dyson escaped commoditization by treating vacuums as an engineering problem, not a price race.

premium pricing **(n.)**

setting price well above the category average based on differentiated value. Premium pricing was only sustainable because the performance gap was real and visible.

accepted frustration **(n.)**

a persistent product flaw customers have stopped expecting anyone to fix. Suction loss was an accepted frustration until someone engineered it away.

industrial design **(n.)**

the discipline of designing manufactured products for both function and form. Strong industrial design turned a vacuum cleaner into an object people displayed rather than hid.

performance gap **(n.)**

a measurable difference in effectiveness between a product and its alternatives. The performance gap over bagged vacuums was large enough to justify the price premium.

PHRASAL VERBS

do away with **(phr. v.)**

to get rid of something completely Dual cyclones did away with the bag, and with the replacement-bag revenue that came with it.

hold up **(phr. v.)**

to remain strong or effective over time Suction holds up over years instead of fading as a bag fills.

PRACTICE

TEST THE LIMIT

Dyson's patents ran out and cheap cyclonic vacuums appeared. Name the advantage that was left, and say whether it was enough.

USE THE LANGUAGE

Explain commoditization and performance gap to a colleague who has never heard either term.

DISCUSS

What accepted frustration in your category has no one tried seriously to solve?

WRITE

Name one 'normal' flaw in your product category and sketch how you would engineer it away.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

accepted frustration · commoditization · industrial design · performance gap · premium pricing

1. Dyson escaped ___ by treating vacuums as an engineering problem, not a price race.
2. ___ was only sustainable because the performance gap was real and visible.
3. Suction loss was an ___ until someone engineered it away.
4. Strong ___ turned a vacuum cleaner into an object people displayed rather than hid.
5. The ___ over bagged vacuums was large enough to justify the price premium.

SOURCES

B Dyson corporate history and product-engineering case studies.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.

12

Red Bull

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is inventing a new consumption occasion rather than competing in an existing one. Red Bull was not trying to quench thirst better than soda; it was selling a mental-performance ritual soda had never addressed.

Soft drink giants competed on sweet flavours, large volume-to-price ratios, and quenching thirst in traditional soda fountains.

Red Bull invented the modern "energy drink" category, focused on mental stamina and lifestyle performance rather than thirst.

THE FOUR ACTIONS

ELIMINATE

Large-format cans, mass-market flavour appeal, and price competition with soft drinks.

REDUCE

Volume per serving, to 250 ml where soft drinks sold 355.

RAISE

Price per millilitre, the functional claim, and credibility inside youth subcultures.

CREATE

The energy drink category itself, built through extreme sport and event ownership as much as advertising.

BUSINESS LENS

What new occasion or ritual could your product create, rather than compete for an existing one?

KEY TAKEAWAYS

1. Positioning around mental stamina, not thirst, created an entirely new consumption occasion.
2. A small, expensive, medicinal-tasting can signalled a different category than traditional soda on purpose.
3. Partnering exclusively with extreme sports and youth subcultures built identity faster than mass advertising could.

SUMMARY

Red Bull invented the energy-drink category by selling mental stamina and lifestyle identity rather than thirst-quenching, using a small premium-priced can and subculture partnerships to signal it belonged to a different category than soda altogether.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a premium price on a small can only works once a genuine new use-occasion has been created; without one, it just looks overpriced.

APPLY IT

Ask whether your product is being judged against the wrong occasion — competing on an existing use case when it could define a new one entirely.

VOCABULARY & PHRASAL VERBS

consumption occasion **(n.)**

the specific moment or context in which a customer uses a product. Red Bull created a new consumption occasion — needing an edge — instead of competing for thirst.

category creation **(n.)**

establishing a new product category rather than competing within an existing one. Category creation let Red Bull set its own pricing logic instead of matching soda prices.

subculture marketing **(n.)**

building brand identity through close association with a specific community. Subculture marketing through extreme sports built credibility faster than traditional advertising.

use case **(n.)**

a specific way or situation in which a product is used. Reframing the use case from thirst to performance justified a completely different price point.

brand identity **(n.)**

the distinct personality and associations a brand builds with customers. A deliberately unusual taste and small can size reinforced a brand identity distinct from soda.

PHRASAL VERBS

catch on **(phr. v.)**

to become popular The drink caught on in nightclubs and ski resorts long before it reached supermarkets.

team up with **(phr. v.)**

to join forces with someone Red Bull teamed up with extreme athletes long before it was a household name.

PRACTICE

TEST THE LIMIT

Red Bull sells a taste most people dislike. Explain how that became an advantage rather than a problem.

USE THE LANGUAGE

Describe a decision in your own organization using consumption occasion and category creation.

DISCUSS

What existing occasion is your product wrongly being compared against?

WRITE

Name one new occasion your product could own if it stopped competing in its current category.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

brand identity · category creation · consumption occasion · subculture marketing · use case

1. Red Bull created a new ___ — needing an edge — instead of competing for thirst.
2. ___ let Red Bull set its own pricing logic instead of matching soda prices.
3. ___ through extreme sports built credibility faster than traditional advertising.
4. Reframing the ___ from thirst to performance justified a completely different price point.
5. A deliberately unusual taste and small can size reinforced a ___ distinct from soda.

SOURCES

C Widely documented in beverage-industry and brand-marketing case studies.

C Red Bull GmbH company statements and sports-marketing case literature.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



PART II

Tech, Platforms & Media

What happens when a platform removes the friction an entire industry had learned to live with?

Eleven technology and media ventures that rebuilt distribution, pricing, or access from first principles — from Netflix's mail-order disruption of video rental to Zoom's radical simplicity and Duolingo's gamified free tier.

WEEKS 13–23

13

Netflix: DVD Mail-Order Era

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is removing the profit source that punished the customer. Late fees funded Blockbuster's model, so a flat subscription with no due dates could not simply match the price — it had to remove the entire incentive structure.

Blockbuster and video rental shops competed on store locations and shelf real estate, and relied heavily on punitive late fees for profit.

Netflix transformed home video rental into a frictionless subscription model with no physical store visits required.

THE FOUR ACTIONS

ELIMINATE

Late fees, due dates, physical stores, and per-rental pricing.

REDUCE

The instant gratification of walking out of a shop holding the film.

RAISE

Catalogue breadth into the long tail, and the quality of recommendation.

CREATE

> A flat monthly subscription with an unlimited queue, delivered by post.

BUSINESS LENS

Does any part of your revenue model depend on customers making a mistake, the way late fees did?

KEY TAKEAWAYS

1. Late fees were a profit centre for video rental, which meant removing them required rebuilding the entire business model, not just cutting a charge.
2. A queue-based mail system replaced the urgency of a due date with the patience of a subscription.
3. Netflix's willingness to later cannibalize its own DVD model with streaming shows a blue ocean strategy is never permanent.

SUMMARY

Netflix challenged the video rental industry's reliance on late fees by building a flat-rate, no-due-date subscription model, foreshadowing the same willingness to disrupt its own business that later drove its shift to streaming.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a mail-based queue model only worked as a transitional step; Netflix's own later shift to streaming shows that even a successful blue ocean must keep moving.

APPLY IT

Ask whether part of your revenue depends on penalizing the customer, and what would happen if a competitor removed that penalty entirely.

VOCABULARY & PHRASAL VERBS

penalty-based revenue **(n.)**

income generated by fees for customer error rather than value delivered. Late fees were a penalty-based revenue source that a subscription model eliminated entirely.

subscription queue **(n.)**

a rental system where customers rank items to receive over time rather than choosing per transaction. The subscription queue removed the urgency of a due date without removing the habit of regular use.

business model cannibalization **(n.)**

deliberately undercutting your own existing revenue stream with a new offering. Business model cannibalization let Netflix move to streaming before a competitor forced it to.

flat-rate pricing **(n.)**

one price covering unlimited or bundled use within a period. Flat-rate pricing replaced per-rental transactions with predictable monthly billing.

incentive structure **(n.)**

the set of rewards and penalties that shape customer or employee behaviour. Blockbuster's incentive structure rewarded punctuality; Netflix's rewarded loyalty instead.

PHRASAL VERBS

build up **(phr. v.)**

to accumulate gradually Late fees built up until customers resented the shop that charged them.

line up **(phr. v.)**

to arrange things in order, ready for use Subscribers line up films in a queue and the next one arrives automatically.

PRACTICE

TEST THE LIMIT

Netflix killed its own DVD business with streaming. Name the product of yours you would have to be willing to kill, and say what stops you.

USE THE LANGUAGE

Compare two competitors in your market using penalty-based revenue and flat-rate pricing.

DISCUSS

What would your organization need to disrupt about itself before a competitor does it first?

WRITE

Identify one penalty-based charge in your business and imagine removing it entirely.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

business model cannibalization · flat-rate pricing · incentive structure · penalty-based revenue · subscription queue

1. Late fees were a ___ source that a subscription model eliminated entirely.
2. The ___ removed the urgency of a due date without removing the habit of regular use.
3. ___ let Netflix move to streaming before a competitor forced it to.
4. ___ replaced per-rental transactions with predictable monthly billing.
5. Blockbuster's ___ rewarded punctuality; Netflix's rewarded loyalty instead.

SOURCES

B Widely documented in business-strategy and technology-disruption case studies.

B Netflix investor communications and shareholder letters covering the DVD-by-mail period.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Spotify

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is converting a legal-versus-illegal choice into a value choice. Spotify did not out-compete iTunes on price per song; it removed the reason to pirate at all by making legal access cheaper and easier than theft.

Consumers chose between purchasing digital tracks individually, at roughly $0.99 on iTunes, or managing illegal, virus-prone MP3 downloads via torrent sites.

Spotify provided instant access to the entire world's music library for a single low monthly fee, or a free ad-supported tier.

THE FOUR ACTIONS

ELIMINATE

Per-track purchase, ownership of files, and the legal-versus-illegal choice itself.

REDUCE

The administrative work of managing a music library.

RAISE

Catalogue access, discovery, and convenience measured against piracy rather than against iTunes.

CREATE

A free ad-supported tier that made the legal option more convenient than the illegal one.

BUSINESS LENS

Is your real competition another company, or the workaround customers use because your product is too inconvenient?

KEY TAKEAWAYS

1. Making legal access more convenient than piracy removed the incentive to break the law, not just the incentive to buy elsewhere.
2. Shifting from ownership to access changed what customers were actually paying for.
3. A free ad-supported tier converted non-paying pirates into a different kind of monetizable user.

SUMMARY

Spotify's real competitor was not iTunes but piracy itself, and it won by making legal, convenient access to the entire music library cheaper and easier than downloading illegally, converting ownership-based purchasing into an access-based subscription.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a low-margin, high-volume streaming model depends entirely on scale and licensing deals that smaller entrants cannot easily replicate.

APPLY IT

Ask whether your competitor is really a rival company, or an illegitimate alternative your customers turn to because your legitimate option is too slow, expensive, or restrictive.

VOCABULARY & PHRASAL VERBS

access vs. ownership **(n.)**

a shift in what a customer is paying for — ongoing use rather than permanent possession. The access-vs-ownership shift redefined what a music subscription was actually selling.

piracy displacement **(n.)**

reducing illegal use by making the legal alternative more convenient. Piracy displacement, not price competition, was Spotify's real strategic target.

freemium **(adj.)**

describing a model that offers a free tier alongside a paid tier with additional features. The freemium tier converted non-paying users into an audience advertisers would pay to reach.

licensing deal **(n.)**

a legal agreement to use copyrighted content in exchange for payment. Massive licensing deals with labels were the real barrier to entry competitors struggled to match.

catalogue access **(n.)**

the ability to reach an entire library of content rather than individual purchases. Catalogue access, not per-song ownership, became the entire value proposition.

PHRASAL VERBS

give up **(phr. v.)**

to stop doing or having something Listeners gave up owning music once access became easier than ownership.

win back **(phr. v.)**

to recover something you had lost Streaming won back an audience the industry had already lost to piracy.

PRACTICE

TEST THE LIMIT

Artists argue the economics do not work for them. Write the case a musician would make against the model you have just admired.

USE THE LANGUAGE

Argue against a decision your team has already taken, using access vs. ownership and piracy displacement.

DISCUSS

What illegitimate workaround are your customers using instead of your product?

WRITE

Identify one friction point pushing customers toward an illegitimate alternative to your offering.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

access vs. ownership · catalogue access · freemium · licensing deal · piracy displacement

1. ___, not price competition, was Spotify's real strategic target.
2. The ___ tier converted non-paying users into an audience advertisers would pay to reach.
3. Massive ___s with labels were the real barrier to entry competitors struggled to match.
4. ___, not per-song ownership, became the entire value proposition.
5. The ___ shift redefined what a music subscription was actually selling.

SOURCES

B Widely documented in digital-media and music-industry disruption case studies.

B Spotify F-1 filing and published analysis of streaming's effect on recorded-music piracy.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



15

Canva

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is collapsing a skill barrier. Professional design software required training most people would never get, so building drag-and-drop templates removed the skill requirement rather than the price.

Graphic design software was split between overly complex, expensive professional suites such as Adobe Photoshop and Illustrator, and primitive paint tools.

Canva democratized graphic design for everyday non-designers needing quick social media graphics and presentations.

THE FOUR ACTIONS

ELIMINATE

Steep learning curves, desktop installation, and perpetual licence costs.

REDUCE

Feature depth, relative to professional design tools.

RAISE

Speed from blank page to finished design, and the quality of the starting templates.

CREATE

Browser-based drag-and-drop design for people who do not consider themselves designers.

BUSINESS LENS

What skill does your product currently assume the customer already has?

KEY TAKEAWAYS

1. Removing the skill barrier, not just the price barrier, opened design software to a mass non-designer audience.
2. Browser-based access eliminated the friction of heavy desktop installation.
3. Pre-made templates let novice users produce professional-looking results without design training.

SUMMARY

Canva removed the steep learning curve that had kept graphic design software confined to professionals, using browser-based, template-driven tools to open the category to everyday non-designers who only needed quick, presentable results.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that removing the skill barrier can also cap the creative ceiling — Canva was never trying to replace what a trained designer produces for complex, brand-critical work.

APPLY IT

Ask whether your product requires a skill your customer does not have and does not want to learn, and whether templates or defaults could remove that requirement.

VOCABULARY & PHRASAL VERBS

skill barrier **(n.)**

a required competence that prevents adoption regardless of price. Canva's real innovation was removing the skill barrier, not undercutting Adobe on price.

template-driven design **(n.)**

a workflow built around pre-made, editable starting layouts. Template-driven design let novices produce polished graphics without training.

mass adoption **(n.)**

a product reaching a broad, non-specialist user base rather than a niche. Mass adoption became possible only once the skill requirement was designed away.

browser-based platform **(n.)**

software delivered through a web browser rather than a local installation. A browser-based platform removed the friction of installing and updating desktop software.

democratization **(n.)**

making a capability accessible to a much broader group than before. Democratization of graphic design was the entire premise of the product.

PHRASAL VERBS

get around **(phr. v.)**

to avoid or find a way past a problem Templates get around the blank page that stops most non-designers.

roll out **(phr. v.)**

to launch something broadly Canva rolled out its browser tool to people who had never opened design software.

PRACTICE

TEST THE LIMIT

Professional designers dismissed Canva for years. Explain why that dismissal was useful to Canva, and when it stopped being useful.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using skill barrier and democratization.

DISCUSS

What would it take to remove the skill requirement from your product entirely?

WRITE

Sketch a template or default setting that would let a novice use your product successfully.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

browser-based platform · democratization · mass adoption · skill barrier · template-driven design

1. Canva's real innovation was removing the ____, not undercutting Adobe on price.
2. ____ let novices produce polished graphics without training.
3. ____ became possible only once the skill requirement was designed away.
4. A ____ removed the friction of installing and updating desktop software.
5. ____ of graphic design was the entire premise of the product.

SOURCES

C Widely reported in technology and design-software business press.

C Canva company statements and coverage of browser-based design tooling.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Square (Block)

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is redesigning underwriting risk for a completely different customer. Micro-merchants were unprofitable for traditional processors because of fixed costs, so Square replaced long credit checks and rented terminals with a cheap reader and flat per-transaction pricing.

Traditional credit card processing required small merchants to complete long credit checks, rent expensive terminals, and pay high monthly merchant fees.

Square enabled micro-merchants — food trucks, farmers market vendors, local artists — to accept card payments via their smartphones.

THE FOUR ACTIONS

ELIMINATE

Merchant-account underwriting, monthly contracts, and terminal leases.

REDUCE

Hardware cost to effectively nothing.

RAISE

Speed of sign-up and transparency of pricing.

CREATE

A plug-in reader and flat per-transaction pricing that made micro-merchants able to take cards for the first time.

BUSINESS LENS

Which underserved, smaller customer is your current pricing and onboarding model quietly excluding?

KEY TAKEAWAYS

1. Micro-merchants were unprofitable under the old underwriting model, which is exactly the segment Square redesigned for.
2. A cheap plug-in reader replaced expensive rented terminals as the entry point to card processing.
3. Flat per-transaction pricing removed the complexity that had made card processing feel inaccessible to small sellers.

SUMMARY

Square opened card payments to micro-merchants — food trucks, market vendors, local artists — who traditional processors had priced out with long underwriting and rented hardware, replacing both with a cheap reader and flat, simple pricing.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that flat per-transaction pricing scales worse than negotiated enterprise rates once a merchant's volume grows large enough to warrant a custom deal.

APPLY IT

Ask whether your pricing and onboarding process is built for your biggest customers in a way that quietly excludes your smallest ones.

VOCABULARY & PHRASAL VERBS

micro-merchant **(n.)**

a very small seller, such as a market vendor or food truck, transacting in small volumes. Micro-merchants were the underserved segment traditional card processors had no model for.

underwriting **(n.)**

the process of assessing risk before extending credit or service. Simplified underwriting let Square approve small sellers in minutes instead of weeks.

per-transaction pricing **(n.)**

charging a fixed percentage or fee on each individual sale. Per-transaction pricing replaced the fixed monthly fees that had priced out small merchants.

entry point **(n.)**

the first, lowest-friction product a customer adopts before deeper engagement. A cheap plug-in reader was the entry point that got merchants into the broader Square ecosystem.

underserved segment **(n.)**

a customer group whose needs existing providers do not adequately meet. Serving the underserved segment of micro-merchants opened a market incumbents had ignored.

PHRASAL VERBS

sign up **(phr. v.)**

to register for a service A market trader can sign up and take a card payment the same afternoon.

turn away **(phr. v.)**

to refuse to serve or admit someone Banks had always turned away merchants too small to underwrite.

PRACTICE

TEST THE LIMIT

Square's micro-merchants are the least profitable customers a bank could have. Explain why Square wanted them anyway.

USE THE LANGUAGE

Predict what your closest competitor will do next, using underwriting and underserved segment.

DISCUSS

Who is the smallest, least profitable customer your current model excludes?

WRITE

Design a simplified onboarding process for the customer your business currently turns away.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

entry point · micro-merchant · per-transaction pricing · underserved segment · underwriting

1. ___s were the underserved segment traditional card processors had no model for.
2. Simplified ___ let Square approve small sellers in minutes instead of weeks.
3. ___ replaced the fixed monthly fees that had priced out small merchants.
4. A cheap plug-in reader was the ___ that got merchants into the broader Square ecosystem.
5. Serving the ___ of micro-merchants opened a market incumbents had ignored.

SOURCES

B Widely documented in fintech and small-business payments case studies.

B Block (Square) investor filings and payments-industry analysis of micro-merchant acceptance.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



17

Zoom

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is optimizing for the one metric that mattered most and that no one else prioritized: reliability on weak, ordinary networks, achieved by cutting every step between a link and a working video call.

Enterprise video conferencing platforms such as Cisco WebEx and Skype were widely seen as clunky, requiring heavy software installations, account sign-ups, and complex room codes.

Zoom focused fanatically on frictionless video connection that worked seamlessly even on weak networks.

THE FOUR ACTIONS

ELIMINATE

Mandatory software installation and account creation for attendees, and IT provisioning for hosts.

REDUCE

The feature surface presented to the user at the moment of joining.

RAISE

Connection reliability on poor networks, video quality, and the generosity of the free tier.

CREATE

A one-click browser join link that let anyone host, not only anyone attend.

BUSINESS LENS

What is the one point of friction that, if you removed it, would make your product feel effortless by comparison?

KEY TAKEAWAYS

1. Reliability on weak networks was the specific technical bar competitors had not prioritized.
2. One-click browser joining removed the single biggest adoption barrier: mandatory software installation.
3. Focusing on one metric — connection reliability — rather than a feature checklist drove the product's growth.

SUMMARY

Zoom won a crowded video-conferencing market by obsessing over the one thing competitors had underinvested in — reliable connections on weak networks — and removing every step between clicking a link and being on a call.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that frictionless free access invited both explosive growth and the security and moderation problems — like uninvited call intrusions — that came with scaling so fast.

APPLY IT

Ask what single friction point, if removed, would make your product feel effortless compared to every alternative your customer has tried.

VOCABULARY & PHRASAL VERBS

one-click access **(n.)**

a workflow requiring a single action to reach a working product. One-click access removed the account setup that had frustrated video-conferencing users for years.

network reliability **(n.)**

a system's ability to function consistently under imperfect connection conditions. Network reliability on weak connections became Zoom's core competitive obsession.

adoption barrier **(n.)**

any requirement that discourages a potential user from starting to use a product. Mandatory account creation was the single largest adoption barrier Zoom eliminated.

frictionless onboarding **(n.)**

a signup or first-use process requiring minimal effort from the customer. Frictionless onboarding let attendees join calls without ever creating an account.

core metric obsession **(n.)**

concentrating product effort on the single measure that matters most to users. Core metric obsession over reliability mattered more than out-featuring competitors.

PHRASAL VERBS

drop out **(phr. v.)**

to disconnect or leave before the end Calls did not drop out on weak connections the way rivals' did.

set up **(phr. v.)**

to arrange or install something before use Attendees join without setting up an account or installing anything.

PRACTICE

TEST THE LIMIT

Frictionless joining is also how uninvited guests got in. Write that trade-off as a single sentence a product manager could act on.

USE THE LANGUAGE

Explain network reliability and adoption barrier to a colleague who has never heard either term.

DISCUSS

What single metric, if you obsessed over it above all else, would most improve your product?

WRITE

Identify the one extra step in your product's signup flow that could be removed entirely.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

adoption barrier · core metric obsession · frictionless onboarding · network reliability · one-click access

1. ____ removed the account setup that had frustrated video-conferencing users for years.
2. ____ on weak connections became Zoom's core competitive obsession.
3. Mandatory software installation was the single largest ____ Zoom eliminated.
4. ____ let attendees join calls without ever creating an account.
5. ____ over reliability outweighed adding more features than competitors.

SOURCES

B Widely documented in enterprise-software and remote-work business press.

B Zoom Video Communications S-1 filing and enterprise-software analysis of adoption friction.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Roblox

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is shifting from producer to platform. Instead of spending on its own game development, Roblox built the tools and economy that let millions of independent creators do the producing instead.

Video game studios spent tens of millions developing linear, pre-scripted AAA games with fixed storylines for traditional consoles.

Roblox built a sandbox platform where kids and independent creators built, shared, and monetized their own games.

THE FOUR ACTIONS

ELIMINATE

In-house game development and publishing.

REDUCE

Graphical fidelity, well below what competing platforms offered.

RAISE

Creator tooling, discovery, and the moderation infrastructure a young audience requires.

CREATE

An internal economy — Robux — that paid creators, turning players into a development workforce paid only in the platform's own currency.

BUSINESS LENS

Could your organization become a platform for others to build on, rather than the sole producer of everything it offers?

KEY TAKEAWAYS

1. Shifting from developer to platform host multiplied content output without multiplying internal headcount.
2. A virtual internal economy (Robux) gave creators a direct financial incentive to keep building.
3. An easy-to-use engine lowered the skill floor for who could become a creator on the platform.

SUMMARY

Roblox stepped back from being a game developer to become a platform host, building an accessible game engine and an internal economy that let independent and young creators build, share, and monetize their own games at a scale no single studio could match.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that platform quality becomes uneven and harder to control once content creation is handed to a large, decentralized creator base rather than an internal studio.

APPLY IT

Ask whether your organization is trying to produce everything itself when it could instead build the tools that let others produce it for you.

VOCABULARY & PHRASAL VERBS

platform model **(n.)**

a business structure that enables and profits from others' activity rather than producing directly. The platform model let Roblox scale content without scaling its own development team.

internal economy **(n.)**

a currency or exchange system operating entirely within a platform. Robux, the internal economy, gave creators a direct financial reason to keep building.

creator tools **(n.)**

software that enables non-professional users to build and publish content. Accessible creator tools lowered the skill floor for who could publish a game.

decentralized production **(n.)**

content or output generated by many independent parties rather than one central team. Decentralized production scaled content output far beyond what an internal studio could produce.

skill floor **(n.)**

the minimum competence required before someone can meaningfully use a tool. Lowering the skill floor let far more creators participate than a traditional game engine allowed.

PHRASAL VERBS

take over **(phr. v.)**

to assume control of something Players took over the work of building the games.

cash out **(phr. v.)**

to convert holdings into money Successful creators can cash out their Robux earnings.

PRACTICE

TEST THE LIMIT

The platform depends on young creators who are not employees. Write the strongest criticism of that arrangement, and the strongest defence.

USE THE LANGUAGE

Describe a decision in your own organization using platform model and creator tools.

DISCUSS

What would it take for your organization to become a platform instead of a sole producer?

WRITE

Sketch what an internal economy or incentive system could look like for external contributors to your product.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

creator tools · decentralized production · internal economy · platform model · skill floor

1. The ___ let Roblox scale content without scaling its own development team.
2. Robux, the ___, gave creators a direct financial reason to keep building.
3. Accessible ___ lowered the skill floor for who could publish a game.
4. ___ scaled content output far beyond what an internal studio could produce.
5. Lowering the ___ let far more creators participate than a traditional game engine allowed.

SOURCES

C Widely documented in gaming-industry and platform-economics business press.

C Roblox Corporation S-1 filing and platform-economy analysis of creator monetization.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Nintendo Switch

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is trading a metric competitors were racing on — raw processing power — for a capability none of them had: seamless portability between TV and handheld play.

Home consoles competed purely on processing power against PCs, while mobile gaming was confined to small smartphone screens.

Nintendo merged home console gaming and handheld portable gaming into a single hybrid device.

THE FOUR ACTIONS

ELIMINATE

The forced choice between a living-room console and a handheld device.

REDUCE

Raw processing power and 4K output.

RAISE

Portability, local multiplayer, and first-party title quality.

CREATE

A hybrid device with detachable controllers that docks to a television and lifts out for the train.

BUSINESS LENS

What metric is your industry racing on that customers might trade away for a capability no one currently offers?

KEY TAKEAWAYS

1. Sacrificing raw processing power funded a hybrid capability — TV-to-handheld portability — competitors were not building.
2. Merging two separate product categories (console and handheld) removed the need to choose between them.
3. Accepting a performance ceiling was a deliberate trade-off, not an oversight.

SUMMARY

Nintendo Switch deliberately sacrificed the cutting-edge processing power that home consoles and PCs were racing on, using the freed engineering budget to merge home and handheld gaming into a single seamless hybrid device.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that sacrificing performance caps how well a hybrid device can run the most demanding, graphics-intensive titles, a trade-off Nintendo accepted deliberately.

APPLY IT

Ask what performance metric your industry is racing on, and whether sacrificing some of it could fund a capability no competitor currently offers at all.

VOCABULARY & PHRASAL VERBS

hybrid device **(n.)**

a product merging the capabilities of two previously separate categories. The hybrid device removed the need to choose between a home console and a handheld.

performance ceiling **(n.)**

the upper limit of processing capability a design deliberately accepts. Accepting a lower performance ceiling than PCs and rival consoles was a conscious trade-off.

category merger **(n.)**

combining two previously distinct product categories into one. A category merger of console and handheld gaming was the entire strategic bet.

portability **(n.)**

a product's ability to be used effectively in multiple physical contexts. Portability, not power, became the console's defining competitive advantage.

deliberate trade-off **(n.)**

a conscious choice to sacrifice one capability in exchange for another. The deliberate trade-off of power for flexibility defined the entire design brief.

PHRASAL VERBS

keep up with **(phr. v.)**

to stay level with someone moving fast Nintendo stopped trying to keep up with Sony and Microsoft on raw power.

pick up **(phr. v.)**

to resume something where you left it Players pick up on the train the same game they left on the television.

PRACTICE

TEST THE LIMIT

Nintendo has lost badly when it guessed wrong on form factor. Name one assumption behind your own product that would be fatal if it were wrong.

USE THE LANGUAGE

Compare two competitors in your market using performance ceiling and category merger.

DISCUSS

What two separate product categories in your industry could be merged into one hybrid offering?

WRITE

Identify one performance metric you would sacrifice in exchange for a capability no competitor has.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

category merger · deliberate trade-off · hybrid device · performance ceiling · portability

1. The ___ removed the need to choose between a home console and a handheld.
2. Accepting a lower ___ than PCs and rival consoles was a conscious trade-off.
3. A ___ of console and handheld gaming was the entire strategic bet.
4. ___, not power, became the console's defining competitive advantage.
5. The ___ of power for flexibility defined the entire design brief.

SOURCES

B Widely documented in gaming-hardware industry press and Nintendo's own product communications.

B Nintendo annual reports and hardware-strategy analysis of the hybrid console.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Duolingo

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is converting an expensive, high-commitment purchase into a free, low-commitment habit. Gamified streaks and XP replaced tuition and structured courses as the reason to keep showing up.

Language learning was dominated by expensive classroom courses, private tutors, or bulky $500 software suites like Rosetta Stone.

Duolingo turned language learning into a free, bite-sized mobile gaming experience.

THE FOUR ACTIONS

ELIMINATE

Tuition fees, fixed class schedules, and textbook purchase.

REDUCE

Depth and pace of instruction in any single session.

RAISE

Habit formation, accessibility, and enjoyment.

CREATE

A free gamified course funded by advertising and a paid tier, aimed at people who would never enrol in a class.

BUSINESS LENS

Could your product be redesigned as a daily five-minute habit instead of a large, infrequent commitment?

KEY TAKEAWAYS

1. Turning language learning into a daily game replaced tuition-sized commitment with habit-sized engagement.
2. A freemium model, not upfront pricing, funded access for a much larger user base.
3. Streaks and leaderboards borrowed gaming mechanics to sustain engagement that traditional courses struggled to maintain.

SUMMARY

Duolingo replaced expensive classroom courses and bulky software suites with a free, gamified mobile habit, using streaks, XP, and leaderboards to sustain daily engagement and a freemium model to monetize a far larger audience than paid language software ever reached.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that gamified engagement can optimize for streak maintenance rather than actual language fluency, a real gap between the metric and the goal.

APPLY IT

Ask whether your product could be broken into small enough daily habits that a free tier, funded by ads or upgrades, could replace a large upfront purchase.

VOCABULARY & PHRASAL VERBS

gamification **(n.)**

applying game-design elements like points and streaks to a non-game product. Gamification of daily practice sustained engagement traditional courses struggled to maintain.

habit loop **(n.)**

a repeating cycle of cue, action, and reward that builds a regular behaviour. The streak mechanic built a habit loop around daily five-minute practice sessions.

freemium model **(n.)**

offering a free tier while monetizing a smaller paid tier or ads. The freemium model let Duolingo reach users who would never have paid for Rosetta Stone.

engagement metric **(n.)**

a measure of how actively and consistently users interact with a product. Streak length became the engagement metric the entire design was built around.

upfront commitment **(n.)**

a large cost or effort a customer must accept before receiving any value. Removing upfront commitment let far more people simply try the product.

PHRASAL VERBS

keep up **(phr. v.)**

to continue at the same rate Streaks exist to make learners keep up a daily habit.

give up **(phr. v.)**

to quit before finishing Most learners give up in the first month, so the whole design attacks that month.

PRACTICE

TEST THE LIMIT

Very few users reach fluency. Argue that this is a real failure — then argue that it is not.

USE THE LANGUAGE

Argue against a decision your team has already taken, using gamification and habit loop.

DISCUSS

What large, infrequent commitment in your product could be broken into a small daily habit?

WRITE

Design one gamified element that would encourage a customer to return to your product daily.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

engagement metric · freemium model · gamification · habit loop · upfront commitment

1. ___ of daily practice sustained engagement traditional courses struggled to maintain.
2. The streak mechanic built a ___ around daily five-minute practice sessions.
3. The ___ let Duolingo reach users who would never have paid for Rosetta Stone.
4. Streak length became the ___ the entire design was built around.
5. Removing ___ let far more people simply try the product.

SOURCES

C Widely documented in edtech and mobile-app business press.

C Duolingo S-1 filing and published research on gamified learning retention.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Salesforce

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is shifting cost and risk from the customer to the vendor. Eliminating on-premise servers and licences meant Salesforce absorbed infrastructure cost in exchange for predictable recurring revenue.

Enterprise software giants sold expensive CD-ROM software licences that required dedicated on-premise servers and costly IT maintenance.

Salesforce pioneered "Software as a Service" delivered entirely through the cloud.

THE FOUR ACTIONS

ELIMINATE

On-premise servers, perpetual licences, manual upgrades, and multi-month implementation projects.

REDUCE

The upfront commitment, and the customer's dependence on its own IT department.

RAISE

Upgrade frequency, and access from any machine with a browser.

CREATE

Enterprise software delivered as a monthly subscription over the web — the SaaS category itself.

BUSINESS LENS

Could your product move from an upfront licence to a recurring subscription, and what would that trade for your business?

KEY TAKEAWAYS

1. Eliminating on-premise hardware and licensing shifted infrastructure risk from customer to vendor.
2. A subscription model converted large, lumpy upfront sales into predictable recurring revenue.
3. Delivering entirely through the cloud removed the IT maintenance burden that had locked customers into legacy vendors.

SUMMARY

Salesforce pioneered Software as a Service by eliminating on-premise servers and upfront licensing fees, absorbing infrastructure cost itself in exchange for the predictable, recurring revenue of a subscription relationship.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a subscription model depends on retention; a SaaS vendor's revenue can unwind as fast as it was built if customers churn.

APPLY IT

Ask whether your product could shift from a large upfront cost to a smaller recurring one, absorbing infrastructure risk in exchange for predictable revenue.

VOCABULARY & PHRASAL VERBS

Software as a Service **(n.)**

delivering software through the cloud on a subscription basis rather than as installed, licensed product. Software as a Service removed the need for customers to run their own servers.

recurring revenue **(n.)**

predictable income generated from ongoing subscriptions rather than one-time sales. Recurring revenue gave Salesforce a more stable growth trajectory than one-time licence sales.

churn **(n.)**

the rate at which customers cancel or stop using a subscription service. Low churn was essential once the business model depended entirely on renewal.

on-premise **(adj.)**

software or hardware installed and run on a customer's own physical infrastructure. On-premise software required IT staff that many smaller customers could not afford to maintain.

infrastructure risk **(n.)**

the cost and responsibility of maintaining the technical systems a product depends on. Shifting infrastructure risk to the vendor was the core value proposition of the SaaS model.

PHRASAL VERBS

put off **(phr. v.)**

to discourage someone; also, to postpone Multi-month implementations put buyers off for years.

log on **(phr. v.)**

to gain access to a computer system Staff log on from any browser instead of waiting for IT to install anything.

PRACTICE

TEST THE LIMIT

Subscription revenue is predictable but slow to build. Explain what a company gives up in the first three years in order to get it.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using recurring revenue and churn.

DISCUSS

What upfront cost in your business could become a recurring subscription instead?

WRITE

Estimate what percentage of your current customers would need to renew for a subscription model to outperform one-time sales.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

churn · infrastructure risk · on-premise · recurring revenue · Software as a Service

1. ___ removed the need for customers to run their own servers.
2. ___ gave Salesforce a more stable growth trajectory than one-time licence sales.
3. Low ___ was essential once the business model depended entirely on renewal.
4. ___ software required IT staff that many smaller customers could not afford to maintain.
5. Shifting ___ to the vendor was the core value proposition of the SaaS model.

SOURCES

B Widely documented in enterprise-software and SaaS business-model case studies.

B Salesforce investor communications and SaaS business-model case literature.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Twitch

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is trading production polish for presence. Live, unedited streaming let viewers feel like participants rather than an audience, which is a fundamentally different product than a finished video.

Video platforms such as YouTube and Vimeo focused on edited, recorded, high-production video clips consumed asynchronously.

Twitch built a live-streaming platform focused on real-time gamer commentary, interactive chat, and community building.

THE FOUR ACTIONS

ELIMINATE

Editing, post-production, and the polished video format the whole industry optimized for.

REDUCE

Production values, deliberately.

RAISE

The streamer's presence, the immediacy of interaction, and the intimacy of a returning community.

CREATE

Real-time chat and direct tipping, which made viewers participants and streamers earners.

BUSINESS LENS

Would your audience value more polish from you, or more real-time, unfiltered presence?

KEY TAKEAWAYS

1. Live, unedited content created a sense of participation that recorded video could not replicate.
2. Interactive chat turned viewers into participants rather than a passive audience.
3. Direct tipping gave viewers a way to financially support creators in real time, not after the fact.

SUMMARY

Twitch built a live-streaming platform around real-time presence and interaction rather than the polished, edited video that YouTube and Vimeo optimized for, letting viewers chat with and directly tip streamers as events unfolded.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that live, unedited content is harder to moderate and monetize consistently than polished, pre-recorded video.

APPLY IT

Ask whether your product's polish is actually valued by your audience, or whether raw, real-time presence might build a stronger connection instead.

VOCABULARY & PHRASAL VERBS

live streaming **(n.)**

broadcasting video content in real time rather than pre-recording and editing it. Live streaming created a sense of shared, real-time experience recorded video could not match.

interactive chat **(n.)**

a real-time messaging feature letting an audience communicate during a broadcast. Interactive chat turned passive viewers into active participants in the broadcast.

direct tipping **(n.)**

letting an audience send money to a creator in real time during content. Direct tipping gave viewers an immediate way to reward a streamer's performance.

raw presence **(n.)**

unedited, unpolished content valued for its authenticity rather than production quality. Raw presence, not polish, was the entire value proposition of a live stream.

community building **(n.)**

cultivating an ongoing, engaged audience around shared participation. Community building through chat kept viewers returning to the same streamers daily.

PHRASAL VERBS

tune in **(phr. v.)**

to watch or listen to a broadcast Viewers tune in for the person, not for the production.

cheer on **(phr. v.)**

to encourage someone loudly Chat cheers the streamer on in real time, which recorded video cannot do.

PRACTICE

TEST THE LIMIT

The value sits in individual streamers, and they can leave. Write what you would do to make the platform matter more than any one of them.

USE THE LANGUAGE

Predict what your closest competitor will do next, using live streaming and raw presence.

DISCUSS

Where could real-time interaction replace a polished, pre-produced version of what you offer?

WRITE

Sketch one way your audience could interact with you in real time instead of consuming a finished product.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

community building · direct tipping · interactive chat · live streaming · raw presence

1. ___ created a sense of shared, real-time experience recorded video could not match.
2. ___ turned passive viewers into active participants in the broadcast.
3. ___ gave viewers an immediate way to reward a streamer's performance.
4. ___, not polish, was the entire value proposition of a live stream.
5. ___ through chat kept viewers returning to the same streamers daily.

SOURCES

C Widely documented in streaming-media and gaming-industry business press.

C Twitch and Amazon company statements, plus live-streaming industry analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Strava

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is converting private data into public competition. Turning a personal log into shared, comparable "segments" gave every route a leaderboard, and every leaderboard a reason to come back.

Fitness tracking apps functioned as simple personal logs for miles run or calories burned.

Strava combined GPS athletic tracking with a dedicated social network for athletes.

THE FOUR ACTIONS

ELIMINATE

The privacy and solitude of a personal training log.

REDUCE

Emphasis on raw weekly totals as the measure of progress.

RAISE

Comparability between athletes, competitive stakes, and social feedback.

CREATE

> Segments and leaderboards that turned every ordinary route into a permanent, public race.

BUSINESS LENS

What private data does your product already collect that could become a shared, competitive social feature?

KEY TAKEAWAYS

1. Converting private logs into public "segments" turned a solitary activity into a comparable, social one.
2. A leaderboard on real-world routes gave repeat athletes an ongoing reason to return to the same paths.
3. Combining tracking with social competition created engagement a simple fitness log never could.

SUMMARY

Strava turned solitary fitness tracking into a social network by converting GPS data into shared "segments" where athletes automatically compete for leaderboard rankings, creating a reason to return that a private log never provided.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that social comparison can motivate some users and demotivate others who never wanted to compete in the first place.

APPLY IT

Ask whether the private data your product already collects could become a social feature that motivates repeat use.

VOCABULARY & PHRASAL VERBS

social fitness **(n.)**

exercise tracking designed around comparison and community rather than solo logging. Social fitness turned a private habit into a competitive, shared activity.

segment **(n.)**

a defined stretch of route where users automatically compete for best times. Every popular route became a segment with its own leaderboard and rivalry.

leaderboard **(n.)**

a ranked list showing how users compare against each other on a given metric. The leaderboard gave athletes a reason to repeat the same route competitively.

data-to-social conversion **(n.)**

turning previously private usage data into a shared, comparable social feature. Data-to-social conversion was the single design choice that separated Strava from a basic tracking app.

engagement loop **(n.)**

a repeating cycle that brings users back to a product regularly. Automatic segment competition created an engagement loop stronger than tracking alone.

PHRASAL VERBS

show off **(phr. v.)**

to display something proudly Segments gave riders somewhere to show off a fast climb.

drop off **(phr. v.)**

to decline or fall away Engagement drops off sharply among users who never join a segment.

PRACTICE

TEST THE LIMIT

Public leaderboards drove some users away entirely. Design the setting that would have kept them without weakening the feature.

USE THE LANGUAGE

Explain segment and engagement loop to a colleague who has never heard either term.

DISCUSS

What private data in your product could become a competitive social feature?

WRITE

Design one leaderboard or comparison feature that would give users a reason to return.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

data-to-social conversion · engagement loop · leaderboard · segment · social fitness

1. ___ turned a private habit into a competitive, shared activity.
2. Every popular route became a ___ with its own leaderboard and rivalry.
3. The ___ gave athletes a reason to repeat the same route competitively.
4. ___ was the single design choice that separated Strava from a basic tracking app.
5. Automatic segment competition created an ___ stronger than tracking alone.

SOURCES

C Widely reported in fitness-technology and social-app business press.

C Strava company statements and published research on social features in fitness applications.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



PART III

Services, B2B & Finance

What changes when a service stops charging for the wrong thing?

Eight service and financial ventures that rewrote the economics of ownership, access, and fees — from Vanguard's index funds and Nubank's fee-free account to Stripe's frictionless payments infrastructure and WeWork's rethinking of the office lease.

WEEKS 24–31

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Vanguard: Index Funds

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is removing a cost that does not reliably produce value. Active management fees persist industry-wide despite decades of evidence that few managers beat the market after fees, so cutting them directly raised investor returns.

Investment firms relied on expensive active fund managers who charged high management fees attempting to beat the market.

Jack Bogle launched the first index mutual fund for ordinary investors in 1976, arguing that matching the overall market at near-zero cost beats active managers over time.

THE FOUR ACTIONS

ELIMINATE

Stock-picking analysts, heavy marketing, and sales loads paid to brokers.

REDUCE

Expense ratios to a small fraction of the industry standard.

RAISE

Transparency, diversification, and tax efficiency.

CREATE

> A mutual ownership structure in which the funds own the management company, so savings return to investors by design.

BUSINESS LENS

What fee or cost does your industry charge that the evidence no longer clearly justifies?

KEY TAKEAWAYS

1. Passive index investing removed a cost — active management fees — that evidence showed rarely paid for itself.
2. Near-zero costs compound into large differences in investor returns over long time horizons.
3. Bogle's structural choice (a mutual ownership structure) aligned Vanguard's incentives directly with investor outcomes.

SUMMARY

Jack Bogle's index fund challenged the asset-management industry's core assumption — that active stock-picking justifies its fees — by offering near-zero-cost access to the whole market, letting cost savings compound into materially better long-term investor returns.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that passive investing depends on active managers still existing elsewhere to set prices; an entirely passive market would lose the price discovery active trading provides.

APPLY IT

Ask whether a cost your organization charges is defensible on evidence, or simply because the industry has always charged it.

VOCABULARY & PHRASAL VERBS

index fund **(n.)**

a fund designed to track a market index rather than actively pick individual stocks. The index fund matched the market's return at a fraction of an actively managed fund's cost.

active management **(n.)**

an investment approach where managers actively select securities aiming to beat the market. Active management fees persisted despite evidence most managers rarely beat the market after costs.

expense ratio **(n.)**

the annual percentage of assets a fund charges investors for management. A dramatically lower expense ratio was the entire structural advantage of the index fund.

price discovery **(n.)**

the market process by which trading activity determines an asset's price. Price discovery still depends on active traders continuing to exist alongside passive investors.

compounding cost savings **(n.)**

small fee reductions that grow into large differences over long time horizons. Compounding cost savings, not stock-picking skill, was the entire investment thesis.

PHRASAL VERBS

eat into **(phr. v.)**

to gradually reduce something valuable Management fees eat into returns every single year.

pass on **(phr. v.)**

to transfer a cost or a saving to someone else Vanguard passes its cost savings on to the investors who own the funds.

PRACTICE

TEST THE LIMIT

Index funds only work while enough other investors are still picking stocks. Explain that dependency in two sentences.

USE THE LANGUAGE

Describe a decision in your own organization using expense ratio and compounding cost savings.

DISCUSS

What fee in your industry survives on habit rather than evidence?

WRITE

Estimate how a small, compounding cost reduction would affect your customer's outcome over ten years.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

active management · compounding cost savings · expense ratio · index fund · price discovery

1. The ___ matched the market's return at a fraction of an actively managed fund's cost.
2. ___ fees persisted despite evidence most managers rarely beat the market after costs.
3. A dramatically lower ___ was the entire structural advantage of the index fund.
4. ___ still depends on active traders continuing to exist alongside passive investors.
5. ___, not stock-picking skill, was the entire investment thesis.

SOURCES

B Bogle, J.C., The Little Book of Common Sense Investing, Wiley (2007).

B Vanguard Group corporate history and published analysis of the mutual ownership structure and index-fund cost model.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Zipcar

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is shrinking the unit of access. Renting a car by the hour, from a spot inside a neighbourhood, converted car ownership's fixed cost into a pay-as-you-go utility.

Traditional car rental companies operated out of airports and central offices, forcing customers to fill out paperwork, wait in lines, and rent by the day.

Zipcar offered urban residents on-demand car access by the hour, directly inside their neighbourhood blocks.

THE FOUR ACTIONS

ELIMINATE

Rental counters, sales agents, daily minimums, and paperwork at pickup.

REDUCE

The minimum rental period, from a day to an hour.

RAISE

Convenience of pickup location, and the inclusion of fuel and insurance in the rate.

CREATE

Keycard access to cars parked on the member's own street, reserved from a phone.

BUSINESS LENS

Is your product sold in a unit larger than how your customer actually wants to use it?

KEY TAKEAWAYS

1. Shrinking the rental unit from a day to an hour matched actual urban usage patterns far more closely.
2. Placing cars inside neighbourhoods, not centralized offices, removed the trip to go get one.
3. Keycard access eliminated the counter, paperwork, and staff that added friction to every traditional rental.

SUMMARY

Zipcar converted car rental from a day-long, counter-based transaction into an hourly, keycard-accessed neighbourhood utility, matching how urban residents actually wanted to use a car rather than how the rental industry had always sold access to one.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that hourly neighbourhood access only works at sufficient urban density; the model does not translate to low-density suburban or rural markets.

APPLY IT

Ask whether your product is sold in a unit too large for how customers actually want to use it, and what a smaller, more frequent unit of access would look like.

VOCABULARY & PHRASAL VERBS

hourly access **(n.)**

a usage model priced and structured around short, flexible time increments. Hourly access matched how urban residents actually needed a car far better than a full-day rental.

urban density **(n.)**

the concentration of population and destinations within a given area. The model only worked at the urban density where a car was a few blocks away for most users.

pay-as-you-go **(adj.)**

describing a pricing structure charging only for actual usage rather than a fixed period. Pay-as-you-go pricing matched the way city residents actually needed a car — occasionally, not daily.

neighbourhood placement **(n.)**

locating a service or resource within residents' immediate area rather than centrally. Neighbourhood placement removed the trip to a rental office entirely.

keyless access **(n.)**

technology enabling entry without a physical handoff of keys or staff interaction. Keyless access via keycard removed the counter and paperwork of a traditional rental.

PHRASAL VERBS

do without **(phr. v.)**

to manage without having something City members can do without a car of their own entirely.

run up **(phr. v.)**

to accumulate a cost or a bill Traditional rentals run up charges for fuel, insurance and a full day nobody needed.

PRACTICE

TEST THE LIMIT

The model failed in low-density cities. Name the density your own business quietly requires, and say what happens below it.

USE THE LANGUAGE

Compare two competitors in your market using hourly access and pay-as-you-go.

DISCUSS

What larger unit of purchase in your business could be broken into a smaller, more flexible one?

WRITE

Sketch what an hourly or pay-as-you-go version of your product would look like.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

hourly access · keyless access · neighbourhood placement · pay-as-you-go · urban density

1. ___ matched how urban residents actually needed a car far better than a full-day rental.
2. The model only worked at the ___ where a car was a few blocks away for most users.
3. ___ pricing matched the way city residents actually needed a car — occasionally, not daily.
4. ___ removed the trip to a rental office entirely.
5. ___ via keycard removed the counter and paperwork of a traditional rental.

SOURCES

C Widely documented in mobility and sharing-economy business case studies.

C Zipcar company history and urban car-sharing research literature.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Nubank: Banking Without the Branch

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is attacking the fee an entire industry had come to depend on. Brazil's five largest banks earned reliably from account charges, annual card fees and branch-based service; Nubank removed all three and competed instead for the tens of millions of Brazilians those charges had priced out of banking altogether.

Brazilian retail banking was among the most concentrated in the world. Five institutions held roughly four-fifths of all deposits, charged an annual fee simply for holding a credit card, and required a branch visit and a thick file of documents before an account could be opened at all.

Nubank started with a single product — a no-fee purple credit card managed entirely from a phone — and pointed it not at the incumbents' best customers but at the people those incumbents had decided were not worth serving.

THE FOUR ACTIONS

ELIMINATE

Branch networks, annual card fees, paper statements, and the call centre as the main way to reach a bank.

REDUCE

The documentation and credit history demanded before an account can be opened.

RAISE

Speed of approval, transparency of charges, and the quality of ordinary customer service.

CREATE

A full retail bank that exists only inside a phone, built for the tens of millions of Brazilians the incumbent five would not profitably serve.

BUSINESS LENS

Which fee does your industry treat as untouchable, and who is being priced out of your market by it?

KEY TAKEAWAYS

1. Competing for the non-customer is a different game from competing for a rival's customer: nobody defends a market they have already decided to abandon.
2. Removing a fee only works if the cost base underneath it is genuinely different — no branches meant Nubank could afford customers the incumbents could not.
3. Extreme market concentration looks like a barrier and is often the opposite: it means a very large number of people are being served badly by the same small number of firms.

SUMMARY

> Nubank entered one of the most concentrated banking markets in the world by refusing the fee structure that made it profitable, building a branchless bank inside a phone and aiming it at the tens of millions of Brazilians the incumbent five had priced out. Within a decade it was one of the largest digital banks in the world by customer count.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a fee-free model needs a genuinely lower cost base to survive contact with imitation; once the incumbents launched their own fee-free digital accounts, the advantage had to come from underwriting quality and service rather than from price, which is a much harder thing to sustain.

APPLY IT

Ask which charge in your industry exists because customers have no alternative rather than because it pays for something they value — and what your cost base would have to look like before you could remove it.

VOCABULARY & PHRASAL VERBS

neobank **(n.)**

a bank that operates entirely through digital channels, with no branch network. The neobank could serve a customer in Manaus at the same cost as one in São Paulo.

non-customer **(n.)**

someone a market does not currently serve, as distinct from a competitor's customer. Nubank grew by converting non-customers rather than by winning defections from Itaú.

banking concentration **(n.)**

the share of a country's deposits and lending held by its largest few institutions. Banking concentration in Brazil left most consumers choosing between five very similar offers.

fee income **(n.)**

revenue a bank earns from charges rather than from lending. Attacking fee income meant attacking the most reliable line on every incumbent's income statement.

credit underwriting **(n.)**

the process of assessing how likely a borrower is to repay. Serving customers with no credit history meant building credit underwriting from data the incumbents ignored.

PHRASAL VERBS

sign up **(phr. v.)**

to register for a service A customer can sign up from a phone in minutes without ever entering a branch.

do away with **(phr. v.)**

to get rid of something completely Nubank did away with annual fees, paper statements and the branch network at once.

PRACTICE

TEST THE LIMIT

Incumbent banks eventually copied the fee-free account. Explain what Nubank still had that the copy did not.

USE THE LANGUAGE

Argue against a decision your team has already taken, using non-customer and fee income.

DISCUSS

Which group in your market is currently treated as too small, too poor or too complicated to serve profitably?

WRITE

Identify one charge your organization makes that customers resent, and describe what would have to change before you could drop it.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

banking concentration · credit underwriting · fee income · neobank · non-customer

1. The ____ could serve a customer in Manaus at the same cost as one in São Paulo.
2. Nubank grew by converting ____s rather than by winning defections from Itaú.
3. ____ in Brazil left most consumers choosing between five very similar offers.
4. Attacking ____ meant attacking the most reliable line on every incumbent's income statement.

5. Serving customers with no credit history meant building ___ from data the incumbents ignored.

SOURCES

B Nu Holdings F-1 filing and Brazilian Central Bank data on banking concentration and account fees.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Enterprise Rent-A-Car

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is targeting an occasion competitors ignored. Airport rental served business travel, but local, unplanned needs — accidents, repairs, weekend trips — were an entirely separate, underserved occasion.

Car rental agencies fought fiercely over high-rent airport locations targeting business travellers.

Enterprise targeted the home-city market: people who needed a car locally due to accidents, repairs, or weekend getaways.

THE FOUR ACTIONS

ELIMINATE

Airport locations and the concession fees that come with them.

REDUCE

Overhead per branch, and any pretence of a glamorous fleet.

RAISE

Local availability, and the depth of relationships with insurers and body shops.

CREATE

The 'We'll Pick You Up' service, and a suburban network built around replacement rather than travel rentals.

BUSINESS LENS

What quieter, less prestigious customer occasion has your industry overlooked while chasing the obvious one?

KEY TAKEAWAYS

1. Targeting the home-city market opened a customer occasion airport-focused competitors had ignored.
2. Lower-overhead suburban locations enabled lower prices than airport-based competitors could match.
3. The 'We'll Pick You Up' service directly compensated for the inconvenience of a less central location.

SUMMARY

Enterprise built its business around the home-city rental occasion — accidents, repairs, weekend trips — that airport-focused competitors ignored, using lower-overhead suburban locations and a signature pickup service to compensate for being less centrally located.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that suburban, home-city rental depends on a pickup service to compensate for locations being further from where customers actually are.

APPLY IT

Ask whether your industry has fixated on one high-visibility customer occasion while ignoring a quieter, equally large one nearby.

VOCABULARY & PHRASAL VERBS

home-city market **(n.)**

local rental or service demand originating from residents rather than travellers. The home-city market was a large, steady demand source airport-focused rivals had never targeted.

occasion targeting **(n.)**

designing a business around a specific customer situation rather than a broad category. Occasion targeting — accidents and repairs, not travel — defined the entire location strategy.

overhead cost **(n.)**

the ongoing cost of operating a location or business, independent of transaction volume. Suburban locations carried far lower overhead cost than premium airport real estate.

service compensation **(n.)**

adding a service feature specifically to offset a structural disadvantage. The pickup service was service compensation for being farther from the customer's front door.

underserved occasion **(n.)**

a customer situation existing competitors have not built a dedicated offering for. The underserved occasion of local, unplanned car needs had no dedicated competitor before Enterprise.

PHRASAL VERBS

pick up **(phr. v.)**

to collect someone in a vehicle The whole promise was that Enterprise would pick you up.

put up with **(phr. v.)**

to tolerate something unpleasant Drivers had put up with a trip to the airport because nobody offered anything else.

PRACTICE

TEST THE LIMIT

The pickup service is expensive per rental. Explain why it paid anyway, and name the condition under which it would stop paying.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using home-city market and underserved occasion.

DISCUSS

What underserved occasion exists right next to the obvious, high-visibility one your industry chases?

WRITE

Identify one structural disadvantage in a new market and one service feature that could compensate for it.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

home-city market · occasion targeting · overhead cost · service compensation · underserved occasion

1. The ___ was a large, steady demand source airport-focused rivals had never targeted.
2. ___ — accidents and repairs, not travel — defined the entire location strategy.
3. Suburban locations carried far lower ___ than premium airport real estate.
4. The pickup service was ___ for being farther from the customer's front door.
5. The ___ of local, unplanned car needs had no dedicated competitor before Enterprise.

SOURCES

C Widely documented in automotive-rental industry case studies.

B Enterprise Holdings corporate history and vehicle-rental industry analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Rent the Runway

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is converting an ownership category into an access category. Designer dresses were bought to be worn once or twice, so renting solved the exact economic mismatch of that purchase.

Designer fashion was strictly buy-to-own, forcing women to pay thousands for dresses worn only once or twice for special occasions.

Rent the Runway created a rental ecosystem for high-end designer wardrobe pieces.

THE FOUR ACTIONS

ELIMINATE

Ownership, and the single-occasion purchase that goes unworn afterwards.

REDUCE

Cost per wear, by an order of magnitude.

RAISE

Access to designer labels, and readiness for an occasion at short notice.

CREATE

A rental subscription underwritten by industrial reverse logistics and one of the largest dry-cleaning operations in the United States.

BUSINESS LENS

What product do your customers buy but use only once or twice — and could you rent it to them instead?

KEY TAKEAWAYS

1. Rental solved the specific economic mismatch of buying an expensive item for a single use.
2. Reverse-logistics infrastructure — cleaning and redelivery — became the real operational backbone of the business.
3. Subscription access, not ownership, redefined what a 'wardrobe' meant for the customer.

SUMMARY

Rent the Runway matched high-end designer fashion to how it was actually used — once or twice per garment — by building a subscription rental ecosystem backed by a reverse-logistics infrastructure that an ownership-based retailer never needed.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a rental model requires a costly reverse-logistics operation — cleaning, inspection, redelivery — that an ownership model never has to build.

APPLY IT

Ask whether a product in your category is bought for infrequent use, which might make it a better candidate for rental than for sale.

VOCABULARY & PHRASAL VERBS

reverse logistics **(n.)**

the process of collecting, cleaning, and redistributing used products for reuse. Reverse logistics — dry cleaning and redelivery — was the real operational challenge behind the rental model.

rental ecosystem **(n.)**

the full set of infrastructure and services supporting a rent-not-buy business model. Building a rental ecosystem required far more logistics infrastructure than a simple online store.

single-use purchase **(n.)**

a product bought with the expectation of only one or two uses. Designer dresses were a classic single-use purchase mismatched to an ownership pricing model.

subscription wardrobe **(n.)**

access to a rotating set of clothing items through an ongoing membership. A subscription wardrobe replaced repeated single-use purchases with one recurring fee.

economic mismatch **(n.)**

a gap between how a product is priced and how it is actually used. The economic mismatch between full ownership price and one-time use was the entire opportunity.

PHRASAL VERBS

hang on to **(phr. v.)**

to keep something rather than let it go Customers stopped hanging on to dresses they had worn once.

wear out **(phr. v.)**

to use something until it is damaged Garments wear out faster under rental, and the price per wear has to cover that.

PRACTICE

TEST THE LIMIT

Reverse logistics cost more than anyone modelled. Write the unit-economics question you would ask before launching any rental model.

USE THE LANGUAGE

Predict what your closest competitor will do next, using reverse logistics and economic mismatch.

DISCUSS

What product in your category is bought for a single use that could instead be rented?

WRITE

Sketch what a reverse-logistics process would need to look like to support a rental version of your product.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

economic mismatch · rental ecosystem · reverse logistics · single-use purchase · subscription wardrobe

1. ____ — dry cleaning and redelivery — was the real operational challenge behind the rental model.
2. Building a ____ required far more logistics infrastructure than a simple online store.
3. Designer dresses were a classic ____ mismatched to an ownership pricing model.
4. A ____ replaced repeated single-use purchases with one recurring fee.
5. The ____ between full ownership price and one-time use was the entire opportunity.

SOURCES

C Widely documented in fashion-retail and sharing-economy business press.

C Rent the Runway S-1 filing and reverse-logistics case studies.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Stripe

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is targeting the actual decision-maker. Payment integration was sold to business executives through sales cycles, but the real blocker was engineering time, so Stripe sold directly to developers with documentation instead of a sales pitch.

E-commerce payment integration required weeks of merchant applications, bank approvals, and complex gateway setup.

Stripe reduced payment processing integration to seven lines of code for software developers.

THE FOUR ACTIONS

ELIMINATE

Sales representatives, merchant-account paperwork, and multi-week integration projects.

REDUCE

Time from sign-up to first live payment, from weeks to an afternoon.

RAISE

Documentation quality and API design, treated as the product rather than as support material.

CREATE

Payments sold to engineers rather than to procurement — a developer product in a category that had never had one.

BUSINESS LENS

Who actually blocks or unblocks adoption of your product, and are you selling to that person?

KEY TAKEAWAYS

1. Selling to developers, not executives, matched who actually implemented and blocked integration decisions.
2. Reducing integration to seven lines of code removed weeks of engineering friction.
3. Instantly deployable documentation replaced a traditional sales cycle entirely.

SUMMARY

Stripe recognized that payment integration was blocked by engineers, not executives, and sold directly to developers with simple documentation and a seven-line integration, bypassing the traditional enterprise sales cycle that had defined the category.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that developer-first distribution works only when the end buyer genuinely has engineering resources and autonomy to choose their own tools.

APPLY IT

Ask whether your product is being sold to the person who signs the contract, when the person who actually blocks or unblocks adoption is someone else entirely.

VOCABULARY & PHRASAL VERBS

developer-first **(adj.)**

describing a go-to-market approach targeting engineers directly rather than business decision-makers. A developer-first approach let Stripe skip the executive sales cycle entirely.

API **(n.)**

application programming interface; a defined way for software systems to communicate. A simple, well-documented API reduced payment integration to seven lines of code.

integration friction **(n.)**

the time and effort required to connect a new tool into existing systems. Integration friction, not price, was the real barrier Stripe removed.

self-serve adoption **(n.)**

a product design that lets users start and configure it without a salesperson. Self-serve adoption let developers start building without ever talking to a salesperson.

technical documentation **(n.)**

instructional material explaining how to implement or use a technical product. Clear technical documentation functioned as Stripe's entire sales funnel.

PHRASAL VERBS

sign off on **(phr. v.)**

to approve something formally No procurement committee had to sign off on a Stripe integration.

plug in **(phr. v.)**

to connect a component into a larger system A developer can plug in a working payment form in an afternoon.

PRACTICE

TEST THE LIMIT

Selling to developers means nobody signs a large contract on day one. Explain how the revenue grows anyway.

USE THE LANGUAGE

Explain developer-first and integration friction to a colleague who has never heard either term.

DISCUSS

Who is the actual gatekeeper of adoption for your product, regardless of who signs the contract?

WRITE

Identify one piece of documentation or self-serve tool that could replace a sales conversation.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

API · developer-first · integration friction · self-serve adoption · technical documentation

1. A ___ approach let Stripe skip the executive sales cycle entirely.
2. A simple, well-documented ___ reduced payment integration to seven lines of code.
3. ___, not price, was the real barrier Stripe removed.
4. ___ let developers start building without ever talking to a salesperson.
5. Clear ___ functioned as Stripe's entire sales funnel.

SOURCES

B Widely documented in fintech and developer-platform business press.

B Stripe company statements and developer-platform adoption analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Toast: Restaurant POS

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is bundling previously separate systems into one. Order-taking, kitchen displays, payroll, and payments had each been sold by different vendors, and integrating them into one cloud platform removed the cost of stitching them together.

Legacy restaurant point-of-sale hardware systems were expensive, rigid, offline terminal setups that required heavy upfront hardware costs.

Toast built an all-in-one cloud platform tailor-made for restaurant management.

THE FOUR ACTIONS

ELIMINATE

Separate vendors for point of sale, kitchen displays, online ordering, payroll and payments.

REDUCE

Legacy hardware cost and the counter footprint it demanded.

RAISE

Depth of integration, mobility around the floor, and visibility of operating data.

CREATE

A single restaurant platform running on handheld tablets, sold to independents rather than chains.

BUSINESS LENS

What separate tools are your customers currently stitching together that you could bundle into one platform?

KEY TAKEAWAYS

1. Bundling previously separate POS, kitchen, and payroll systems removed integration cost restaurants used to bear themselves.
2. A cloud platform replaced rigid, offline hardware with something that could update and adapt continuously.
3. Mobile handheld tablets replaced fixed terminals, changing how orders moved through a restaurant.

SUMMARY

Toast bundled order-taking, kitchen displays, online ordering, payroll, and payment processing into a single cloud-based restaurant platform, removing the integration burden restaurants previously carried when stitching together separate legacy systems.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that an all-in-one platform creates dependency risk — if one part of the system fails, it can take down operations that used to run on separate, independent tools.

APPLY IT

Ask whether your customers are currently stitching together several separate tools that your product could bundle into one integrated platform.

VOCABULARY & PHRASAL VERBS

all-in-one platform **(n.)**

a single system bundling multiple previously separate tools or functions. An all-in-one platform removed the cost of integrating separate POS, payroll, and ordering systems.

cloud-based system **(n.)**

software hosted remotely and accessed over the internet rather than run locally. A cloud-based system could update instantly across every restaurant location at once.

legacy hardware **(n.)**

older, often rigid technology that a new solution is designed to replace. Legacy hardware required expensive upfront investment and rigid, offline setups.

dependency risk **(n.)**

the risk that failure in one bundled system disrupts operations that depend on it. Dependency risk grew once every function ran through a single integrated platform.

integration burden **(n.)**

the cost and complexity of connecting multiple separate systems to work together. Removing the integration burden was the entire value proposition of an all-in-one platform.

PHRASAL VERBS

tie together **(phr. v.)**

to connect separate things into one whole One platform ties together ordering, payroll and payments.

break down **(phr. v.)**

to stop working When one legacy system breaks down, the others stop talking to it.

PRACTICE

TEST THE LIMIT

An all-in-one platform means one vendor holds everything. Write the risk from the restaurant's point of view, not Toast's.

USE THE LANGUAGE

Describe a decision in your own organization using all-in-one platform and integration burden.

DISCUSS

What separate tools could your product bundle to remove your customer's integration burden?

WRITE

List three separate systems your customer currently juggles that your product could combine.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

all-in-one platform · cloud-based system · dependency risk · integration burden · legacy hardware

1. An ___ removed the cost of integrating separate POS, payroll, and ordering systems.
2. A ___ could update instantly across every restaurant location at once.
3. ___ required expensive upfront investment and rigid, offline setups.
4. ___ grew once every function ran through a single integrated platform.
5. Removing the ___ was the entire value proposition of an all-in-one platform.

SOURCES

C Widely documented in restaurant-technology and SaaS business press.

C Toast S-1 filing and restaurant-technology industry analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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WeWork

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is converting a long-term liability into a flexible product. WeWork itself signed the multi-year leases small businesses feared, then resold that same space in flexible, month-to-month memberships.

Commercial real estate leases locked small businesses and startups into multi-year commitments requiring custom interior buildouts.

WeWork transformed commercial leasing into flexible, community-driven co-working memberships.

THE FOUR ACTIONS

ELIMINATE

Multi-year tenant commitments, custom interior buildouts, and separate utility and cleaning contracts.

REDUCE

Private square footage per member, sharply.

RAISE

Design quality, community programming, and location prestige.

CREATE

> Month-to-month membership access to fully serviced offices, with WeWork holding the long lease risk itself.

BUSINESS LENS

Could your organization absorb a long-term risk on behalf of customers and resell it to them in smaller, flexible pieces?

KEY TAKEAWAYS

1. Absorbing the long-term lease risk itself let WeWork sell customers a flexible, short-term product instead.
2. Subdividing large floor space into stylish, glass-walled offices raised perceived value per square foot.
3. Bundled amenities — utilities, espresso, networking events — became part of the product, not just décor.

SUMMARY

> WeWork converted commercial real estate's core liability — multi-year lease commitments — into a flexible, community-driven membership product, absorbing the long-term risk itself so small businesses and startups could rent space in far smaller, more flexible increments.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that this model depends on the spread between long-term lease cost and short-term membership revenue staying positive, which becomes fragile during a downturn in office demand.

APPLY IT

Ask whether your organization could absorb a long-term commitment on behalf of customers, then resell access to it in smaller, more flexible units.

> **WHAT HAPPENED NEXT**
>
> WeWork filed for Chapter 11 bankruptcy protection in November 2023, having been valued at $47 billion four years earlier, and emerged as a much smaller private company in June 2024. The lease-arbitrage spread did not merely become fragile; it broke. That makes this the book's clearest illustration that a genuine blue ocean and a viable business are separate questions.

VOCABULARY & PHRASAL VERBS

co-working **(n.)**

a shared office model where independent workers or companies rent flexible workspace together. Co-working replaced the multi-year lease with a flexible monthly membership.

lease arbitrage **(n.)**

profiting from the spread between a long-term lease cost and short-term resale of that space. The business depended on lease arbitrage between long-term rent and short-term membership revenue.

flexible membership **(n.)**

access sold in short, adjustable increments rather than a long fixed contract. Flexible membership let startups avoid the multi-year commitment traditional leases required.

amenity bundling **(n.)**

including services like utilities or events as part of a core product rather than separately. Amenity bundling turned an office lease into a full workplace experience.

liability absorption **(n.)**

taking on a long-term risk on a customer's behalf in exchange for a fee. Liability absorption of the lease itself was the entire structural bet behind the business.

PHRASAL VERBS

take on **(phr. v.)**

to accept a responsibility or a risk WeWork took on the lease risk its members would not.

scale back **(phr. v.)**

to reduce something in size Members can scale back from twenty desks to five within a month.

PRACTICE

TEST THE LIMIT

WeWork filed for bankruptcy in 2023. Write the memo you would have sent the board in 2018.

USE THE LANGUAGE

Compare two competitors in your market using lease arbitrage and liability absorption.

DISCUSS

What long-term commitment could your organization absorb on a customer's behalf and resell flexibly?

WRITE

Identify the spread your business would need to maintain for a resale-of-flexibility model to work.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

amenity bundling · co-working · flexible membership · lease arbitrage · liability absorption

1. ____ replaced the multi-year lease with a flexible monthly membership.
2. The business depended on ____ between long-term rent and short-term membership revenue.
3. ____ let startups avoid the multi-year commitment traditional leases required.
4. ____ turned an office lease into a full workplace experience.
5. ____ of the lease itself was the entire structural bet behind the business.

SOURCES

C Widely documented in commercial real estate and co-working industry press.

B WeWork S-1 filing (2019) and the Chapter 11 record (2023–2024).

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



PART IV

Entertainment, Hospitality & Retail

What happens when you sell the experience instead of the product?

Five ventures that fused a familiar category with an unexpected experience — from Topgolf's blend of driving range and bar to Alamo Drafthouse's dinner-and-a-movie reinvention and Pop Mart's collectible blind-box thrill.

WEEKS 32–36

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Topgolf

DOCUMENTATION LEVEL 3 — POPULARIZED / SIMPLIFIED

THE MECHANISM

The mechanism is replacing skill requirements with automatic scoring. Microchipped balls and automated targets let anyone play a satisfying game regardless of golf ability, turning a sport into a social night out.

Topgolf is a chain of multi-storey driving ranges with bars attached, now operating in several countries; a bay is booked by the hour, like a bowling lane.

Traditional golf courses faced declining participation due to long four-hour rounds, strict etiquette, expensive gear, and high green fees.

Topgolf transformed golf driving ranges into high-energy social entertainment venues with food, drinks, and music.

THE FOUR ACTIONS

ELIMINATE

The skill barrier, dress codes, manual scoring, and the four-hour round.

REDUCE

Course size, and the green-fee model that came with real acreage.

RAISE

Food and drink quality, social atmosphere, and evening opening hours.

CREATE

Microchipped balls and automatic target scoring, which turned golf into a bar game anyone can play.

BUSINESS LENS

What skill-gated activity in your market could be opened up with automatic scoring or assistance?

KEY TAKEAWAYS

1. Automated scoring removed the skill barrier that kept casual players out of golf.
2. Food, drinks, and music repositioned the venue as social entertainment, not a sports facility.
3. Topgolf's real competitive set became bars and bowling alleys, not golf courses.

SUMMARY

Topgolf removed golf's skill requirement with microchipped balls and automatic scoring, repositioning the driving range as a social

> entertainment venue that competes with bars and bowling alleys rather than traditional golf courses.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that removing the skill requirement changes what is being sold entirely — Topgolf competes with bars and bowling alleys, not golf courses, which caps how much serious golfers will value it.

APPLY IT

Ask whether a skill-gated activity in your market could be redesigned around automatic scoring or assistance, opening it to people who never had the skill to enjoy it before.

VOCABULARY & PHRASAL VERBS

skill-gated activity **(n.)**

an activity whose enjoyment depends heavily on prior trained competence. Golf had long been a skill-gated activity that discouraged casual, first-time players.

automated scoring **(n.)**

technology that tracks and scores performance without a human judge. Automated scoring let inexperienced players enjoy immediate feedback without golf training.

social entertainment venue **(n.)**

a location designed primarily around group social experience rather than skill performance. Repositioning as a social entertainment venue changed who the customer actually was.

competitive reframing **(n.)**
redefining which businesses you actually compete against. Competitive reframing put Topgolf against bars and bowling alleys, not golf courses.

casual accessibility **(n.)**
designing an activity so newcomers can enjoy it without prior training. Casual accessibility, not competitive golf, was the entire draw for most visitors.

PHRASAL VERBS

show up **(phr. v.)**
to arrive somewhere Anyone can show up without clubs, without a handicap and without a lesson.

put off **(phr. v.)**
to discourage someone from doing something The skill barrier had put off most of the people who might have played.

PRACTICE

TEST THE LIMIT

Serious golfers do not play at Topgolf. Explain why the business does not care, and name the point at which it would have to.

USE THE LANGUAGE

Argue against a decision your team has already taken, using skill-gated activity and competitive reframing.

DISCUSS

What skill-gated activity in your world could be opened to casual participants with the right technology?

WRITE

Identify your product's real competitive set once you reframe who its customer actually is.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

automated scoring · casual accessibility · competitive reframing · skill-gated activity · social entertainment venue

1. Golf had long been a ___ that discouraged casual, first-time players.
2. ___ let inexperienced players enjoy immediate feedback without golf training.
3. Repositioning as a ___ changed who the customer actually was.
4. ___ put Topgolf against bars and bowling alleys, not golf courses.
5. ___, not competitive golf, was the entire draw for most visitors.

SOURCES

C Widely reported in leisure and entertainment industry business press.

C Callaway Golf (formerly Topgolf Callaway) investor filings and golf-industry participation data.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Alamo Drafthouse

DOCUMENTATION LEVEL 3 — POPULARIZED / SIMPLIFIED

THE MECHANISM

The mechanism is combining two declining or commoditized categories into one differentiated experience. Movie theatres were losing to streaming, and casual dining was commoditized, but strict etiquette plus seat-side food made both feel premium again.

Alamo Drafthouse is a US cinema chain of about 40 locations where meals are served at the seat and talking during the film means being removed from it.

Standard movie theatre chains competed on screen size and stadium seating while losing audiences to home streaming.

Alamo Drafthouse combined movie theatre screenings with a full restaurant and craft brewery experience and strict theatre etiquette.

THE FOUR ACTIONS

ELIMINATE

Late admission, talking, phone use, and generic pre-show advertising.

REDUCE

Audience size per screen.

RAISE

Food and drink quality, programming curation, and projection standards.

CREATE

Seat-side dining and actively enforced etiquette, which turned a screening into an event worth leaving the house for.

BUSINESS LENS

Could two of your declining or commoditized offerings be combined into one premium experience instead of trying to fix each separately?

KEY TAKEAWAYS

1. Combining theatre and full dining service turned two commoditized categories into one differentiated experience.
2. Strict etiquette enforcement became a selling point, not a restriction, for a specific audience.
3. Curated pre-show entertainment reinforced a premium, intentional atmosphere competitors did not offer.

SUMMARY

Alamo Drafthouse combined struggling movie theatres with full restaurant and craft-brewery service, using strict etiquette enforcement

> — no talking, no phones — to turn what could feel like a restriction into a premium, differentiated experience.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that strict no-talking, no-phone policies filter out a segment of moviegoers who prefer a more casual, social viewing experience.

APPLY IT

Ask whether two of your declining or commoditized offerings could be combined into a single premium experience, rather than trying to fix each separately.

VOCABULARY & PHRASAL VERBS

category combination **(n.)**

merging two separate business categories into one differentiated offering. Category combination of theatre and dining created value neither alone still had.

etiquette enforcement **(n.)**

strict, actively policed rules governing customer behaviour in a venue. Etiquette enforcement became a selling point for customers tired of disruptive theatres.

premiumization of a commodity **(n.)**

repositioning a widely available product as a higher-value experience. Premiumization of a commodity turned an ordinary movie ticket into a curated night out.

seat-side service **(n.)**

delivering food or drinks directly to a customer's seat without them leaving. Seat-side service let customers eat a full meal without missing any of the film.

audience filtering **(n.)**

design choices that intentionally exclude customers who do not fit the intended experience. Strict phone and talking bans amounted to audience filtering for a specific kind of moviegoer.

PHRASAL VERBS

kick out **(phr. v.)**

to force someone to leave Talkers are kicked out, and that policy is the product.

sit through **(phr. v.)**

to endure something to the end Audiences no longer sit through twenty minutes of generic advertising.

PRACTICE

TEST THE LIMIT

Strict rules turn some customers away at the door. Name a rule your own business could enforce that would win more than it lost.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using category combination and audience filtering.

DISCUSS

What two struggling categories in your world could combine into one premium experience?

WRITE

Identify one strict rule you could enforce that would become a selling point rather than a complaint.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

audience filtering · category combination · etiquette enforcement · premiumization of a commodity · seat-side service

1. ___ of theatre and dining created value neither alone still had.
2. ___ became a selling point for customers tired of disruptive theatres.
3. ___ turned an ordinary movie ticket into a curated night out.
4. ___ let customers eat a full meal without missing any of the film.
5. Strict phone and talking bans amounted to ___ for a specific kind of moviegoer.

SOURCES

C Widely reported in cinema and hospitality industry business press.

C Alamo Drafthouse company statements and exhibition-industry trade coverage.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.

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Pop Mart: Blind Boxes

DOCUMENTATION LEVEL 3 — POPULARIZED / SIMPLIFIED

THE MECHANISM

The mechanism is engineering anticipation through randomness. Sealed, mystery packaging converted a simple toy purchase into a small gamble, and gambling psychology drove repeat purchases far beyond a normal collectible market.

Traditional toy manufacturers competed on licensed action figures or plush dolls marketed directly via Saturday morning cartoons.

Pop Mart popularized designer "blind box" art toys targeted at young adults and fashion collectors.

THE FOUR ACTIONS

ELIMINATE

Knowing what you are buying before you buy it.

REDUCE

Unit price, to a level where the purchase is an impulse rather than a decision.

RAISE

Design quality, collectability, and the scarcity of the rare figure in each series.

CREATE

The blind box — anticipation and the unboxing moment sold as the product itself.

BUSINESS LENS

Could an element of surprise or randomness make your purchase process more anticipated and more repeatable?

KEY TAKEAWAYS

1. Sealed mystery packaging converted a purchase decision into an anticipation-driven experience.
2. Artist-designed collectible figures gave the category cultural cachet a mass-produced toy would not have.
3. Targeting young adults and fashion collectors, not children, redefined who the toy customer was.

SUMMARY

Pop Mart popularized designer "blind box" toys sold in sealed, mystery packaging to young adult collectors, using the psychology of anticipation and randomness to drive repeat purchases in a category that had always targeted children through licensed characters.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that mystery-box mechanics invite scrutiny for resembling gambling, particularly when marketed toward younger collectors.

APPLY IT

Ask whether controlled randomness or surprise could be added to your purchase process to increase anticipation and repeat buying.

VOCABULARY & PHRASAL VERBS

blind box **(n.)**

a sealed package whose specific contents are unknown until opened. The blind box format turned a routine purchase into a small, anticipated gamble.

anticipation psychology **(n.)**

the use of suspense or uncertainty to heighten a customer's emotional engagement. Anticipation psychology, more than the toy itself, drove repeat purchasing behaviour.

designer collectible **(n.)**

an artist-created object marketed for its aesthetic and rarity rather than utility. Designer collectibles gave the category a cultural status mass-market toys never had.

unboxing experience **(n.)**

the moment of opening a product, treated as a valued part of the purchase itself. The unboxing experience became as much a part of the product as the figure inside.

randomized retail **(n.)**

a sales model where the specific item received is determined by chance. Randomized retail mechanics kept collectors buying in hopes of a rare variant.

PHRASAL VERBS

hold out for **(phr. v.)**

to wait for something better rather than accept what is offered Collectors hold out for the rare figure in each series.

give away **(phr. v.)**

to reveal something that was hidden The sealed box gives nothing away until it is opened.

PRACTICE

TEST THE LIMIT

Blind boxes have been described as gambling aimed at children. Write both sides of that argument in three sentences each.

USE THE LANGUAGE

Predict what your closest competitor will do next, using blind box and anticipation psychology.

DISCUSS

Where could controlled randomness make your purchase process more engaging?

WRITE

Sketch what a ‘mystery’ version of one of your products or offers could look like.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

anticipation psychology · blind box · designer collectible · randomized retail · unboxing experience

1. The ___ format turned a routine purchase into a small, anticipated gamble.
2. ___, more than the toy itself, drove repeat purchasing behaviour.
3. ___s gave the category a cultural status mass-market toys never had.
4. The ___ became as much a part of the product as the figure inside.
5. ___ mechanics kept collectors buying in hopes of a rare variant.

SOURCES

C Widely reported in consumer-collectibles and retail-trend business press.

C Pop Mart International annual reports and collectibles-market analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Meow Wolf

DOCUMENTATION LEVEL 3 — POPULARIZED / SIMPLIFIED

THE MECHANISM

The mechanism is making the art itself interactive. Instead of protecting artwork from touch, Meow Wolf built environments where touching, exploring, and discovering secret passages was the entire point.

Meow Wolf builds permanent walk-through art installations in the United States — the first, in Santa Fe, is a two-storey house you enter through the fridge.

Fine art museums enforced quiet, look-but-don't-touch exhibits, while theme parks relied on expensive rides and animatronics.

Meow Wolf created immersive, walk-through narrative art installations that double as interactive playgrounds.

THE FOUR ACTIONS

ELIMINATE

'Do not touch' rules, wall labels, and the linear route through a gallery.

REDUCE

Reliance on the reputation of any individual named artist.

RAISE

Production values, narrative depth, and the reward for coming back a second time.

CREATE

An explorable, touchable, story-driven installation sitting between gallery, theme park and escape room.

BUSINESS LENS

What experience are your customers currently told to observe passively that could instead be built for exploration?

KEY TAKEAWAYS

1. Making installations touchable and explorable, not protected, was the core creative and business decision.
2. Hidden passages and interactive storytelling encouraged repeat visits to find what was missed the first time.
3. Combining art-museum sensibility with theme-park interactivity created a category neither alone had built.

SUMMARY

Meow Wolf combined the narrative ambition of fine art with the physical interactivity of a theme park, building massive, touchable

> installations full of secret passages and sci-fi mysteries that rewarded exploration rather than quiet observation.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that immersive, touchable installations require far higher maintenance and replacement cost than a traditional look-but-don't-touch exhibit.

APPLY IT

Ask whether an experience your customers are told to observe passively could instead be redesigned for them to physically explore.

VOCABULARY & PHRASAL VERBS

immersive installation **(n.)**

a physical environment designed for visitors to enter and interact with directly. The immersive installation replaced static exhibits with a fully explorable environment.

interactive storytelling **(n.)**

narrative delivered through physical exploration and discovery rather than passive viewing. Interactive storytelling rewarded visitors who explored every hidden corner.

repeat-visit design **(n.)**

building an experience deliberately to reward and encourage multiple visits. Repeat-visit design meant no single trip could reveal every hidden detail.

touchable exhibit **(n.)**

artwork or installation designed to be physically handled rather than protected from contact. A touchable exhibit inverted the fundamental rule of a traditional art museum.

category blending **(n.)**
merging conventions from two distinct industries into one new experience. Category blending of museum and theme park created an experience neither industry had alone.

PHRASAL VERBS

wander off **(phr. v.)**
to leave the route and go somewhere else Visitors are meant to wander off the path and find the hidden rooms.

piece together **(phr. v.)**
to build understanding from fragments The story is pieced together across several visits.

PRACTICE

TEST THE LIMIT

Each installation costs millions and cannot be copied cheaply. Explain what that does to the rate at which the company can grow.

USE THE LANGUAGE

Explain immersive installation and repeat-visit design to a colleague who has never heard either term.

DISCUSS

What passive experience in your world could be redesigned for physical exploration?

WRITE

Sketch one hidden detail or secret you could build into your product to reward repeat engagement.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

category blending · immersive installation · interactive storytelling · repeat-visit design · touchable exhibit

1. The ___ replaced static exhibits with a fully explorable environment.
2. ___ rewarded visitors who explored every hidden corner.
3. ___ meant no single trip could reveal every hidden detail.
4. A ___ inverted the fundamental rule of a traditional art museum.
5. ___ of museum and theme park created an experience neither industry had alone.

SOURCES

C Widely reported in arts and experiential-entertainment business press.

C Meow Wolf company statements and immersive-entertainment industry coverage.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Built Bar / Quest Nutrition

DOCUMENTATION LEVEL 3 — POPULARIZED / SIMPLIFIED

THE MECHANISM

The mechanism is closing the taste gap in a functional category. Protein bars had always traded taste for nutrition, and specialized fibre blends let a bar taste like dessert while still hitting a macro target.

Quest and Built are US protein-bar brands sold in supermarkets rather than supplement shops, priced as an everyday snack.

Protein bars were divided into dense, chalky, high-calorie bars for hardcore bodybuilders or high-sugar candy bars disguised as healthy snacks.

Built Bar and Quest Nutrition created low-sugar, dessert-flavoured protein bars targeting everyday health-conscious consumers.

THE FOUR ACTIONS

ELIMINATE

Chalky texture, high sugar, and the flavour compromise that 'health food' had always required.

REDUCE

Calorie and sugar load per bar.

RAISE

Protein and fibre content, and — decisively — taste and texture.

CREATE

A confectionery-grade product that belongs in the snack aisle rather than the supplement shop.

BUSINESS LENS

What trade-off are your customers quietly accepting between your product's function and what they actually enjoy?

KEY TAKEAWAYS

1. Closing the taste-versus-nutrition trade-off opened protein bars to a mainstream, non-bodybuilder audience.
2. Specialized fibre blends were a genuine food-science solution, not just a marketing repositioning.
3. Positioning as a dessert alternative, not a supplement, changed who bought the product and how often.

SUMMARY

Built Bar and Quest Nutrition closed the taste-versus-nutrition trade-off that had defined protein bars, using specialized fibre blends to create

> dessert-flavoured bars that appealed to everyday health-conscious consumers, not just hardcore bodybuilders.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that formulating for both taste and macros is a genuine food-science constraint, not a marketing choice, which limits how far the category can be pushed.

APPLY IT

Ask whether your functional product forces customers to trade away something they actually want, and whether new formulation or design could remove that trade-off.

VOCABULARY & PHRASAL VERBS

taste-function trade-off (n.)

the assumption that a functional product must sacrifice taste for its benefit. Protein bars had accepted a taste-function trade-off until fibre-blend formulation closed the gap.

functional food (n.)

a food product engineered to deliver a specific health or performance benefit. The functional food category expanded once taste stopped being sacrificed for macros.

macro profile (n.)

the balance of protein, fat, and carbohydrate in a food product. A dessert-like macro profile without the usual sugar load was the core innovation.

mainstream repositioning (n.)

adapting a niche product to appeal to a much broader everyday audience. Mainstream repositioning moved protein bars from gym bags to everyday snack drawers.

ingredient substitution (n.)

replacing one formulation ingredient with another to improve taste, cost, or health profile. Ingredient substitution of fibre blends for sugar solved the taste problem directly.

PHRASAL VERBS

cut down on (phr. v.)

to consume less of something Buyers wanted to cut down on sugar without giving up dessert.

make up for (phr. v.)

to compensate for something missing Fibre blends make up for the sugar the recipe removed.

PRACTICE

TEST THE LIMIT

The category filled with imitators within two years. Name what could not be copied — if anything could not.

USE THE LANGUAGE

Describe a decision in your own organization using taste-function trade-off and mainstream repositioning.

DISCUSS

What trade-off is your product quietly forcing customers to accept?

WRITE

Identify one functional constraint in your product and one way to close the gap with what customers actually enjoy.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

functional food · ingredient substitution · macro profile · mainstream repositioning · taste-function trade-off

1. Protein bars had accepted a ___ until fibre-blend formulation closed the gap.
2. The ___ category expanded once taste stopped being sacrificed for macros.
3. A dessert-like ___ without the usual sugar load was the core innovation.
4. ___ moved protein bars from gym bags to everyday snack drawers.
5. ___ of fibre blends for sugar solved the taste problem directly.

SOURCES

C Widely reported in food-science and consumer-nutrition business press.

C Quest Nutrition and Built Brands company statements and functional-food category analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



PART V

Niche, Industrial & Global Pioneers

What does uncontested space look like outside of the usual startup narrative?

Eight ventures — from Embraer's regional jets and Havaianas's rubber sandal to Zappos's service-first retailing and Shein's real-time supply chain — that found blue water far from Silicon Valley, and in five cases far from the United States altogether.

WEEKS 37–44

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Embraer: The Jets the Giants Would Not Build

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is building for a route size the giants had written off. Boeing and Airbus optimized for aircraft of 130 seats and upward, which left thousands of thin city pairs flying slow turboprops or nothing at all — and Embraer built jets sized precisely for them.

Commercial aircraft manufacturing was a duopoly organized around volume. Boeing and Airbus competed on narrowbody and widebody jets, where a route generally has to fill 130 seats or more before it earns money, and both treated anything smaller as a distraction from the aircraft that paid for the factory.

Embraer, privatized in 1994 after years as a loss-making state manufacturer, chose to build jets for the routes underneath that threshold — where the passenger's choice had been a noisy fifty-seat turboprop, a long drive, or no service at all.

THE FOUR ACTIONS

ELIMINATE

The assumption that a jet has to seat 130 or more before it is worth building.

REDUCE

Seat count to between 37 and about 120 in its first two jet families — and with it, the traffic a route needs before it breaks even.

RAISE

Comfort and speed relative to turboprops, and the number of city pairs an airline can serve without a hub.

CREATE

A family of regional jets sized precisely for the thin routes Boeing and Airbus had left to propellers, or to nobody.

BUSINESS LENS

What size of customer, order or job does your industry consider too small to serve, and what would you have to build to serve it profitably?

KEY TAKEAWAYS

1. A market the leaders decline to enter is not the same thing as a market with no demand — the two are constantly confused.
2. Designing the aircraft as a family, sharing one pilot type rating across several sizes, let a single airline mix capacities without paying to retrain crews. The commonality was as strategic as the airframe.
3. Leading a segment the giants have conceded can beat being third in the segment they fight over, even when that segment is far larger.

SUMMARY

> Embraer built a global aerospace business on the routes Boeing and Airbus had written off as too thin to matter, sizing jets for city pairs that could never fill a narrowbody. It made Brazil one of the few countries outside the United States and Europe with a serious civil aviation industry, and did it by choosing the segment the leaders had already conceded.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that Embraer does not control the economics that create its market. Fuel prices, pilot supply and the scope clauses in North American airline labour contracts set how large a regional jet an airline may fly, and when those move, demand moves with them — no amount of design excellence offsets a rule written into someone else's union agreement.

APPLY IT

Ask which external condition your own market quietly depends on, and what you would do in the year it changed.

VOCABULARY & PHRASAL VERBS

regional jet **(n.)**

a small commercial jet built for short routes with low passenger volumes. The regional jet made routes viable that a turboprop had served slowly and a narrowbody could not serve at all.

thin route **(n.)**

a connection between two cities with too few passengers to fill a large aircraft. Thin routes were abandoned by the majors precisely because the aircraft available were the wrong size.

type rating **(n.)**
the certification a pilot holds to fly a particular aircraft type. A shared type rating across the family meant an airline could change aircraft size without retraining its crews.

order backlog **(n.)**
confirmed orders a manufacturer has accepted but not yet delivered. The order backlog is the clearest single measure of whether an aircraft program is working.

scope clause **(n.)**
a term in an airline labour contract limiting the size of aircraft a regional partner may operate. A scope clause can cap demand for an entire aircraft category regardless of how good the aircraft is.

PHRASAL VERBS

break into **(phr. v.)**
to enter a market that is difficult to enter Embraer broke into a market Boeing and Airbus had chosen to leave alone.

take off **(phr. v.)**
of an aircraft, to leave the ground; of a business, to succeed quickly The regional jet took off in exactly the routes the majors could not fly profitably.

PRACTICE

TEST THE LIMIT

Embraer depends on route economics set by airlines, not by Embraer. Name the external condition your own business quietly depends on.

USE THE LANGUAGE

Compare two competitors in your market using thin route and order backlog.

DISCUSS

What has your industry decided is too small to be worth serving, and is that judgment about demand or about the tools available?

WRITE

Identify one segment your organization has written off, and estimate what you would need to change to serve it at a profit.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

order backlog · regional jet · scope clause · thin route · type rating

1. The ___ made routes viable that a turboprop had served slowly and a narrowbody could not serve at all.
2. ___s were abandoned by the majors precisely because the aircraft available were the wrong size.
3. A shared ___ across the family meant an airline could change aircraft size without retraining its crews.
4. The ___ is the clearest single measure of whether an aircraft program is working.

5. A ___ can cap demand for an entire aircraft category regardless of how good the aircraft is.

SOURCES

B Embraer annual reports and civil-aviation fleet data on the regional jet segment.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Threadless

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is inverting who designs the product. Instead of an internal team predicting trends, Threadless let the community submit and vote on designs, only manufacturing what had already proven demand.

Graphic T-shirt apparel brands hired internal design teams and spent millions predicting youth fashion trends months in advance.

Threadless crowdsourced both the shirt designs and the inventory forecasting directly to an online community.

THE FOUR ACTIONS

ELIMINATE

In-house designers, inventory risk, and trend forecasting.

REDUCE

The number of designs available at any one moment.

RAISE

Design variety across the year, and the community's sense of ownership over what gets made.

CREATE

> An open submission and public vote that validates demand before a single shirt is printed.

BUSINESS LENS

Could your customer community design or forecast your next product better than an internal team guessing months ahead?

KEY TAKEAWAYS

1. Crowdsourcing design removed the cost and risk of predicting trends months in advance.
2. Community voting functioned as a demand-validation step before any manufacturing occurred.
3. Printing only winning designs eliminated the inventory risk of guessing wrong.

SUMMARY

Threadless crowdsourced both the creative work and the demand forecasting of graphic T-shirt design, letting an online community submit and vote on artwork so the company only ever manufactured designs that had already proven their popularity.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that crowdsourced design depends on an actively engaged community; without sufficient submission and voting volume, the model produces nothing at all.

APPLY IT

Ask whether your product's design or forecasting decisions could be handed to your own customer community instead of an internal team guessing in advance.

VOCABULARY & PHRASAL VERBS

crowdsourced design **(n.)**

product design generated by an open community rather than an internal team. Crowdsourced design replaced expensive internal trend forecasting with direct community input.

demand validation **(n.)**

confirming customer interest in a product before committing to produce it. Community voting served as demand validation before a single shirt was printed.

inventory risk **(n.)**

the financial exposure of producing goods that may not sell. Printing only winning designs eliminated most of the traditional inventory risk of fashion retail.

community-driven forecasting **(n.)**

predicting demand using direct signals from an engaged customer base. Community-driven forecasting replaced guesswork with a transparent voting mechanism.

open submission model **(n.)**

a system allowing anyone to submit creative work for consideration. The open submission model let anyone become a contributing designer, not just employees.

PHRASAL VERBS

narrow down **(phr. v.)**

to reduce a large number of options to a few The community narrows thousands of submissions down to a handful.

weed out **(phr. v.)**

to remove what is unwanted or weak The public vote weeds out designs that would not have sold.

PRACTICE

TEST THE LIMIT

Community voting predicts what the community wants, not what the market wants. Explain the difference using an example from your own work.

USE THE LANGUAGE

Argue against a decision your team has already taken, using crowdsourced design and demand validation.

DISCUSS

What forecasting decision in your business could your own customers make more accurately than you?

WRITE

Design a simple voting or submission mechanism your customers could use to shape your next product.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

community-driven forecasting · crowdsourced design · demand validation · inventory risk · open submission model

1. ___ replaced expensive internal trend forecasting with direct community input.
2. Community voting served as ___ before a single shirt was printed.
3. Printing only winning designs eliminated most of the traditional ___ of fashion retail.
4. ___ replaced guesswork with a transparent voting mechanism.
5. The ___ let anyone become a contributing designer, not just employees.

SOURCES

C Widely documented in crowdsourcing and apparel-industry business case studies.

C Threadless company history and crowdsourcing research literature.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Havaianas: Changing Everything Except the Product

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is changing everything around a product without changing the product itself. Havaianas kept essentially the same rubber sandal it had sold since 1962 and moved it — into colour, into fashion retail, into a higher price — until the buyer's reason for owning a pair was completely different.

Alpargatas had sold the same blue-and-white rubber sandal for three decades through hardware shops, market stalls and the bottom shelf of supermarkets. It was cheap, it was everywhere, and it carried an unmistakable social signal: footwear for people who could not afford shoes. Sales were falling and the obvious moves — cut the price, cut the cost — would only have deepened the signal.

Instead the company changed the colour, the shelf and the story. The product stayed almost exactly as it was.

THE FOUR ACTIONS

ELIMINATE

The association with poverty carried by thirty years of one sandal, in one colour pair, sold from hardware shops and market stalls.

REDUCE

Dependence on the low-margin channels that had defined the brand.

RAISE

Colour range, design turnover, price, and shelf position — from the supermarket floor to the fashion boutique.

CREATE

A commodity rubber sandal repositioned as an affordable fashion item and sold in more than a hundred countries, with the product itself barely altered.

BUSINESS LENS

What does your product currently signal about the person who buys it, and could that signal be changed without changing the product?

KEY TAKEAWAYS

1. Repositioning is often far cheaper than reinvention: the sandal's rubber, shape and manufacturing barely moved, and almost none of the cost of the turnaround went into the product.
2. Distribution is positioning. The shelf a product sits on tells the buyer what it is worth more directly than any advertisement does.
3. Colour and limited runs gave people a reason to own several pairs rather than one — the same conversion from purchase to collection that Swatch engineered in watches.

SUMMARY

> Havaianas took a commodity rubber sandal that signalled poverty, changed its colour, its shelf and its price without meaningfully changing the product, and turned it into a fashion item sold in more than a hundred countries. It is the cleanest available demonstration that a value curve can be redrawn without a new factory.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is how far a brand can travel from where it started. Pushing price and prestige upward eventually strands the mass-market buyer who made the product famous in the first place, and Havaianas has had to run cheap and premium lines alongside each other ever since — which is a permanent management problem, not a phase.

APPLY IT

Ask what your product signals about its buyer, and whether the cheapest available change — colour, packaging, shelf, price, story — would change that signal more than a new product would.

VOCABULARY & PHRASAL VERBS

repositioning **(n.)**

changing how a market perceives a product without substantially changing the product. The repositioning cost almost nothing in manufacturing and almost everything in nerve.

social signalling **(n.)**

what owning or using a product communicates about its owner. For thirty years the sandal's social signalling was the single biggest obstacle to selling it at a profit.

channel migration **(n.)**

deliberately moving a product from one type of retailer to another. Channel migration from the hardware shop to the boutique did more for price than any redesign could have.

brand equity **(n.)**

the commercial value carried by a brand name itself, beyond the product. Brand equity built in Brazil turned out to travel further abroad than anyone had expected.

line architecture **(n.)**

the way a company structures cheap and premium versions of the same product. Line architecture is what lets a brand serve a market stall and a department store without embarrassing itself in either.

PHRASAL VERBS

look down on **(phr. v.)**

to regard someone or something as inferior Middle-class Brazilians had looked down on the sandal for thirty years.

bring out **(phr. v.)**

to release a new product Havaianas brought out coloured versions and put them in fashion shops.

PRACTICE

TEST THE LIMIT

Premium positioning eventually made the sandal too expensive for the buyers who made it famous. Write how you would have handled that.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using repositioning and channel migration.

DISCUSS

Which product in your market is sold badly rather than made badly?

WRITE

Take one of your own products and rewrite its description for a buyer paying three times the price.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

brand equity · channel migration · line architecture · repositioning · social signalling

1. The ___ cost almost nothing in manufacturing and almost everything in nerve.
2. For thirty years the sandal's ___ was the single biggest obstacle to selling it at a profit.
3. ___ from the hardware shop to the boutique did more for price than any redesign could have.
4. ___ built in Brazil turned out to travel further abroad than anyone had expected.
5. ___ is what lets a brand serve a market stall and a department store without embarrassing itself in either.

SOURCES

B Alpargatas S.A. annual reports and Brazilian consumer-goods brand-repositioning analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Decathlon

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is vertical integration at massive scale. Designing, testing, and manufacturing its own sub-brands let Decathlon cut out the third-party markup that every other sporting goods retailer still pays.

Sporting goods stores resold high-priced third-party athletic brands like Nike and Adidas with moderate profit margins.

Decathlon created a massive, vertically integrated sporting goods hypermarket filled almost entirely with proprietary in-house brands.

THE FOUR ACTIONS

ELIMINATE

Third-party brand markup, licensing fees, and brand marketing spend.

REDUCE

Price, across more than eighty sports.

RAISE

Category breadth, and the depth of in-house design and field testing.

CREATE

> Vertically integrated sub-brands such as Quechua and Kalenji, which make technical equipment affordable to beginners.

BUSINESS LENS

What category do you currently just resell that you could vertically integrate to capture the margin yourself?

KEY TAKEAWAYS

1. Vertical integration across design, testing, and manufacturing removed third-party brand markup entirely.
2. In-house sub-brands let Decathlon control quality and price simultaneously, unlike a typical retailer.
3. Scale across 80-plus sports categories made the vertical integration investment economically viable.

SUMMARY

Decathlon built a vertically integrated sporting goods hypermarket, designing and manufacturing its own in-house sub-brands rather than reselling Nike or Adidas, cutting out third-party markup across more than 80 sports categories at a scale few retailers could match.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that owning the entire supply chain across 80-plus sports requires enormous scale and capital that few retailers could realistically replicate.

APPLY IT

Ask whether your organization could vertically integrate a category it currently just resells, cutting out a markup that funds someone else's margin instead of yours.

VOCABULARY & PHRASAL VERBS

vertical integration **(n.)**

a company controlling multiple stages of production, from design through retail. Vertical integration let Decathlon capture margin a typical retailer hands to brand manufacturers.

in-house sub-brand **(n.)**

a proprietary brand created and owned by a retailer rather than licensed from outside. In-house sub-brands like Quechua and Kalenji replaced third-party names entirely.

third-party markup **(n.)**

the added cost of reselling another company's branded product. Eliminating third-party markup was the entire basis of Decathlon's lower pricing.

category breadth **(n.)**

the range of distinct product categories a business covers. Category breadth across 80-plus sports justified the enormous investment in vertical integration.

hypermarket model **(n.)**

a very large retail format combining broad selection with lower per-unit pricing. The hypermarket model relied on scale to make in-house manufacturing economically viable.

PHRASAL VERBS

take up **(phr. v.)**

to start a new activity or hobby The range is priced for someone taking up a sport, not for someone already committed to it.

carry out **(phr. v.)**

to perform a task or a piece of work Decathlon carries out its own design and field testing in-house.

PRACTICE

TEST THE LIMIT

Vertical integration means Decathlon carries every risk itself. Name the risk it cannot pass to anyone else.

USE THE LANGUAGE

Predict what your closest competitor will do next, using vertical integration and third-party markup.

DISCUSS

What category could your organization vertically integrate to capture margin currently going elsewhere?

WRITE

Estimate the scale you would need to make owning your own supply chain economically viable.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

category breadth · hypermarket model · in-house sub-brand · third-party markup · vertical integration

1. ___ let Decathlon capture margin a typical retailer hands to brand manufacturers.
2. ___s like Quechua and Kalenji replaced third-party names entirely.
3. Eliminating ___ was the entire basis of Decathlon's lower pricing.
4. ___ across 80-plus sports justified the enormous investment in vertical integration.
5. The ___ relied on scale to make in-house manufacturing economically viable.

SOURCES

C Widely documented in European retail and sporting-goods industry press.

C Decathlon / Association Familiale Mulliez corporate reporting and European sporting-goods retail analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Zappos

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is removing the specific risk that blocked a channel switch. Shoe shopping stayed offline because of fit uncertainty, not preference, so a generous return policy removed that single blocker rather than trying to compete on price or selection.

Shoe shopping was tied entirely to physical retail stores due to sizing and fit uncertainty.

Zappos brought shoe retail online by eliminating the risk of buying the wrong size.

THE FOUR ACTIONS

ELIMINATE

Shipping charges, restocking fees, and every other cost of being wrong about fit.

REDUCE

Advertising spend, in favour of spending the same money on service.

RAISE

The return window to 365 days, call-centre autonomy, and inventory depth.

CREATE

Service as the marketing budget — turning fit uncertainty from a blocker into a reason to switch channel.

BUSINESS LENS

What specific risk, not price or selection, is actually keeping your customers hesitant to buy?

KEY TAKEAWAYS

1. Fit uncertainty, not price or preference, was the real reason shoe shopping had stayed offline.
2. Free two-way shipping and a 365-day return policy removed that specific risk directly.
3. World-class customer service became the primary marketing message, not a secondary support function.

SUMMARY

Zappos identified that fit uncertainty, not price or preference, was the real reason shoe shopping had stayed offline, and removed that specific risk with free two-way shipping and a 365-day return policy, turning customer service itself into its core marketing engine.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that free two-way shipping and lengthy returns are expensive to sustain and only work if the customer-service cost is offset by strong loyalty and repeat purchase.

APPLY IT

Ask what single, specific risk is keeping your customers offline or hesitant, rather than assuming price or selection is the real blocker.

VOCABULARY & PHRASAL VERBS

channel switch **(n.)**

moving a category of purchase from one buying channel, like retail stores, to another, like online. Removing fit risk enabled the channel switch from physical stores to online shoe shopping.

purchase risk **(n.)**

the specific uncertainty or fear that prevents a customer from completing a purchase. Fit uncertainty was the real purchase risk keeping shoe buyers in physical stores.

return policy **(n.)**

the terms under which a customer can send back a purchased product. A 365-day return policy removed the financial risk of ordering the wrong size online.

service-as-marketing **(n.)**

using exceptional customer service itself as the primary promotional strategy. Service-as-marketing meant word-of-mouth about returns did more than any advertisement.

blocker identification **(n.)**

pinpointing the specific, narrow reason customers hesitate, rather than a broad assumption. Blocker identification — fit, not price — was the entire strategic insight.

PHRASAL VERBS

hold back **(phr. v.)**

to prevent something from progressing Fit uncertainty, not price, was holding back online shoe sales.

stand behind **(phr. v.)**

to support and take responsibility for what you sell A 365-day return window is a company standing behind what it ships.

PRACTICE

TEST THE LIMIT

Free returns are a real cost, not a marketing line. Estimate the return rate at which the model would fail.

USE THE LANGUAGE

Explain purchase risk and service-as-marketing to a colleague who has never heard either term.

DISCUSS

What specific, narrow risk — not price — is keeping your customers from buying?

WRITE

Design one policy change that would remove your customer's single biggest hesitation.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

blocker identification · channel switch · purchase risk · return policy · service-as-marketing

1. Removing fit risk enabled the ___ from physical stores to online shoe shopping.
2. Fit uncertainty was the real ___ keeping shoe buyers in physical stores.
3. A 365-day ___ removed the financial risk of ordering the wrong size online.
4. ___ meant word-of-mouth about returns did more than any advertisement.
5. ___ — fit, not price — was the entire strategic insight.

SOURCES

B Hsieh, T., Delivering Happiness: A Path to Profits, Passion, and Purpose, Business Plus (2010).

B Zappos company history, Amazon acquisition filings, and customer-service strategy literature.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Peloton

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is merging two things customers were choosing between: a boutique studio's energy and a home bike's convenience, delivered together through hardware paired with live streaming.

Consumers chose between paying high monthly fees for boutique spin classes like SoulCycle or buying standalone home stationary bikes that sat unused in basements.

Peloton brought the energy and community of a live boutique studio class directly into the living room.

THE FOUR ACTIONS

ELIMINATE

The commute, the fixed class schedule, and the competition for a bike in a popular class.

REDUCE

Instructor variety, relative to a city full of studios.

RAISE

Production values, instructor quality, and hardware design.

CREATE

A hardware-plus-subscription bundle that delivers live studio energy into a spare room.

BUSINESS LENS

What two options are your customers forced to choose between that could be merged into one hybrid product?

KEY TAKEAWAYS

1. Merging studio energy with home convenience solved a real trade-off customers were forced to make.
2. A touchscreen and live streaming replicated the social, motivational element a standalone bike could not provide.
3. Bundling hardware with a subscription created two revenue streams instead of one single purchase.

SUMMARY

Peloton merged the energy of a live boutique studio class with the convenience of a home stationary bike, using an interactive touchscreen and streaming subscription to solve the trade-off customers had always been forced to make between the two.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that the hardware-plus-subscription model requires a large upfront customer purchase before any recurring revenue begins, which makes growth capital-intensive.

APPLY IT

Ask whether two options your customers currently choose between could be merged into a single hybrid product that keeps the strengths of both.

> **WHAT HAPPENED NEXT**
>
> Peloton's growth was supercharged by a shock it did not create. Demand collapsed once gyms reopened; the share price fell roughly 95% from its 2021 peak, co-founder John Foley stepped down as CEO in February 2022, and subscriber numbers were still shrinking through fiscal 2026. A blue ocean opened by an external event can close the same way.

VOCABULARY & PHRASAL VERBS

hybrid product **(n.)**

an offering that combines the strengths of two previously separate options. The hybrid product combined studio energy with home convenience in one purchase.

hardware-plus-subscription **(n.)**

a business model pairing a physical product with ongoing recurring service revenue. The hardware-plus-subscription model created two revenue streams from a single customer.

customer trade-off **(n.)**

a forced choice between two options, each missing something the customer wants. Removing the customer trade-off between studio energy and home convenience was the entire pitch.

capital-intensive growth **(n.)**

expansion that requires significant upfront investment before returns materialize. Capital-intensive growth was the price of requiring a large hardware purchase before any subscription revenue began.

live-streamed class **(n.)**

real-time instructor-led content delivered remotely to a home device. A live-streamed class replicated the motivational energy of an in-person studio.

PHRASAL VERBS

work out **(phr. v.)**

to exercise Members work out at six in the morning without leaving the house.

sign up for **(phr. v.)**

to commit yourself to something Buyers sign up for a subscription before the bike has paid for itself.

PRACTICE

TEST THE LIMIT

Demand collapsed once gyms reopened. Write the sentence Peloton should have put in its 2020 annual report.

USE THE LANGUAGE

Describe a decision in your own organization using hybrid product and customer trade-off.

DISCUSS

What forced trade-off are your customers making that a hybrid product could eliminate?

WRITE

Sketch what a hardware-plus-subscription version of your product or service could look like.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

capital-intensive growth · customer trade-off · hardware-plus-subscription · hybrid product · live-streamed class

1. The ___ combined studio energy with home convenience in one purchase.
2. The ___ model created two revenue streams from a single customer.
3. Removing the ___ between studio energy and home convenience was the entire pitch.
4. ___ was the price of requiring a large hardware purchase before any subscription revenue began.
5. A ___ replicated the motivational energy of an in-person studio.

SOURCES

C Widely documented in fitness-technology and connected-hardware business press.

C Peloton Interactive investor filings, including the post-2021 subscriber and revenue record.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Lush Cosmetics

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is removing an entire material category rather than optimizing it. Removing packaging entirely from much of the range, not just reducing it, forced a complete rethink of how cosmetics were made, stored, and sold.

Beauty brands spent heavily on elaborate plastic packaging, celebrity endorsements, and synthetic fragrance formulations.

Lush created fresh, handmade, eco-friendly solid cosmetics sold "naked," without plastic packaging.

THE FOUR ACTIONS

ELIMINATE

Plastic bottles for its solid shampoos and soaps, animal testing, and preservative-led formulation.

REDUCE

Shelf life, and packaging spend to near zero.

RAISE

In-store sensory experience, ingredient freshness, and staff engagement.

CREATE

> Solid, package-free formats sold in a deli-style fresh market rather than a cosmetics counter.

BUSINESS LENS

What material or process is your industry optimizing that it should instead eliminate outright?

KEY TAKEAWAYS

1. Removing packaging entirely for whole product lines forced genuine reformulation of the products themselves.
2. Solid, handmade cosmetics changed both the manufacturing process and the in-store experience.
3. Deli-style, sensory retail design reinforced the fresh, eco-friendly positioning at the point of sale.

SUMMARY

Lush sold a large share of its range with no packaging at all rather than merely reducing it, reformulating cosmetics into solid, handmade bars sold "naked" in sensory, deli-style stores that reinforced an eco-friendly identity at every point of the customer experience.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that solid, package-free cosmetics have shorter shelf lives and different usage habits than their plastic-packaged equivalents, which not every customer will accept.

APPLY IT

Ask whether your industry is trying to optimize a material or process it should instead eliminate outright.

VOCABULARY & PHRASAL VERBS

elimination vs. reduction **(n.)**

removing a factor entirely rather than merely decreasing its use. Lush chose elimination over reduction, removing plastic packaging outright rather than using less of it.

solid formulation **(n.)**

a product engineered to work without liquid or its usual packaging. Solid formulation of shampoo bars required entirely new manufacturing processes.

naked retail **(n.)**

selling products without conventional packaging, visible and touchable on the shelf. Naked retail turned the packaging-free format into the store's core visual identity.

sensory store design **(n.)**

a physical retail environment designed to engage smell, touch, and sight directly. Sensory store design reinforced the fresh, handmade positioning before a customer touched a product.

eco-positioning **(n.)**

building brand identity around environmental responsibility as a core value, not an add-on. Eco-positioning was reinforced by every part of the experience, not just the marketing copy.

PHRASAL VERBS

give off **(phr. v.)**

to emit a smell, heat or light The shops give off a scent you can find from the other end of the street.

wrap up **(phr. v.)**

to cover something in packaging Nothing is wrapped up in plastic that does not have to be.

PRACTICE

TEST THE LIMIT

Solid formats do not work for every product. Name the products this approach cannot reach, and say why.

USE THE LANGUAGE

Compare two competitors in your market using elimination vs. reduction and eco-positioning.

DISCUSS

What would it take for your organization to eliminate a wasteful material outright, not just reduce it?

WRITE

Identify one product you could reformulate to eliminate its packaging entirely.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

eco-positioning · give off · naked retail · sensory store design · solid formulation

1. ___ of shampoo bars required entirely new manufacturing processes.
2. ___ turned the packaging-free format into the store's core visual identity.
3. ___ reinforced the fresh, handmade positioning before a customer touched a product.
4. ___ was reinforced by every part of the experience, not just the marketing copy.
5. The shops ___ a scent you can find from the other end of the street.

SOURCES

C Widely documented in sustainable-beauty and retail-industry business press.

C Lush Cosmetics company statements and sustainable-packaging industry analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Shein

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is compressing the entire fashion cycle. Instead of design cycles measured in months, real-time social data and tiny factory runs let Shein test hundreds of designs and scale only what actually sold.

Traditional fast-fashion retailers like H&M and Zara relied on design cycles measured in months, physical store networks, and bulk seasonal production runs.

Shein invented "ultra-fast fashion," driven entirely by real-time algorithm forecasting and direct-from-factory micro-batches.

THE FOUR ACTIONS

ELIMINATE

Seasonal collections and the long design cycle the whole industry was built around.

REDUCE

Initial production runs to 100–200 units per style.

RAISE

Assortment size, and speed from detected trend to shelf.

CREATE

Algorithmic trend detection wired directly to scale-on-signal manufacturing.

BUSINESS LENS

Could your product development cycle be compressed by testing small, real batches instead of forecasting large ones in advance?

KEY TAKEAWAYS

1. Compressing design cycles from months to real time let Shein test far more designs than any competitor.
2. Ultra-small initial factory runs (100 to 200 units) minimized the risk of guessing wrong.
3. Scaling production only after a design proved viral removed most traditional forecasting risk.

SUMMARY

Shein invented ultra-fast fashion by compressing the industry's months-long design cycle into real-time algorithmic trend detection and tiny initial factory runs, scaling production only once a design had already proven itself popular online.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that ultra-fast production at this scale has drawn serious scrutiny over labour conditions and environmental waste, a real limit of the model, not just an operational detail.

APPLY IT

Ask whether your product development cycle could be compressed dramatically by testing small batches in real time instead of committing to large runs based on forecasts.

> **WHAT HAPPENED NEXT**
>
> The model has drawn sustained regulatory attention in the EU and the United States over labour conditions, import duty treatment and textile waste. Read this chapter as a description of a mechanism, not an endorsement of it.

VOCABULARY & PHRASAL VERBS

ultra-fast fashion **(n.)**

a production model compressing design-to-shelf timelines to days rather than months. Ultra-fast fashion replaced seasonal forecasting with continuous, real-time production.

micro-batch production **(n.)**

manufacturing in very small initial quantities to test demand before scaling. Micro-batch production of 100 to 200 units limited the cost of a design that failed to sell.

algorithmic trend detection **(n.)**

using automated data analysis to identify emerging demand patterns. Algorithmic trend detection replaced human forecasters guessing months ahead.

scale-on-signal **(n.)**

expanding production only after real demand data confirms a design's popularity. Scale-on-signal production meant nothing was mass-produced until it had already proven itself.

design-cycle compression **(n.)**

shortening the time between concept and available-for-sale product. Design-cycle compression from months to days was the entire structural advantage.

PHRASAL VERBS

scale up **(phr. v.)**

to increase production or size Shein scales up only the styles that have already sold.

churn out **(phr. v.)**

to produce something rapidly and in large quantity The system churns out thousands of new styles a week.

PRACTICE

TEST THE LIMIT

The speed depends on labour and environmental practices now under serious scrutiny. Write the question a buyer should ask before copying this model.

USE THE LANGUAGE

Argue against a decision your team has already taken, using micro-batch production and scale-on-signal.

DISCUSS

What would your product development process look like compressed from months to days?

WRITE

Design a small-batch test you could run before committing to a full production run.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

algorithmic trend detection · design-cycle compression · micro-batch production · scale-on-signal · ultra-fast fashion

1. ____ replaced seasonal forecasting with continuous, real-time production.
2. ____ of 100 to 200 units limited the cost of a design that failed to sell.
3. ____ replaced human forecasters guessing months ahead.
4. ____ production meant nothing was mass-produced until it had already proven itself.
5. ____ from months to days was the entire structural advantage.

SOURCES

C Widely documented in fast-fashion and supply-chain business press.

C Shein company statements and supply-chain investigations into ultra-fast fashion.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



PART VI

Category Icons & Reinventions

What does it look like when an entire industry gets rebuilt around a single shift in assumption?

Eight closing case studies of category-defining reinvention — from Marvel's interconnected cinematic universe to Uber's bypass of the taxi medallion and Airbnb's unlocking of the spare room — and the patterns that connect them all.

WEEKS 45–52

45

Marvel Studios: The Connected Cinematic Universe

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is turning standalone products into an interconnected system. Individual films became chapters that only paid off fully once viewers had followed the larger arc across many releases.

Film studios traditionally viewed superhero movies as standalone IPs or isolated linear sequels; once audience interest flagged, the franchise was simply rebooted.

Marvel transformed individual character films into an interconnected narrative web where every movie feeds into a larger event.

THE FOUR ACTIONS

ELIMINATE

Isolated film silos, in which each property began and ended in its own picture.

REDUCE

Dependence on a single star, or on any one film carrying the year.

RAISE

Continuity, long-arc payoff, and the audience's accumulated investment.

CREATE

The cinematic universe model, in which every film is both a chapter and a commercial for the next.

BUSINESS LENS

Could your standalone products become chapters in a larger story that makes each one a commercial for the next?

KEY TAKEAWAYS

1. Interconnecting individual films multiplied the commercial value of each one beyond its own box office.
2. Team-up films rewarded viewers who had followed the entire arc, deepening loyalty over years.
3. The model turned single films into a self-reinforcing marketing system for the entire franchise.

SUMMARY

Marvel Studios transformed standalone superhero films into an interconnected cinematic universe, where individual character movies

> function as chapters building toward massive team-up events, turning each release into a commercial for the next.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that an interconnected universe raises the cost of entry for new audiences, who must catch up on many previous instalments to fully follow the story.

APPLY IT

Ask whether your standalone products could be reframed as chapters in a larger, ongoing story that makes each individual purchase a commercial for the next.

VOCABULARY & PHRASAL VERBS

cinematic universe **(n.)**

a set of interconnected films or stories sharing continuity and characters. The cinematic universe model made each film both self-contained and part of a larger arc.

interconnected narrative **(n.)**

a story structure where individual instalments depend on and reference each other. Interconnected narrative design rewarded long-term audience loyalty across many releases.

franchise architecture **(n.)**

the deliberate structural planning of how multiple releases build toward each other. Franchise architecture planned years of releases in advance, not just one film at a time.

audience investment **(n.)**

the degree to which a customer feels ongoing commitment to following a series or brand. Audience investment grew with every film that referenced the larger shared story.

built-in cross-promotion **(n.)**

a structure where each product inherently markets another within the same system. Built-in cross-promotion meant every film advertised the next without extra marketing spend.

PHRASAL VERBS

tie in with **(phr. v.)**

to connect with something else Each film ties in with the next, so no picture stands alone.

pay off **(phr. v.)**

to produce a reward after a long investment Ten years of setup paid off in a single team-up film.

PRACTICE

TEST THE LIMIT

Audience fatigue arrived after roughly a decade. Explain why connected universes decay, using the word continuity.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using cinematic universe and audience investment.

DISCUSS

What standalone products of yours could be reframed as chapters in a larger story?

WRITE

Sketch how two of your separate products could reference or build toward each other.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

audience investment · built-in cross-promotion · cinematic universe · franchise architecture · interconnected narrative

1. The ____ model made each film both self-contained and part of a larger arc.
2. ____ design rewarded long-term audience loyalty across many releases.
3. ____ planned years of releases in advance, not just one film at a time.
4. ____ grew with every film that referenced the larger shared story.
5. ____ meant every film advertised the next without extra marketing spend.

SOURCES

C Widely documented in entertainment-industry and media-strategy business press.

C Disney and Marvel Studios investor communications and film-industry franchise analysis.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



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Yellow Tail (Casella Wines): Removing Wine Snobbery

DOCUMENTATION LEVEL 1 — DIRECTLY DOCUMENTED

THE MECHANISM

The mechanism is removing the vocabulary that intimidates the buyer. Stripping away aging claims, back-label jargon, and varietal complexity let a casual drinker choose wine the way they chose beer — without feeling judged for not knowing enough.

Winemakers competed fiercely on vineyard prestige, aging complexity, technical jargon, and snob appeal, creating a category that casual drinkers found intimidating.

Yellow Tail created a simple, approachable wine engineered specifically for people who preferred beer or pre-mixed cocktails.

THE FOUR ACTIONS

ELIMINATE

Wine aging claims, complex back-label terminology, and dozens of confusing varietal choices.

REDUCE

Selection down to just two options initially: a red and a white.

RAISE

Retail store involvement — giving distributors and shop staff a real stake in the brand — and price relative to budget wines.

CREATE

An easy-drinking, fruit-forward taste profile and fun, accessible kangaroo branding.

BUSINESS LENS

What jargon or complexity in your category is quietly excluding a much larger group of potential customers?

KEY TAKEAWAYS

1. Removing aging claims and technical jargon opened wine to casual drinkers intimidated by traditional wine culture.
2. Starting with just two simple options — a red and a white — reduced decision fatigue entirely.
3. Fun, accessible branding signalled 'this is not the wine world you're used to' immediately.

SUMMARY

Yellow Tail stripped away the aging claims, jargon, and varietal complexity that intimidated casual drinkers, offering a simple, fruit-

> forward wine with fun, accessible branding that competed for beer and cocktail drinkers rather than wine connoisseurs.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that simplifying to two options limits appeal to wine enthusiasts who value complexity and variety, a trade-off the brand accepted deliberately.

APPLY IT

Ask whether your product's category has built up jargon or complexity that intimidates a much larger group of potential customers than it attracts.

VOCABULARY & PHRASAL VERBS

category jargon **(n.)**

specialized vocabulary within an industry that can intimidate or exclude newcomers. Category jargon around wine aging and varietals kept many casual drinkers away entirely.

decision fatigue **(n.)**

the mental exhaustion caused by facing too many choices. Reducing the range to two options eliminated the decision fatigue of a traditional wine aisle.

accessible branding **(n.)**

visual and verbal identity designed to feel welcoming rather than exclusive. Accessible branding signalled the product was not part of traditional wine culture.

fruit-forward **(adj.)**

describing a wine taste profile emphasizing bright fruit flavour over technical complexity. A fruit-forward taste profile appealed directly to beer and cocktail drinkers.

snob appeal **(n.)**
status signalling built around specialized knowledge that can alienate newcomers. Removing snob appeal entirely was the central strategic decision behind the brand.

PHRASAL VERBS

water down **(phr. v.)**
to weaken something by diluting it Critics said the wine watered down everything that made wine interesting.

settle on **(phr. v.)**
to choose after considering the options A shopper settles on one of two bottles instead of comparing forty.

PRACTICE

TEST THE LIMIT

Two options attract the newcomer and bore the enthusiast. Say what you would launch second, and when you would launch it.

USE THE LANGUAGE

Predict what your closest competitor will do next, using category jargon and decision fatigue.

DISCUSS

What jargon in your category could you remove to welcome a much larger, less expert audience?

WRITE

Simplify your product's current options down to just two choices and describe who that would attract.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

accessible branding · category jargon · decision fatigue · fruit-forward · snob appeal

1. ___ around wine aging and varietals kept many casual drinkers away entirely.
2. Reducing the range to two options eliminated the ___ of a traditional wine aisle.
3. ___ signalled the product was not part of traditional wine culture.
4. A ___ taste profile appealed directly to beer and cocktail drinkers.
5. Removing ___ entirely was the central strategic decision behind the brand.

SOURCES

A Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015).

C Widely documented in wine-industry and consumer-branding business press.



47

CitizenM Hotels: Affordable Luxury for Mobile Citizens

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is redesigning around one specific traveller type. Rather than serving every hotel guest, CitizenM cut costly, underused features and raised what modern frequent travellers actually valued — great beds, fast check-in, communal space.

Hospitality was split between depressing budget motels and expensive five-star luxury hotels with costly, underutilized features such as large lobbies, bellhops, and room service.

CitizenM designed a hybrid "affordable luxury" hotel category tailored specifically for modern frequent travellers and digital nomads.

THE FOUR ACTIONS

ELIMINATE

Concierges, bellhops, full room service, and front-desk check-in staff.

REDUCE

Individual room square footage, to compact modular pods.

RAISE

Bed and shower quality, design standard throughout, and the amount of communal space per guest.

CREATE

High-end communal lounge spaces and self-check-in kiosks, built around one narrowly defined traveller.

BUSINESS LENS

What single, specific customer type could you redesign your entire offering around, at the cost of serving everyone else?

KEY TAKEAWAYS

1. Eliminating concierges, bellhops, and full room service cut cost without removing what mobile travellers valued.
2. Compact modular rooms funded investment in high-end beds and showers instead of square footage.
3. Communal lounge spaces replaced private amenities as the shared social and work space guests wanted.

SUMMARY

CitizenM designed hospitality specifically around modern, mobile travellers, eliminating costly traditional hotel features like bellhops and full room service to fund compact, high-design rooms and communal lounge spaces that better matched how frequent travellers actually wanted to stay.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that compact, modular rooms will not satisfy travellers who specifically want spacious rooms or full-service amenities, a segment the brand deliberately does not chase.

APPLY IT

Ask whether your product is trying to serve every customer type, when focusing narrowly on one underserved traveller or user profile could let you cut costs and raise quality simultaneously.

VOCABULARY & PHRASAL VERBS

affordable luxury **(n.)**

a positioning combining premium quality with accessible pricing by cutting selective costs. Affordable luxury meant premium beds and design without a five-star price tag.

modular room design **(n.)**

compact, standardized room layouts built for efficient space use. Modular room design let CitizenM fit more rooms into the same building footprint.

communal space **(n.)**

a shared area designed for socializing or working among many guests at once. Communal space replaced private hotel amenities as the primary shared area guests used.

self-check-in **(n.)**

technology allowing guests to check into a hotel without staff interaction. Self-check-in kiosks removed a staffing cost hotels had always assumed was essential.

targeted traveller profile (n.)

designing a product specifically around one well-defined type of customer. The targeted traveller profile of digital nomads shaped every design decision in the hotel.

PHRASAL VERBS

check in (phr. v.)

to register on arrival at a hotel or airport Guests check themselves in at a kiosk in under a minute.

free up (phr. v.)

to make a resource available for another use Cutting room size freed up money for far better beds.

PRACTICE

TEST THE LIMIT

The design excludes families and long stays. Name the segment your own product silently excludes.

USE THE LANGUAGE

Explain affordable luxury and targeted traveller profile to a colleague who has never heard either term.

DISCUSS

What single, narrow customer profile could your product be redesigned entirely around?

WRITE

List one traditional feature of your category you could eliminate to fund something your target customer values more.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

affordable luxury · communal space · modular room design · self-check-in · targeted traveller profile

1. ___ meant premium beds and design without a five-star price tag.
2. ___ let CitizenM fit more rooms into the same building footprint.
3. ___ replaced private hotel amenities as the primary shared area guests used.
4. ___ kiosks removed a staffing cost hotels had always assumed was essential.
5. The ___ of digital nomads shaped every design decision in the hotel.

SOURCES

C Widely documented in hospitality-industry business press.

C CitizenM company statements and hospitality-industry analysis of the affordable-luxury segment.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.



48

Novo Nordisk: Patient-Centric Medical Design (NovoPen)

DOCUMENTATION LEVEL 1 — DIRECTLY DOCUMENTED

THE MECHANISM

The mechanism is shifting who the real customer is. Pharmaceutical companies had always sold to prescribing doctors, but designing for the patient's daily friction and stigma created a device doctors then had a new reason to prescribe.

Pharmaceutical companies treated prescribing doctors as their primary customer, competing on chemical efficacy and physician sales pitches.

Novo Nordisk shifted its focus to the end-user patient, addressing the daily physical friction and social stigma of managing diabetes.

THE FOUR ACTIONS

ELIMINATE

Visible syringes and vials, and drawing up each dose from a vial.

REDUCE

The number of preparation steps between deciding to dose and dosing.

RAISE

Discretion, portability, dosing accuracy, and patient dignity.

CREATE

A pen-format delivery device designed for the patient who uses it rather than the physician who prescribes it.

BUSINESS LENS

Is your product designed for the person who approves the purchase, or the person who lives with it every day?

KEY TAKEAWAYS

1. Shifting the target customer from doctor to patient revealed frictions the industry had never designed for.
2. A discreet, pen-sized device addressed the social stigma of visible medical equipment directly.
3. Pre-filled cartridges let patients self-administer precisely without clinical training.

SUMMARY

Novo Nordisk redesigned insulin delivery around the daily patient, not the prescribing doctor, creating a discreet, pen-sized device with pre-filled cartridges that addressed the physical friction and social stigma of diabetes management that the industry had never previously designed for.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that patient-centric design adds engineering and manufacturing cost that only pays off if the improved experience actually drives higher adherence and outcomes.

APPLY IT

Ask whether your product is designed for the person who approves the purchase, when the person who actually uses it daily has entirely different needs.

VOCABULARY & PHRASAL VERBS

patient-centric design **(n.)**

product design prioritizing the end user's daily experience over the purchasing decision-maker. Patient-centric design revealed needs the doctor-focused industry had never addressed.

end-user friction **(n.)**

difficulty or discomfort experienced by the person actually using a product, not the buyer. End-user friction around visible syringes had gone unaddressed for decades.

stigma reduction **(n.)**

design choices intended to reduce social discomfort associated with using a product. Stigma reduction through a discreet pen design changed how patients felt about daily treatment.

self-administration **(n.)**

a design allowing a patient to use a medical device without clinical assistance. Self-administration became far simpler once dosing was packaged into pre-filled cartridges.

buyer vs. user gap **(n.)**

the difference in needs between who selects a product and who actually uses it. The buyer-vs-user gap between doctor and patient was the entire strategic insight.

PHRASAL VERBS

carry around **(phr. v.)**

to take something with you everywhere Patients can carry the pen around without anyone knowing what it is.

look after **(phr. v.)**

to take care of someone or something The design lets patients look after themselves without a vial and syringe.

PRACTICE

TEST THE LIMIT

Designing for the patient still meant persuading the doctor who prescribes. Explain how you would sell to the buyer while designing for the user.

USE THE LANGUAGE

Describe a decision in your own organization using patient-centric design and the buyer vs. user gap.

DISCUSS

Where in your product do the buyer's needs diverge most from the actual daily user's needs?

WRITE

Identify one daily friction your end user experiences that the actual purchasing decision-maker never sees.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

end-user friction · look after · patient-centric design · self-administration · stigma reduction

1. ___ revealed needs the doctor-focused industry had never addressed.
2. ___ around visible syringes had gone unaddressed for decades.
3. ___ through a discreet pen design changed how patients felt about daily treatment.
4. ___ became possible only once dosing was simplified into pre-filled cartridges.
5. The design lets patients ___ themselves instead of depending on a clinic.

SOURCES

A Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015).

B Widely documented in medical-device design and healthcare-industry business press.



49

Canon: Desktop Photocopiers

DOCUMENTATION LEVEL 1 — DIRECTLY DOCUMENTED

THE MECHANISM

The mechanism is removing the dependency that locked out small buyers. Xerox's leased, serviced machines required a central copy room, so a disposable, user-replaceable cartridge removed the need for a technician entirely.

Xerox dominated the copier market in the 1970s by leasing massive, high-speed machines to corporate purchasing departments, supported by dedicated maintenance technicians.

Canon targeted small businesses and individual branch offices that wanted copiers without dealing with centralized copy rooms or lease contracts.

THE FOUR ACTIONS

ELIMINATE

The service technician, and the maintenance contract that made central copiers a managed service.

REDUCE

Copy volume and speed, relative to a centralized machine.

RAISE

Reliability in untrained hands, machine footprint, and price accessibility.

CREATE

Compact desktop copiers with disposable, user-replaceable toner cartridges — a copier for the office, not the copy room.

BUSINESS LENS

What specialized support does your product require that your smallest potential customers simply cannot access?

KEY TAKEAWAYS

1. Removing the need for a service technician opened the market to small businesses centralized leasing had excluded.
2. Disposable, user-replaceable cartridges shifted maintenance from a specialist skill to a consumer task.
3. Compact desktop design matched the space and budget constraints of small branch offices.

SUMMARY

Canon opened the copier market to small businesses and branch offices that Xerox's leased, technician-serviced machines had excluded, using disposable, user-replaceable toner cartridges to remove the need for professional maintenance entirely.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that disposable cartridges shift ongoing cost to consumables, which becomes expensive for the heaviest users over time even as it lowers the barrier to entry.

APPLY IT

Ask whether your product depends on specialized support staff your smallest customers cannot afford to have, and what a self-serviceable version would look like.

VOCABULARY & PHRASAL VERBS

service dependency **(n.)**

a product's reliance on specialized technicians for ongoing operation. Service dependency on Xerox technicians had locked small businesses out of the copier market.

user-replaceable part **(n.)**

a component designed for a non-specialist to swap without professional help. A user-replaceable toner cartridge eliminated the need for a maintenance contract.

consumable cost model **(n.)**

a pricing structure where ongoing revenue comes from replaceable supplies, not just the device. The consumable cost model shifted revenue from service contracts to cartridge sales.

desktop form factor **(n.)**

a compact product design suited for placement on an ordinary desk or small office. The desktop form factor matched the space constraints small branch offices actually had.

barrier removal **(n.)**

eliminating a specific requirement that had prevented a customer segment from adopting a product. Barrier removal of the service technician requirement opened an entirely new customer segment.

PHRASAL VERBS

run out **(phr. v.)**

to be completely used up When the toner runs out, the user replaces the cartridge without calling anyone.

hand over **(phr. v.)**

to give responsibility to someone else Canon handed maintenance over to the person actually using the machine.

PRACTICE

TEST THE LIMIT

Desktop copiers undercut the industry's service-revenue model. Explain why doing that to yourself beats waiting for a rival to do it.

USE THE LANGUAGE

Compare two competitors in your market using service dependency and consumable cost model.

DISCUSS

What specialized support requirement is locking your smallest potential customers out of your product?

WRITE

Design a self-serviceable version of one part of your product that currently requires a technician.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

barrier removal · consumable cost model · desktop form factor · service dependency · user-replaceable part

1. ___ on Xerox technicians had locked small businesses out of the copier market.
2. The ___ shifted revenue from service contracts to cartridge sales.
3. The ___ matched the space constraints small branch offices actually had.
4. ___ of the service technician requirement opened an entirely new customer segment.
5. A ___ such as the toner cartridge removed the need for a maintenance contract.

SOURCES

A Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015).

B Widely documented in office-technology and business-equipment industry history.



50

Apple iTunes & iPod: Legal, Frictionless Digital Music

DOCUMENTATION LEVEL 1 — DIRECTLY DOCUMENTED

THE MECHANISM

The mechanism is unbundling the album into the song. Forcing a customer to buy an entire $18 album for two good tracks created exactly the resentment that fuelled piracy, so selling singles at $0.99 matched what people actually wanted to pay for.

Consumers were forced to choose between paying roughly $18 for a physical CD to get two good songs, or navigating illegal, virus-heavy peer-to-peer downloading networks like Napster.

Apple unlocked a legal, highly convenient digital storefront that sold individual songs rather than full albums.

THE FOUR ACTIONS

ELIMINATE

Physical distribution, plastic packaging, and the obligation to buy a whole album.

REDUCE

Price per track to $0.99, and the album to a unit the listener could ignore.

RAISE

Catalogue legitimacy, transfer speed, and integration between software and hardware.

CREATE

A seamless ecosystem tying single-track purchases directly to portable hardware, the iPod.

BUSINESS LENS

Is your product bundled into a larger unit than customers actually want, in a way that pushes them elsewhere?

KEY TAKEAWAYS

1. Unbundling albums into individually purchasable singles matched what customers actually valued.
2. A legal, convenient storefront removed the primary justification people gave for piracy.
3. Tying purchases directly to portable hardware (the iPod) created a complete, self-reinforcing ecosystem.

SUMMARY

Apple's iTunes and iPod unbundled the album into individually purchasable $0.99 songs, offering a legal, convenient alternative to both

> expensive CDs and virus-heavy piracy, and tying purchases directly to a portable hardware ecosystem that reinforced itself.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that unbundling the album reduced per-transaction revenue for labels and artists who had relied on album-length purchases to subsidize a full body of work.

APPLY IT

Ask whether your product is bundled into a unit larger than what customers actually want, in a way that is quietly pushing them toward an illegitimate alternative.

VOCABULARY & PHRASAL VERBS

unbundling **(n.)**

separating a combined offering into smaller, individually purchasable parts. Unbundling the album into singles matched what most customers actually wanted to buy.

legitimate alternative **(n.)**

a legal option compelling enough to reduce demand for an illegal substitute. A cheap, convenient storefront became the legitimate alternative that undercut piracy.

hardware-software ecosystem **(n.)**

a linked system where a device and its software reinforce each other's value. The hardware-software ecosystem of iPod and iTunes reinforced purchases in both directions.

per-unit pricing **(n.)**
charging for individual units of a product rather than a larger bundle. Per-unit pricing at $0.99 per song replaced the forced album bundle.

piracy justification **(n.)**
the reasoning customers use to excuse using an illegal alternative to a legitimate product. Removing the common piracy justification — overpriced albums — was the whole strategy.

PHRASAL VERBS

sort out **(phr. v.)**
to resolve a problem or put something in order Apple sorted out the licensing the labels had refused to sort out themselves.

pick out **(phr. v.)**
to select one thing from many Listeners pick out single tracks instead of buying twelve to get one.

PRACTICE

TEST THE LIMIT

The labels agreed only because piracy was worse. Explain what that says about when incumbents will accept new terms.

USE THE LANGUAGE

Argue against a decision your team has already taken, using unbundling and legitimate alternative.

DISCUSS

What bundle in your product could be broken into smaller units customers actually want?

WRITE

Identify one illegitimate workaround your current bundling might be pushing customers toward.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

hardware-software ecosystem · legitimate alternative · per-unit pricing · piracy justification · unbundling

1. ___ the album into singles matched what most customers actually wanted to buy.
2. A cheap, convenient storefront became the ___ that undercut piracy.
3. The ___ of iPod and iTunes reinforced purchases in both directions.
4. ___ at $0.99 per song replaced the forced album bundle.
5. Removing the common ___ — overpriced albums — was the whole strategy.

SOURCES

A Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015).

B Widely documented in digital-media and consumer-technology business press.



51

Uber: Bypassing the Taxi Monopoly

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is replacing scarce, regulated access with an on-demand network. Smartphone GPS matched private drivers to riders directly, removing the medallion system that had artificially constrained taxi supply.

Traditional taxi fleets fought over city medallions, street-hailing rights, and zone restrictions, resulting in high prices, poor vehicle maintenance, and spotty service.

Uber created an on-demand personal transportation network using private drivers and smartphone GPS technology.

THE FOUR ACTIONS

ELIMINATE

Medallion costs, cash exchange at the end of the ride, phone dispatchers, and street hailing.

REDUCE

Waiting time, and the uncertainty of not knowing whether a car is coming.

RAISE

Driver supply flexibility, price transparency before the trip, and accountability on both sides.

CREATE

One-tap requesting, live tracking, upfront pricing, and mutual rating systems.

BUSINESS LENS

What scarce, regulated resource in your industry could be replaced with an on-demand, directly matched network?

KEY TAKEAWAYS

1. Replacing medallion-restricted supply with an open driver network removed an artificial scarcity constraint.
2. Smartphone GPS technology enabled direct matching that phone dispatchers never could.
3. Transparent upfront pricing and mutual rating systems addressed the trust gap of a stranger-driven system.

SUMMARY

Uber replaced the taxi industry's medallion-restricted, dispatcher-based system with an on-demand network of private drivers matched directly

> through smartphone GPS, using transparent pricing and mutual ratings to solve the trust problem a stranger-driven system created.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that bypassing regulated medallion systems raised real regulatory and labour-classification questions that took years, and significant conflict, to work through in most cities.

APPLY IT

Ask whether a regulated, scarce resource in your industry could be replaced with an on-demand network that matches supply and demand directly.

VOCABULARY & PHRASAL VERBS

on-demand network **(n.)**

a system matching supply and demand for a service in real time via technology. The on-demand network replaced scarce, regulated taxi supply with a large, flexible driver pool.

artificial scarcity **(n.)**

a supply constraint created by regulation or licensing rather than actual resource limits. Medallion systems created artificial scarcity that kept taxi prices and wait times high.

trust mechanism **(n.)**

a system feature designed to build confidence between strangers transacting directly. Mutual rating systems functioned as a trust mechanism for both drivers and riders.

direct matching **(n.)**

connecting supply and demand without an intermediary dispatcher or broker. Direct matching via GPS replaced the delay and inefficiency of phone dispatch.

upfront pricing **(n.)**

showing the total cost of a transaction before the customer commits. Transparent upfront pricing removed the uncertainty riders previously faced with metered fares.

PHRASAL VERBS

turn up **(phr. v.)**

to arrive, often unannounced or at an agreed place The driver turns up where the map says, which taxis never guaranteed.

flag down **(phr. v.)**

to signal to a vehicle to stop Nobody has to stand in the rain flagging down a cab.

PRACTICE

TEST THE LIMIT

Drivers carry many of the costs the company removed from riders. Write that trade-off as one honest sentence.

USE THE LANGUAGE

Rewrite your company's own description of what it sells, using on-demand network and trust mechanism.

DISCUSS

What artificial scarcity in your industry could be removed with direct, technology-enabled matching?

WRITE

Design one trust mechanism that would let two strangers transact confidently in your business.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

artificial scarcity · direct matching · on-demand network · trust mechanism · upfront pricing

1. The ___ replaced scarce, regulated taxi supply with a large, flexible driver pool.
2. Medallion systems created ___ that kept taxi prices and wait times high.
3. Mutual rating systems functioned as a ___ for both drivers and riders.
4. ___ via GPS replaced the delay and inefficiency of phone dispatch.
5. Transparent ___ removed the uncertainty riders previously faced with metered fares.

SOURCES

B Isaac, M., Super Pumped: The Battle for Uber, W.W. Norton (2019).

B Uber Technologies S-1 filing and municipal regulatory records on taxi licensing.

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.

52

Airbnb: Unlocking the Shared Space Economy

DOCUMENTATION LEVEL 2 — SELF-REPORTED OR TRANSFERRED

THE MECHANISM

The mechanism is monetizing idle private capacity. Spare bedrooms and empty homes had value sitting unused, and a trust-based platform let owners convert that idle capacity into income without building a single new room.

Traditional hotel chains competed on real estate acquisition, room capacity, location proximity, and loyalty programs.

Airbnb turned private homes and spare bedrooms into a global peer-to-peer lodging network.

THE FOUR ACTIONS

ELIMINATE

Real estate construction and the fixed overhead of running hotels.

REDUCE

Cost per night, well below the equivalent hotel room.

RAISE

Space per booking, neighbourhood variety, and the host's local knowledge.

CREATE

> A trust-based platform connecting homeowners directly with travellers, built on reviews, verification and payment escrow.

BUSINESS LENS

What idle private capacity already exists in your world that a trust-based platform could unlock instead of building new supply?

KEY TAKEAWAYS

1. Monetizing idle private capacity avoided the enormous capital cost of real estate construction entirely.
2. A trust-based platform, not just a booking system, was the real infrastructure that had to be built.
3. Unique, authentic neighbourhood stays offered something standardized hotel chains structurally could not.

SUMMARY

Airbnb unlocked the idle capacity of private homes and spare bedrooms with a trust-based peer-to-peer platform, avoiding the real estate and hospitality overhead of traditional hotel chains while offering travellers unique, authentic neighbourhood stays hotels could not replicate.

REALITY CHECK

WHERE THIS BREAKS DOWN

The limit is that a trust-based peer-to-peer model depends on the platform successfully managing safety, quality, and legal compliance at a scale hotel chains never had to solve for individual private hosts.

APPLY IT

Ask whether your industry could unlock idle private capacity that already exists, rather than building new capacity from scratch.

VOCABULARY & PHRASAL VERBS

idle capacity **(n.)**

existing resources that sit unused and could generate value if activated. Spare bedrooms were idle capacity with no market until a trust-based platform unlocked it.

peer-to-peer platform **(n.)**

a system connecting individuals to transact directly rather than through a central provider. The peer-to-peer platform let homeowners transact directly with travellers, no hotel required.

trust infrastructure **(n.)**

the reviews, verification, and policies that let strangers transact confidently. Trust infrastructure, not just booking software, was the hardest part of the platform to build.

capacity monetization **(n.)**

converting previously unused resources into a source of revenue. Capacity monetization of spare rooms avoided the cost of constructing new hotel inventory.

authentic experience **(n.)**

an offering valued for feeling genuine and local rather than standardized. An authentic experience in a real neighbourhood was something standardized hotels could not replicate.

PHRASAL VERBS

put up **(phr. v.)**

to provide someone with a place to stay Hosts put up strangers in rooms that were sitting empty.

check out **(phr. v.)**

to leave accommodation formally; also, to examine something Guests check out of an apartment and rate the host before they go.

PRACTICE

TEST THE LIMIT

Cities began restricting short-term lets. Name the regulation your own model would be most exposed to.

USE THE LANGUAGE

Predict what your closest competitor will do next, using idle capacity and trust infrastructure.

DISCUSS

What idle private capacity in your world could a trust-based platform unlock?

WRITE

Identify one piece of trust infrastructure — reviews, verification, guarantees — your business would need to build first.

CHECK YOURSELF

Fill each gap with one item from the bank. Answers are in the back of the book.

authentic experience · capacity monetization · idle capacity · peer-to-peer platform · trust infrastructure

1. Spare bedrooms were ___ with no market until a trust-based platform unlocked it.
2. The ___ let homeowners transact directly with travellers, no hotel required.
3. ___, not just booking software, was the hardest part of the platform to build.
4. ___ of spare rooms avoided the cost of constructing new hotel inventory.
5. An ___ in a real neighbourhood was something standardized hotels could not replicate.

SOURCES

B Gallagher, L., The Airbnb Story, Houghton Mifflin Harcourt (2017).

Framework: Kim, W.C. & Mauborgne, R., Blue Ocean Strategy, Harvard Business Review Press (expanded ed. 2015). This case does not appear in that text; the Blue Ocean reading of it is applied here.

What the Fifty-Two Have in Common

Fifty-two cases is enough to see the repeats. Almost every chapter in this book is one of eight moves, and naming them is more useful than remembering the companies.

THE EIGHT MOVES

1. Cut the cost the industry treats as mandatory. Cirque du Soleil and the animal acts, Southwest and the meal service, Yellow Tail and the back label, Vanguard and the analysts, Nubank and the annual fee. The test is always the same: do buyers value this, or merely tolerate it?

2. Change who you think you are competing with. Southwest chose cars and buses; Beyond Meat chose the meat aisle rather than the vegetarian one; Spotify competed with piracy, not with iTunes.

3. Hand work to the customer and pay them for it in price. IKEA's assembly, Zipcar's keycard, Canon's toner cartridge, CitizenM's check-in kiosk. It works only when the discount is large enough that the trade feels like a bargain.

4. Remove the gatekeeper. Dollar Shave Club and the retail shelf, Warby Parker and the licensor, Stripe and the salesperson, Threadless and the trend forecaster, Netflix and the video shop.

5. Sell the experience instead of the commodity. Nespresso, Red Bull, Topgolf, Alamo Drafthouse, Pop Mart, Meow Wolf — and Havaianas, which did it without changing the product at all.

6. Absorb a risk the customer will not carry. WeWork took the lease, Zappos took the return, Enterprise took the pickup, Rent the Runway took the dry cleaning.

7. Serve the segment the leaders have already declined. Embraer's thin routes, Square's micro-merchants, Canon's small offices, Nubank's unbanked. Nobody defends a market they have abandoned.

8. Turn something idle or private into a product. Airbnb's spare rooms, Uber's idle cars, Strava's private training log, Roblox's players.

THREE HONEST CAUTIONS

Most of these were recognized, not designed. Only a handful of the fifty-two set out with anything resembling this framework in hand. The Documentation Levels in this book exist to keep that distinction visible: a Level 2 chapter is a real case with a reading applied afterwards, and reading a pattern backwards out of a success is the most common error in strategy writing.

An uncontested market does not stay uncontested. Every Reality Check in this book says a version of the same thing. Dyson's patents expired, Nespresso's pods were copied, the incumbent banks launched fee-free accounts. The advantage is the head start and what you build during it, not the space itself.

A blue ocean is not the same as a business. WeWork turned co-working into a global category and went bankrupt inside it. Peloton rode one to a pandemic peak and watched it shrink when gyms reopened. The framework explains where demand comes from; it says nothing about whether the unit economics work.

HOW TO USE THIS AT WORK

Take the eight moves above to your own market and ask them in order. Seven will produce nothing. The one that produces an uncomfortable answer — the cost nobody will defend, the competitor nobody has named, the customer everybody has written off — is the one worth a week of your time.

Glossary

Every term taught in the book, with the chapter it was introduced in. 258 entries.

A

accepted frustration n. a persistent product flaw customers have stopped expecting anyone to fix. Ch. 11

access vs. ownership n. a shift in what a customer is paying for — ongoing use rather than permanent possession. Ch. 14

accessible branding n. visual and verbal identity designed to feel welcoming rather than exclusive. Ch. 46

active management n. an investment approach where managers actively select securities aiming to beat the market. Ch. 24

addressable market n. the total group of customers a product could realistically reach. Ch. 8

adoption barrier n. any requirement that discourages a potential user from starting to use a product. Ch. 17

affordable luxury n. a positioning combining premium quality with accessible pricing by cutting selective costs. Ch. 47

algorithmic trend detection n. using automated data analysis to identify emerging demand patterns. Ch. 44

all-in-one platform n. a single system bundling multiple previously separate tools or functions. Ch. 30

amenity bundling n. including services like utilities or events as part of a core product rather than separately. Ch. 31

anticipation psychology n. the use of suspense or uncertainty to heighten a customer's emotional engagement. Ch. 34

API n. application programming interface; a defined way for software systems to communicate. Ch. 29

artificial scarcity n. a supply constraint created by regulation or licensing rather than actual resource limits. Ch. 51

audience filtering n. design choices that intentionally exclude customers who do not fit the intended experience. Ch. 33

audience investment n. the degree to which a customer feels ongoing commitment to following a series or brand. Ch. 45

authentic experience n. an offering valued for feeling genuine and local rather than standardized. Ch. 52

automated scoring n. technology that tracks and scores performance without a human judge. Ch. 32

B

banking concentration n. the share of a country's deposits and lending held by its largest few institutions. Ch. 26

barrier removal n. eliminating a specific requirement that had prevented a customer segment from adopting a product. Ch. 49

blind box n. a sealed package whose specific contents are unknown until opened. Ch. 34

blocker identification n. pinpointing the specific, narrow reason customers hesitate, rather than a broad assumption. Ch. 41

brand equity n. the commercial value carried by a brand name itself, beyond the product. Ch. 39

brand identity n. the distinct personality and associations a brand builds with customers. Ch. 12

browser-based platform n. software delivered through a web browser rather than a local installation. Ch. 15

built-in cross-promotion n. a structure where each product inherently markets another within the same system. Ch. 45

business model cannibalization n. deliberately undercutting your own existing revenue stream with a new offering. Ch. 13

buyer vs. user gap n. the difference in needs between who selects a product and who actually uses it. Ch. 48

C

capacity monetization n. converting previously unused resources into a source of revenue. Ch. 52

capital-intensive growth n. expansion that requires significant upfront investment before returns materialize. Ch. 42

casual accessibility n. designing an activity so newcomers can enjoy it without prior training. Ch. 32

catalogue access n. the ability to reach an entire library of content rather than individual purchases. Ch. 14

category blending n. merging conventions from two distinct industries into one new experience. Ch. 35

category breadth n. the range of distinct product categories a business covers. Ch. 40

category combination n. merging two separate business categories into one differentiated offering. Ch. 33

category creation n. establishing a new product category rather than competing within an existing one. Ch. 12

category jargon n. specialized vocabulary within an industry that can intimidate or exclude newcomers. Ch. 46

category merger n. combining two previously distinct product categories into one. Ch. 19

category placement n. the physical or digital location where a product is shelved or displayed. Ch. 8

category repositioning n. changing what customers understand a product to be for. Ch. 6

channel migration n. deliberately moving a product from one type of retailer to another. Ch. 39

channel switch n. moving a category of purchase from one buying channel, like retail stores, to another, like online. Ch. 41

churn n. the rate at which customers cancel or stop using a subscription service. Ch. 21

cinematic universe n. a set of interconnected films or stories sharing continuity and characters. Ch. 45

closed ecosystem n. a product system designed so only the maker's own compatible parts work with it. Ch. 4

cloud-based system n. software hosted remotely and accessed over the internet rather than run locally. Ch. 30

co-working n. a shared office model where independent workers or companies rent flexible workspace together. Ch. 31

collectability n. a product quality that encourages owning multiple variants rather than one. Ch. 6

commoditization n. a process where products become interchangeable and compete mainly on price. Ch. 11

communal space n. a shared area designed for socializing or working among many guests at once. Ch. 47

community building n. cultivating an ongoing, engaged audience around shared participation. Ch. 22

community-driven forecasting n. predicting demand using direct signals from an engaged customer base. Ch. 38

competitive reframing n. redefining which businesses you actually compete against. Ch. 32

competitive set n. the group of alternatives a customer actually weighs against your offering. Ch. 2

component count n. the number of individual parts required to manufacture a product. Ch. 6

compounding cost savings n. small fee reductions that grow into large differences over long time horizons. Ch. 24

consolidated market n. an industry dominated by a small number of firms controlling most supply. Ch. 10

consumable cost model n. a pricing structure where ongoing revenue comes from replaceable supplies, not just the device. Ch. 49

consumption occasion n. the specific moment or context in which a customer uses a product. Ch. 12

core metric obsession n. concentrating product effort on the single measure that matters most to users. Ch. 17

creator tools n. software that enables non-professional users to build and publish content. Ch. 18

credit underwriting n. the process of assessing how likely a borrower is to repay. Ch. 26

crowdsourced design n. product design generated by an open community rather than an internal team. Ch. 38

curation n. deliberately selecting a small set of options rather than offering everything available. Ch. 9

customer acquisition cost n. the marketing and sales cost of winning one new customer. Ch. 5

customer trade-off n. a forced choice between two options, each missing something the customer wants. Ch. 42

D

data-to-social conversion n. turning previously private usage data into a shared, comparable social feature. Ch. 23

decentralized production n. content or output generated by many independent parties rather than one central team. Ch. 18

decision fatigue n. the mental exhaustion caused by facing too many choices. Ch. 46

deliberate trade-off n. a conscious choice to sacrifice one capability in exchange for another. Ch. 19

demand validation n. confirming customer interest in a product before committing to produce it. Ch. 38

democratization n. making a capability accessible to a much broader group than before. Ch. 15

dependency risk n. the risk that failure in one bundled system disrupts operations that depend on it. Ch. 30

design-cycle compression n. shortening the time between concept and available-for-sale product. Ch. 44

designer collectible n. an artist-created object marketed for its aesthetic and rarity rather than utility. Ch. 34

desktop form factor n. a compact product design suited for placement on an ordinary desk or small office. Ch. 49

developer-first adj. describing a go-to-market approach targeting engineers directly rather than business decision-makers. Ch. 29

differentiator n. a specific feature that distinguishes a product from close competitors. Ch. 7

direct matching n. connecting supply and demand without an intermediary dispatcher or broker. Ch. 51

direct tipping n. letting an audience send money to a creator in real time during content. Ch. 22

direct-from-vendor pricing n. pricing negotiated straight with suppliers, bypassing standard distributor markups. Ch. 9

direct-to-consumer adj. selling directly to buyers rather than through retail intermediaries. Ch. 4

E

eco-positioning n. building brand identity around environmental responsibility as a core value, not an add-on. Ch. 43

economic mismatch n. a gap between how a product is priced and how it is actually used. Ch. 28

elimination vs. reduction n. removing a factor entirely rather than merely decreasing its use. Ch. 43

end-user friction n. difficulty or discomfort experienced by the person actually using a product, not the buyer. Ch. 48

engagement loop n. a repeating cycle that brings users back to a product regularly. Ch. 23

engagement metric n. a measure of how actively and consistently users interact with a product. Ch. 20

entry point n. the first, lowest-friction product a customer adopts before deeper engagement. Ch. 16

ERRC grid n. the Eliminate-Reduce-Raise-Create framework used to redesign an industry's value curve. Ch. 1

etiquette enforcement n. strict, actively policed rules governing customer behaviour in a venue. Ch. 33

expense ratio n. the annual percentage of assets a fund charges investors for management. Ch. 24

F

feature war n. a competitive pattern of adding features (or blades) mainly to outdo rivals rather than to serve customers. Ch. 5

fee income n. revenue a bank earns from charges rather than from lending. Ch. 26

flat pricing n. a single, predictable price regardless of usage tier or add-ons. Ch. 5

flat-pack adj. sold unassembled in flat boxes for compact, efficient shipping. Ch. 3

flat-rate pricing n. one price covering unlimited or bundled use within a period. Ch. 13

flexible membership n. access sold in short, adjustable increments rather than a long fixed contract. Ch. 31

flexitarian n. a consumer who eats a mainly plant-based diet but still eats meat occasionally. Ch. 8

franchise architecture n. the deliberate structural planning of how multiple releases build toward each other. Ch. 45

freemium adj. describing a model that offers a free tier alongside a paid tier with additional features. Ch. 14

freemium model n. offering a free tier while monetizing a smaller paid tier or ads. Ch. 20

friction n. anything in a customer's path that makes a purchase harder or slower. Ch. 3

frictionless onboarding n. a signup or first-use process requiring minimal effort from the customer. Ch. 17

fruit-forward adj. describing a wine taste profile emphasizing bright fruit flavour over technical complexity. Ch. 46

functional food n. a food product engineered to deliver a specific health or performance benefit. Ch. 36

G

gamification n. applying game-design elements like points and streaks to a non-game product. Ch. 20

gatekeeper n. an intermediary that controls access between a company and its customers. Ch. 5

H

habit loop n. a repeating cycle of cue, action, and reward that builds a regular behaviour. Ch. 20

hardware-plus-subscription n. a business model pairing a physical product with ongoing recurring service revenue. Ch. 42

hardware-software ecosystem n. a linked system where a device and its software reinforce each other's value. Ch. 50

home-city market n. local rental or service demand originating from residents rather than travellers. Ch. 27

hourly access n. a usage model priced and structured around short, flexible time increments. Ch. 25

hub-and-spoke n. a network model routing traffic through a small number of central airports. Ch. 2

hybrid device n. a product merging the capabilities of two previously separate categories. Ch. 19

hybrid product n. an offering that combines the strengths of two previously separate options. Ch. 42

hypermarket model n. a very large retail format combining broad selection with lower per-unit pricing. Ch. 40

I

idle capacity n. existing resources that sit unused and could generate value if activated. Ch. 52

immersive installation n. a physical environment designed for visitors to enter and interact with directly. Ch. 35

in-house sub-brand n. a proprietary brand created and owned by a retailer rather than licensed from outside. Ch. 40

incentive structure n. the set of rewards and penalties that shape customer or employee behaviour. Ch. 13

index fund n. a fund designed to track a market index rather than actively pick individual stocks. Ch. 24

industrial design n. the discipline of designing manufactured products for both function and form. Ch. 11

industry boundary n. the conventional line separating one business category from another. Ch. 1

infrastructure risk n. the cost and responsibility of maintaining the technical systems a product depends on. Ch. 21

ingredient substitution n. replacing one formulation ingredient with another to improve taste, cost, or health profile. Ch. 36

integration burden n. the cost and complexity of connecting multiple separate systems to work together. Ch. 30

integration friction n. the time and effort required to connect a new tool into existing systems. Ch. 29

interactive chat n. a real-time messaging feature letting an audience communicate during a broadcast. Ch. 22

interactive storytelling n. narrative delivered through physical exploration and discovery rather than passive viewing. Ch. 35

interconnected narrative n. a story structure where individual instalments depend on and reference each other. Ch. 45

internal economy n. a currency or exchange system operating entirely within a platform. Ch. 18

inventory risk n. the financial exposure of producing goods that may not sell. Ch. 38

K

keyless access n. technology enabling entry without a physical handoff of keys or staff interaction. Ch. 25

L

leaderboard n. a ranked list showing how users compare against each other on a given metric. Ch. 23

lease arbitrage n. profiting from the spread between a long-term lease cost and short-term resale of that space. Ch. 31

legacy hardware n. older, often rigid technology that a new solution is designed to replace. Ch. 30

legitimate alternative n. a legal option compelling enough to reduce demand for an illegal substitute. Ch. 50

liability absorption n. taking on a long-term risk on a customer's behalf in exchange for a fee. Ch. 31

licensing deal n. a legal agreement to use copyrighted content in exchange for payment. Ch. 14

line architecture n. the way a company structures cheap and premium versions of the same product. Ch. 39

live streaming n. broadcasting video content in real time rather than pre-recording and editing it. Ch. 22

live-streamed class n. real-time instructor-led content delivered remotely to a home device. Ch. 42

M

macro profile n. the balance of protein, fat, and carbohydrate in a food product. Ch. 36

mainstream repositioning n. adapting a niche product to appeal to a much broader everyday audience. Ch. 36

mainstreaming n. adapting a niche product so a broad, non-niche audience will adopt it. Ch. 8

markup n. the amount added to a product's cost to determine its selling price. Ch. 10

mass adoption n. a product reaching a broad, non-specialist user base rather than a niche. Ch. 15

mass-market pricing n. pricing set low enough to reach a broad consumer base rather than a niche. Ch. 6

membership model n. a recurring relationship structure built around ongoing access rather than one-off purchase. Ch. 4

menu simplification n. deliberately narrowing product options to reduce complexity and raise focus. Ch. 7

micro-batch production n. manufacturing in very small initial quantities to test demand before scaling. Ch. 44

micro-merchant n. a very small seller, such as a market vendor or food truck, transacting in small volumes. Ch. 16

modular room design n. compact, standardized room layouts built for efficient space use. Ch. 47

N

naked retail n. selling products without conventional packaging, visible and touchable on the shelf. Ch. 43

neighbourhood placement n. locating a service or resource within residents' immediate area rather than centrally. Ch. 25

neobank n. a bank that operates entirely through digital channels, with no branch network. Ch. 26

network reliability n. a system's ability to function consistently under imperfect connection conditions. Ch. 17

non-customer n. someone a market does not currently serve, as distinct from a competitor's customer. Ch. 26

O

occasion targeting n. designing a business around a specific customer situation rather than a broad category. Ch. 27

on-demand network n. a system matching supply and demand for a service in real time via technology. Ch. 51

on-premise adj. software or hardware installed and run on a customer's own physical infrastructure. Ch. 21

one-click access n. a workflow requiring a single action to reach a working product. Ch. 17

open submission model n. a system allowing anyone to submit creative work for consideration. Ch. 38

operational complexity n. the number of interdependent systems and processes a business must run. Ch. 7

order backlog n. confirmed orders a manufacturer has accepted but not yet delivered. Ch. 37

overhead cost n. the ongoing cost of operating a location or business, independent of transaction volume. Ch. 27

P

patient-centric design n. product design prioritizing the end user's daily experience over the purchasing decision-maker. Ch. 48

pay-as-you-go adj. describing a pricing structure charging only for actual usage rather than a fixed period. Ch. 25

peer-to-peer platform n. a system connecting individuals to transact directly rather than through a central provider. Ch. 52

penalty-based revenue n. income generated by fees for customer error rather than value delivered. Ch. 13

per-transaction pricing n. charging a fixed percentage or fee on each individual sale. Ch. 16

per-unit pricing n. charging for individual units of a product rather than a larger bundle. Ch. 50

perceived quality n. how good a product seems to the customer, independent of its actual cost to produce. Ch. 7

performance ceiling n. the upper limit of processing capability a design deliberately accepts. Ch. 19

performance gap n. a measurable difference in effectiveness between a product and its alternatives. Ch. 11

piracy displacement n. reducing illegal use by making the legal alternative more convenient. Ch. 14

piracy justification n. the reasoning customers use to excuse using an illegal alternative to a legitimate product. Ch. 50

platform model n. a business structure that enables and profits from others' activity rather than producing directly. Ch. 18

point-to-point adj. describing a route model connecting cities directly rather than through a central hub. Ch. 2

portability n. a product's ability to be used effectively in multiple physical contexts. Ch. 19

premium pricing n. setting price well above the category average based on differentiated value. Ch. 11

premiumization n. repositioning a commodity product as a higher-value, higher-price offering. Ch. 4

premiumization of a commodity n. repositioning a widely available product as a higher-value experience. Ch. 33

price discovery n. the market process by which trading activity determines an asset's price. Ch. 24

price transparency n. clear, consistent pricing that customers can understand without negotiation. Ch. 10

private label n. a retailer's own branded product line, made by or for it exclusively. Ch. 9

purchase frequency n. how often a customer buys a given product category. Ch. 6

purchase risk n. the specific uncertainty or fear that prevents a customer from completing a purchase. Ch. 41

R

randomized retail n. a sales model where the specific item received is determined by chance. Ch. 34

raw presence n. unedited, unpolished content valued for its authenticity rather than production quality. Ch. 22

recurring revenue n. predictable income generated from ongoing subscriptions rather than one-time sales. Ch. 21

regional jet n. a small commercial jet built for short routes with low passenger volumes. Ch. 37

rental ecosystem n. the full set of infrastructure and services supporting a rent-not-buy business model. Ch. 28

repeat-visit design n. building an experience deliberately to reward and encourage multiple visits. Ch. 35

repositioning n. changing how a market perceives a product without substantially changing the product. Ch. 39

return policy n. the terms under which a customer can send back a purchased product. Ch. 41

reverse logistics n. the process of collecting, cleaning, and redistributing used products for reuse. Ch. 28

S

scale-on-signal n. expanding production only after real demand data confirms a design's popularity. Ch. 44

scope clause n. a term in an airline labour contract limiting the size of aircraft a regional partner may operate. Ch. 37

seat-side service n. delivering food or drinks directly to a customer's seat without them leaving. Ch. 33

segment n. a defined stretch of route where users automatically compete for best times. Ch. 23

self-administration n. a design allowing a patient to use a medical device without clinical assistance. Ch. 48

self-check-in n. technology allowing guests to check into a hotel without staff interaction. Ch. 47

self-serve adoption n. a product design that lets users start and configure it without a salesperson. Ch. 29

self-service model n. a business design where the customer performs steps a company would traditionally handle. Ch. 3

sensory replication n. engineering a product to match the taste, texture, or appearance of another. Ch. 8

sensory store design n. a physical retail environment designed to engage smell, touch, and sight directly. Ch. 43

service compensation n. adding a service feature specifically to offset a structural disadvantage. Ch. 27

service dependency n. a product's reliance on specialized technicians for ongoing operation. Ch. 49

service-as-marketing n. using exceptional customer service itself as the primary promotional strategy. Ch. 41

single-use purchase n. a product bought with the expectation of only one or two uses. Ch. 28

skill barrier n. a required competence that prevents adoption regardless of price. Ch. 15

skill floor n. the minimum competence required before someone can meaningfully use a tool. Ch. 18

skill-gated activity n. an activity whose enjoyment depends heavily on prior trained competence. Ch. 32

SKU n. stock-keeping unit; a single distinct product tracked in inventory. Ch. 9

slotting fee n. a payment a manufacturer makes a retailer for shelf placement. Ch. 9

snob appeal n. status signalling built around specialized knowledge that can alienate newcomers. Ch. 46

social entertainment venue n. a location designed primarily around group social experience rather than skill performance. Ch. 32

social fitness n. exercise tracking designed around comparison and community rather than solo logging. Ch. 23

social signalling n. what owning or using a product communicates about its owner. Ch. 39

Software as a Service n. delivering software through the cloud on a subscription basis rather than as installed, licensed product. Ch. 21

solid formulation n. a product engineered to work without liquid or its usual packaging. Ch. 43

stigma reduction n. design choices intended to reduce social discomfort associated with using a product. Ch. 48

subculture marketing n. building brand identity through close association with a specific community. Ch. 12

subscription model n. a recurring-revenue structure built around scheduled repeat delivery. Ch. 5

subscription queue n. a rental system where customers rank items to receive over time rather than choosing per transaction. Ch. 13

subscription wardrobe n. access to a rotating set of clothing items through an ongoing membership. Ch. 28

supply chain n. the sequence of processes that move a product from raw material to customer. Ch. 3

T

targeted traveller profile n. designing a product specifically around one well-defined type of customer. Ch. 47

taste-function trade-off n. the assumption that a functional product must sacrifice taste for its benefit. Ch. 36

technical documentation n. instructional material explaining how to implement or use a technical product. Ch. 29

template-driven design n. a workflow built around pre-made, editable starting layouts. Ch. 15

thin route n. a connection between two cities with too few passengers to fill a large aircraft. Ch. 37

third-party markup n. the added cost of reselling another company's branded product. Ch. 40

throughput n. the volume of transactions a system can process in a given time. Ch. 7

touchable exhibit n. artwork or installation designed to be physically handled rather than protected from contact. Ch. 35

trial-before-purchase n. letting customers test a product risk-free before committing to buy. Ch. 10

trust infrastructure n. the reviews, verification, and policies that let strangers transact confidently. Ch. 52

trust mechanism n. a system feature designed to build confidence between strangers transacting directly. Ch. 51

turnaround time n. the time an aircraft or resource spends idle between uses. Ch. 2

type rating n. the certification a pilot holds to fly a particular aircraft type. Ch. 37

U

ultra-fast fashion n. a production model compressing design-to-shelf timelines to days rather than months. Ch. 44

unboxing experience n. the moment of opening a product, treated as a valued part of the purchase itself. Ch. 34

unbundling n. separating a combined offering into distinct, separately sold parts. Ch. 4

uncontested market space n. a category with no direct competitors, created rather than fought over. Ch. 1

underserved occasion n. a customer situation existing competitors have not built a dedicated offering for. Ch. 27

underserved segment n. a customer group whose needs existing providers do not adequately meet. Ch. 16

underwriting n. the process of assessing risk before extending credit or service. Ch. 16

unit economics n. the direct revenues and costs associated with a single unit of business, e.g. one flight. Ch. 2

upfront commitment n. a large cost or effort a customer must accept before receiving any value. Ch. 20

upfront pricing n. showing the total cost of a transaction before the customer commits. Ch. 51

urban density n. the concentration of population and destinations within a given area. Ch. 25

use case n. a specific way or situation in which a product is used. Ch. 12

user-replaceable part n. a component designed for a non-specialist to swap without professional help. Ch. 49

V

value curve n. a visual comparison of how much an industry invests in each factor competitors compete on. Ch. 1

value innovation n. pursuing differentiation and low cost at the same time, rather than choosing between them. Ch. 1

value-conscious buyer n. a customer who actively trades convenience or luxury for a lower price. Ch. 3

vertical integration n. controlling multiple stages of production and distribution within one company. Ch. 10

Index of Phrasal Verbs

The 104 phrasal-verb entries taught across the fifty-two chapters, in alphabetical order.

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break into phr. v. to enter a market that is difficult to enter Ch. 37

bring out phr. v. to release a new product Ch. 39

build up phr. v. to accumulate gradually Ch. 13

C

carry around phr. v. to take something with you everywhere Ch. 48

carry out phr. v. to perform a task or a piece of work Ch. 40

cash out phr. v. to convert holdings into money Ch. 18

catch on phr. v. to become popular Ch. 12

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check out phr. v. to leave accommodation formally; also, to examine something Ch. 52

cheer on phr. v. to encourage someone loudly Ch. 22

churn out phr. v. to produce something rapidly and in large quantity Ch. 44

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D

do away with phr. v. to get rid of something completely Ch. 1

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draw on phr. v. to use something as a source Ch. 1

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drop out phr. v. to disconnect or leave before the end Ch. 17

E

eat into phr. v. to gradually reduce something valuable Ch. 24

F

flag down phr. v. to signal to a vehicle to stop Ch. 51

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G

get around phr. v. to avoid or find a way past a problem Ch. 15

give away phr. v. to reveal something that was hidden Ch. 34

give off phr. v. to emit a smell, heat or light Ch. 43

give up phr. v. to stop doing or having something Ch. 14

give up phr. v. to quit before finishing Ch. 20

H

hand over phr. v. to give responsibility to someone else Ch. 49

hang on to phr. v. to keep something rather than let it go Ch. 28

hold back phr. v. to prevent something from progressing Ch. 41

hold out for phr. v. to wait for something better rather than accept what is offered Ch. 34

hold up phr. v. to remain strong or effective over time Ch. 11

K

keep up phr. v. to continue at the same rate Ch. 20

keep up with phr. v. to stay level with someone moving fast Ch. 19

kick out phr. v. to force someone to leave Ch. 33

L

line up phr. v. to arrange things in order, ready for use Ch. 13

lock in phr. v. to commit a customer so that leaving becomes difficult Ch. 4

log on phr. v. to gain access to a computer system Ch. 21

look after phr. v. to take care of someone or something Ch. 48

look down on phr. v. to regard someone or something as inferior Ch. 39

M

make up for phr. v. to compensate for something missing Ch. 36

N

narrow down phr. v. to reduce a large number of options to a few Ch. 38

P

pass on phr. v. to transfer a cost or a saving to someone else Ch. 24

pay off phr. v. to produce a reward after a long investment Ch. 45

phase out phr. v. to remove something gradually Ch. 9

pick out phr. v. to select one thing from many Ch. 50

pick up phr. v. to collect something Ch. 3

pick up phr. v. to resume something where you left it Ch. 19

pick up phr. v. to collect someone in a vehicle Ch. 27

piece together phr. v. to build understanding from fragments Ch. 35

pile on phr. v. to add a large quantity of something Ch. 7

plug in phr. v. to connect a component into a larger system Ch. 29

put off phr. v. to discourage someone; also, to postpone Ch. 21

put off phr. v. to discourage someone from doing something Ch. 32

put together phr. v. to assemble something from parts Ch. 3

put up phr. v. to provide someone with a place to stay Ch. 52

put up with phr. v. to tolerate something unpleasant Ch. 27

R

roll out phr. v. to launch something broadly Ch. 15

run out phr. v. to be completely used up Ch. 49

run out of phr. v. to have no more of something Ch. 5

run up phr. v. to accumulate a cost or a bill Ch. 25

S

scale back phr. v. to reduce something in size Ch. 31

scale up phr. v. to increase production or size Ch. 44

send back phr. v. to return something to where it came from Ch. 10

set up phr. v. to arrange or install something before use Ch. 17

settle on phr. v. to choose after considering the options Ch. 46

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sign off on phr. v. to approve something formally Ch. 29

sign up phr. v. to register for a service Ch. 16

sign up phr. v. to register for a service Ch. 26

sign up for phr. v. to commit yourself to something Ch. 42

sit through phr. v. to endure something to the end Ch. 33

sort out phr. v. to resolve a problem or put something in order Ch. 50

stand behind phr. v. to support and take responsibility for what you sell Ch. 41

stand in for phr. v. to take the place of something else Ch. 8

stick to phr. v. to keep to one thing without changing it Ch. 2

stock up on phr. v. to buy a large quantity of something Ch. 9

T

take off phr. v. to become successful very quickly Ch. 5

take off phr. v. of an aircraft, to leave the ground; of a business, to succeed quickly Ch. 37

take on phr. v. to compete against someone Ch. 6

take on phr. v. to accept a responsibility or a risk Ch. 31

take over phr. v. to assume control of something Ch. 18

take up phr. v. to start a new activity or hobby Ch. 40

team up with phr. v. to join forces with someone Ch. 12

tie in with phr. v. to connect with something else Ch. 45

tie together phr. v. to connect separate things into one whole Ch. 30

try on phr. v. to put clothing on to see whether it suits you Ch. 10

tune in phr. v. to watch or listen to a broadcast Ch. 22

turn around phr. v. to prepare a vehicle for its next use; also, to reverse a decline Ch. 2

turn away phr. v. to refuse to serve or admit someone Ch. 16

turn up phr. v. to arrive, often unannounced or at an agreed place Ch. 51

W

wander off phr. v. to leave the route and go somewhere else Ch. 35

water down phr. v. to weaken something by diluting it Ch. 46

wear out phr. v. to use something until it is damaged Ch. 28

weed out phr. v. to remove what is unwanted or weak Ch. 38

win back phr. v. to recover something you had lost Ch. 14

win over phr. v. to persuade someone to support you Ch. 8

work out phr. v. to exercise Ch. 42

wrap up phr. v. to cover something in packaging Ch. 43

Answer Key

Answers to the Check Yourself exercise in each chapter. The other four practice tasks are open by design — they are meant for a colleague, a teacher or a notebook, not for a key.

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About the Author

Ron Taylor is a Canadian communication consultant with three decades of experience teaching English through individual, personalized lessons. Over the years he has taught students from around the world; today he works exclusively with Brazilian professionals building careers and lives in Canada.

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